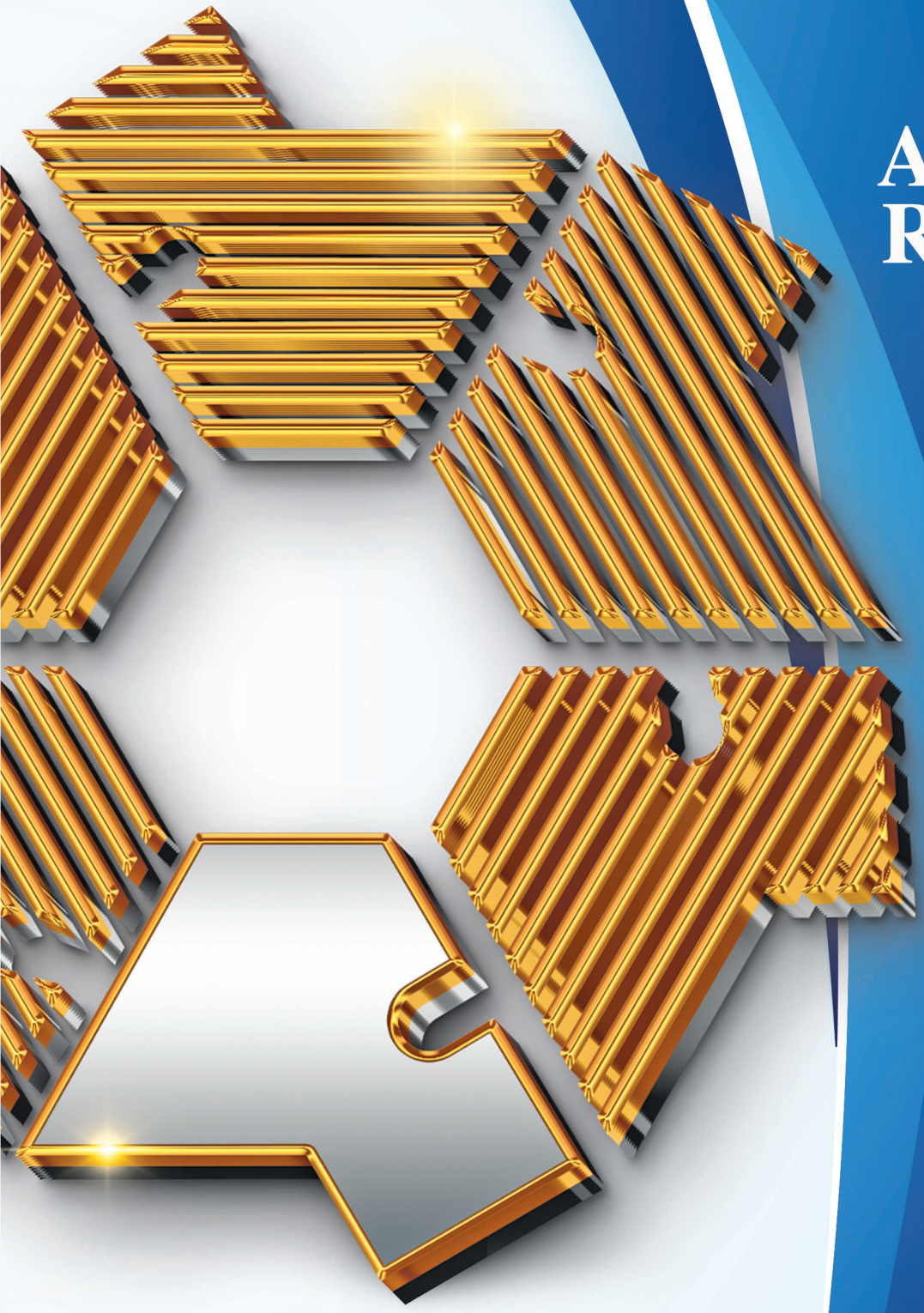
الصناعي
IBK

ANNUAL REPORT

2023



بنك الكويت الصناعي ش.م.ك

The Industrial Bank of Kuwait K.S.C.C


بسم الله الرحمن الرحيم

الصناعي
IBK



H. H. Sheikh

Meshal Al-Ahmad Al-Jaber Al-Sabah

Amir of the State of Kuwait

الصناعي
IBK

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About the bank

Objectives of the Bank



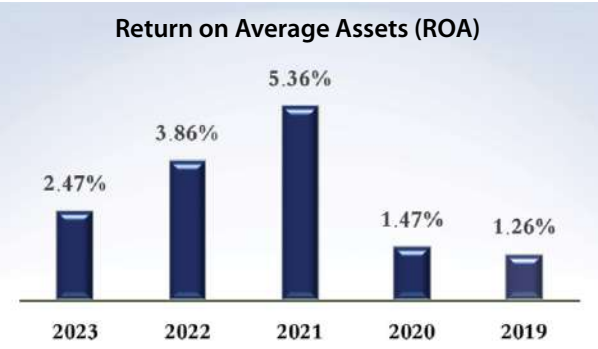
The Industrial Bank of Kuwait ("IBK") was established in late 1973 by the initiative of the Government of Kuwait, as a joint venture between the Ministry of Finance, the Central Bank of Kuwait, commercial banks, insurance companies, and some large industrial establishments.

The primary goal of IBK is to promote industrial development in Kuwait by pursuing the following objectives:

- To participate in developing a long-term strategy for industrial growth in Kuwait and identifying those sectors and activities which would best suit local conditions and constraints.
- To initiate industrial projects and investments in promising sectors.
- To provide financing whether in the form of equity, medium or long-term credits for new projects, or the expansion of existing ones.
- To finance projects outside Kuwait with an emphasis on the Gulf region, especially where Kuwaiti interests are involved.
- To bring new technologies to Kuwait and identify foreign partners with the necessary expertise.
- To support the development of domestic money and capital markets in co-operation with other major financial institutions. Such a development will facilitate the channeling of private savings into industrial areas, whether in or outside Kuwait.

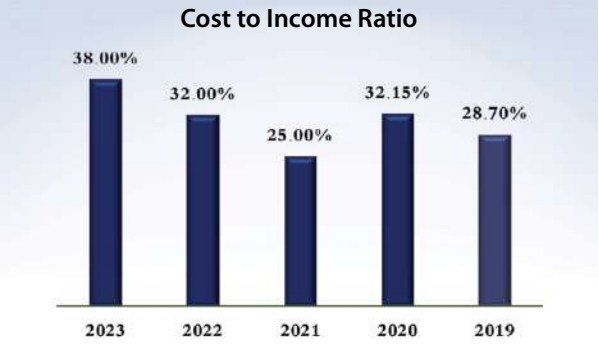
Financial Highlights













Kuwait Economic developments in 2023

Kuwait witnessed a remarkable positive shift in Kuwait's budget for fiscal year 22/23. As credit rating agencies were prompted to affirm a positive evaluation praising the surplus in the fiscal year 22/23.

In September 2023, Fitch Ratings has affirmed Kuwait›s Long-Term Foreign-Currency Issuer Default Rating (IDR) at ‹AA-› with a Stable Outlook. Remaining the exceptionally strong fiscal and external balance sheets for the coming two years and likely to continue among the strongest, supported by Kuwait's net assets and non-oil activities.

In addition, Fitch report stated that the budget recorded a surplus in fiscal year 22/23 due to surging oil revenue, marking its first surplus in the past nine years under the government›s reporting convention, which does not include KIA›s investment interest income in revenue. The fiscal surplus was KWD6.4 billion (12% of estimated GDP), following a deficit of KWD4.3 billion (10.1% of estimated GDP) in fiscal year 21/22.

The state budget for the fiscal year 2023/2024, was approved in August 2023, after a three-year delay during which the Council was dissolved twice. The budget, which begins on the first of April 2023 and ends at the end of March of 2024, at an estimated total revenue of KD 19.5 billion, and oil revenues were estimated at about KD 17 billion, an estimated decrease of about 19.5% compared to the previous fiscal budget as a result of the decrease in oil revenues at a price of $70/barrel and production of 2.676 million barrels per day, while the non-oil revenues were estimated at KD 2.3 billion, an increase about 10% compared to the previous budget, with estimated expenditures amounting to KD 26.3 billion, and accordingly the budget deficit was estimated at about (KD 6.8 billion).

The Minister of Finance explained that the budget deficit in the fiscal year 2023/2024 was estimated and based on calculating the oil prices, and reducing oil production with increasing the expenditure in the fiscal budget. Therefore, it is possible to end the fiscal year with a surplus depending on the oil prices, and the actual expenditure during the fiscal year 2023/2024.

Estimated & Actual Budget (April 2023 – March 2024)

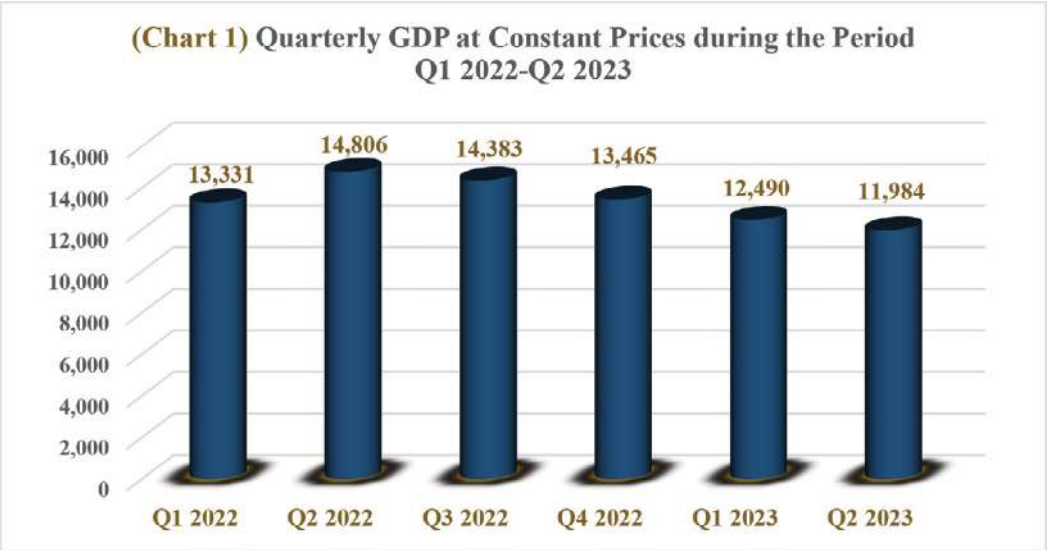
Budget	Estimated (March 2024)	Actual (March 2023)
Oil revenues	17,169*	26,713
Non-oil revenues	2,298	2,089
Total revenues	19,467	28,802
Expenditures	26,279	22,369
Surplus (Deficit) Before deducting for the future generation	(6,812)	6,433

* Oil revenues were estimated at oil price of 70 $/barrel and production volume of 2.676 mn barrels/day.

On the other hand, the executive position of the projects of the current annual plan (23/2024) indicates that the number of projects in completion phase has reached 6 projects out of 124 projects of the plan. The projects in the preparatory phase amounted to 44 projects, while the projects in the implementation phase amounted to 61 projects, and thus, 13 projects have not been started.

As part of the framework of Central Statistical Bureau of the State of Kuwait to resume the preparation and publication of the quarterly GDP estimates which have been suspended since the first quarter of 2021, as a result of the COVID-19 pandemic and the actions taken at that time that led to the disruption of the series of data and indicators collected periodically, quarterly or annually, which in turn led to the interruption of the quarterly as well as annual national accounts estimates. Thus, the Central Statistical Bureau has released quarterly GDP estimates according to the method of production at current prices during the period from the first quarter of 2021 to the second quarter of 2023 Chart

No. (1) This step is to provide decision-makers and users with timely data and information that allows them to better understand the performance of the national economy.



Source: Central Statistical Bureau

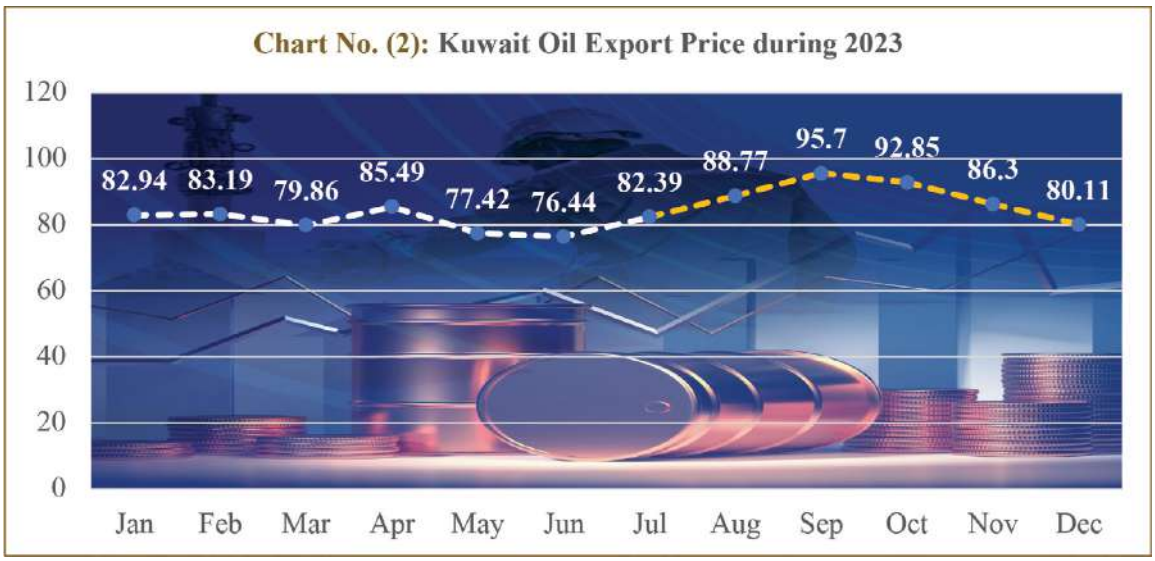
According to IMF's latest Global Economic Outlook report which was released in August 2023, benefiting from high oil prices, Kuwait's economic recovery continues, and the fiscal and external balances have strengthened. Inflation is contained and external buffers are increasing. However, structural challenges persist. The dominance of oil in Kuwait's economy coupled with global decarbonization trends underscore the urgency for economic diversification and structural transformation, and the pursuit of fiscal reforms to reinforce sustainability. Real GDP is expected to register 3.6% in 2024, with a gradual recovery in non-oil GDP growth, benefiting from a recovery in domestic and external demand, and expected to remain at this point for the short-term period, and the inflation will continually be contained to reach 3.1% in year 2024.

As for oil prices, the data and conditions indicate that oil markets been exposed to dramatic fluctuations during the year 2023, in light of many different factors that put pressure on prices, including decisions related to production by (OPEC+) and the volume of production, in addition to the impact of economic data, interest rate decisions, and the state of uncertainty that has dominated the markets throughout the year regarding the US Federal Reserve's monetary policy tightening cycle ending date. Among the most prominent factors is that oil prices were in harmony with geopolitical factors and fears associated with many related crises, including the war in Gaza, which broke out at the beginning of the fourth quarter of 2023, raising pressures and fears related to supplies.

On the other hand, the OPEC+ coalition ministers refused to announce any new official cuts in oil production in their last meeting held on November 30, 2023, as the coalition announced an adjustment to total oil production levels to 40.46 million barrels per day, starting from January until the end of 2024. While a number of OPEC+'s member countries individually announced an additional voluntary reduction in oil production, by 1.693 million barrels per day, starting in January 2024 for a period of 3 months. This decision came to ensure the stability of the oil market.
For its part, the Kuwaiti Oil Minister announced an additional voluntary reduction in oil production by 135 thousand barrels per day for a period of 3 months. This reduction is in addition to the voluntary reduction previously announced by the State of Kuwait by 128 thousand barrels per day in April of 2023, which extends until the end of 2024.

As for the position of the export price of Kuwaiti oil, the actual data shown in Chart No. (2) indicates a fall in oil prices at the end of 2023, pressured by the demand concerns outweighed geopolitical risks, in line with the ongoing global macroeconomic concerns and indications of ample supply. After recording a surged in oil prices during the period (August-September) of 2023, boosted by OPEC+'s extensive production cuts and better than expected global oil consumption data. Therefore, Kuwait oil price stood at $80.11/bbl at the end of December 2023, as the prices during the mentioned month were initially boosted by Houthi Rebel attacks on merchant shipping in the Red Sea, causing

many cargos to be diverted to lengthier and costlier routes around Africa, and by hopes that 2024 would see Central Banks cut interest rates sooner and by more than previously anticipated, along with OPEC+'s voluntary supply cuts are set to support prices during Q1 2024, with Angola's decision to leave the coalition having minimal impact.



Source: OPEC Monthly Report

As for Kuwait Stock Exchange, the total liquidity as of December of 2023, reached about 2 billion Kuwaiti dinars, and closed the year with a decline in its collective index, as the price of the all share market index closed at 6,817 points, a decrease of 6.5% compared to the end of 2022, and the main index decreased by 0.5%, bringing the index to 5,569 points during the same period. The premier market index decreased as well by 7.9% bringing the index to reach 7,477 points. As for the main index (50), which includes 50 companies with the highest liquidity value in the main market, it recorded a decrease of 4% at the end of 2023 compared to the previous year, bringing the index to 5,487 points. As for the market capitalization of Kuwait Stock Exchange Sectors, it recorded an annual decline of 13.4% at the end of 2023, reaching KD 40,956 billion. The industrial sector represented 8% of the total market value of the Kuwait Stock Exchange, while the banks sector contributed 60% during the same period.

Central Bank of Kuwait data on credit facilities provided by local banks for the total economic sectors in the country, which is expressed in the balance of the cash part used in credit facilities, reached about KD 53,581 million by the end of December 2023, as shown in the following table:

Sector	Credit Facilities Amount (KD Mn)	%
Manufacturing	2,647	5%
Construction	2,582	5%
Trading	3,536	7%
Real Estate	9,751	18%
Others	35,065	65%
Total	**53,581**	100%

As part of the Central Bank of Kuwait's monitoring of global and local economic conditions and monetary policy trends in major economies, the Central Bank of Kuwait raised the discount rate gradually during the 2023/22 fiscal year by 225 basis points, reaching at the end of the aforementioned fiscal year 4.00% from about 1.75%. At the end of the previous fiscal year. The Central Bank of Kuwait also decided, in July 2023, to raise the discount rate by 25 basis points to 4.25% instead of 4.00%. This came within the line of the balanced approach produced by the Central Bank in raising interest rates in a way that enhances the prudent management of its monetary policy aimed at establishing the foundations of monetary stability and financial stability for the banking and financial sector units, and preserving

the attractiveness of the national currency as a reliable container for local savings, with the aim of strengthening the atmosphere supportive of growth, and sustainable economic development, especially non-oil activities, taking into account the nature of the Kuwaiti economy that is open to the outside world.



Source: Central Bank of Kuwait

Kuwait Manufacturing Sector

As for the manufacturing sector, which is considered one of the main pillars for diversifying the production base in the State of Kuwait, the Public Authority for Industry participated in one project in the annual plan (2024/23) for the establishment, completion, operation and maintenance of the infrastructure for the Shadadiyah Industrial Area. Al-Shadadiya Industrial Area, with an area of 5.89 million square meters, is considered the largest industrial area in Kuwait, as it is scheduled to contain 1,036 industrial plots, distributed into three sectors, first for food industries and containing 299 plots, the chemical industries sector containing 242 plots, and the miscellaneous industries sector containing 495 plots. The completion rate achieved in the Al-Shaddadiyah Industrial Area project reached more than %80, and it is indicated that during the current fiscal year, that is, before the end of the first quarter of 2024, the project will be fully completed.

As for development projects in the petrochemical products and refining sector, Al-Zour Refinery project is considered one of the most important development projects in Kuwait, as Al-Zour Refinery is considered a major vital strategic economic outlet for discharging Kuwaiti oil of its various types through refining it in the refinery. Al-Zour Refinery is considered the largest petrochemical oil refining complex in the world. Which entered into operation in November 2022 (the first and second phases). The total area of the refinery is 16 square kilometers and is managed by Kuwait Integrated Petroleum Industries Company. It includes a number of industrial facilities with an area of about 9 square kilometers, in addition to the presence of export facilities for solid materials, and an artificial island located about 17 kilometers from the seashore, which is used for exporting liquid petroleum products.

IBK Contribution in developing the Industrial Sector

By the end of 2022, IBK has completed fifty years in lending activities, the Bank has provided industrial loans for (1,201) industrial projects. These loans were utilized and made available to (595) industrial establishments in different kinds of manufacturing sectors in the state of Kuwait.

The accumulative industrial loans commitments of the Industrial Bank of Kuwait, since the start of its operations in 1974 until the end of 2023, reached about KD **1.47 billion**, provided to 1,201 projects, whose total cost stood at about **KD 2.5 billion**. The rate of IBK's financing to the cost of the project was an average **59%** of the project cost, and the average cost of the project reached **KD 2 million**, while the average loan size is **KD 1.22 million**.

Economic Activity (ISIC 4)	No. of Project	IBK Loans (KD 000)	Project Cost (KD 000)	% activity / IBK loans
Other non-metallic mineral products (Building Materials)	249	313,904	602,216	21%
Extraction of crude petroleum and natural gas	24	163,328	242,703	11%
Food products	91	141,737	229,793	10%
fabricated metal products, except machinery and equipment	134	131,935	216,324	9%
Basic metals	44	97,047	166,434	7%
Chemicals and chemical products	72	86,235	145,832	6%
Paper and paper products	97	78,806	120,460	5%
Other sectors	490	460,858	776,554	31%
Total	**1,179**	**1,473,850**	**2,500,316**	**100%**

The previous table shows the pattern of industrial financing distribution on various industrial activities during the period 1974-2023, where the manufacture of other non-metallic mineral products (building materials) ranked at the top, with about 21% of the total industrial loans. Extraction of crude petroleum and natural gas ranked second for about 11%. The third rank was occupied by Manufacture of food products whose relative share reached about 10% of industrial loans during the period. The aforementioned three industries together accounted for 41%.

The following table shows the Industrial loans activities during the last five years:

Industrial Loan commitments	2019	2020	2021	2022	2023
Number of Industrial Loans	29	17	20	24	**22**
Projects Cost (KD 000)	52,829	33,775	67,494	51,376	**87,114**
Total Loans commitments (KD 000)	41,774	25,901	61,381	39,138	**60,058**
IBK contribution %	**79**	**77**	**91**	**76**	**69**

Chairman's Message



Dear shareholders

Peace and blessings be upon you

On behalf of the Board of Directors, it is my pleasure and honor to present the Industrial Bank of Kuwait's annual report for the year 2023 illustrating the significant achievements of the bank in the year 2023.

The year 2023 witnessed a set of economic challenges that resulted in a deceleration of the economic growth. In 2023, Kuwait's economy significantly decelerated by – 2.23% following a strong performance in 2022. This downturn is largely attributed to weak global economic activity. Inflation rose globally resulting in the increase of the prices of the main commodities as well as the prices of the raw materials. Food and energy prices rose as a result of the continuation of the Russian-Ukrainian war that has debilitated the international economy and international trade. These developments have forced central banks around the world to rapidly raise interest rates to control inflation, which in turn had an effect in decreasing economic growth. The Central Bank of Kuwait gradually raised discount rates during the fiscal year 2022-23 to reach 4.25% by July 2023.

During the last quarter of 2023, the uncertainty facing the global economy was further aggravated and geopolitical risks escalated following the war in Gaza and tensions in the Red Sea area which affected shipping routes and international trade leading to supply chain disruptions.

For Kuwait, year 2023 witnessed a positive transformation in the country's budget prompting global agencies to commend the surplus in the public budget that reached KWD 6.4 billion aided by an increase of oil revenues. In September 2023, the international rating agency Fitch classified Kuwait's long-term issuer default rating at AA- with a stable outlook. It however expected the budget deficit to return to approximately 0.7% and 0.9% for the fiscal years 2023/2024 and 2024/2025 respectively with the expectation of a decline in oil prices. In the context of credit banking, local banks have shown an improvement with the annual growth rate of credit reaching 2.1% for 2023 with the industrial sector credit share reaching 5% of credit granted.

Despite the political and economic events and turmoil witnessed in 2023 on the regional and global level due to the Russian-Ukrainian war, the war in Gaza and the rising inflation rates and interest rates, the Industrial Bank of Kuwait was able to achieve a growth of 5.5% of total assets reaching KWD 822.8 million. It also managed to achieve a net profit of KWD 19.8 million. International rating agency Fitch affirmed the bank's long-term creditworthiness with a rating of "A" with a stable outlook and a short-term default rating of "F1" with a stable outlook.

During 2023, Industrial Bank of Kuwait continued to support and develop the industrial sector, providing accessible industrial financing for industrial projects. It financed 22 industrial projects with a total amount exceeding KWD 87 million, compared to financing of 24 industrial projects worth KWD 51.4 million in the previous year. With this, the

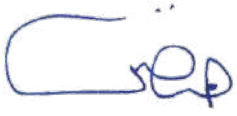
bank's total cumulative industrial loans given since the beginning of financing the industrial projects in 1974 and up to the end of 2023, amounts approximately to KWD 1.47 billion (equivalent USD 4.8 billion) provided to 1201 industrial projects. In addition, the bank continued in supporting the economic development through the management of three specialized financial portfolios on behalf of the government. In 2023, the bank provided, through these portfolios, accessible finance for entrepreneurship activities of private individuals and Kuwaiti Companies running small and medium-sized enterprises, agricultural and livestock companies as well as the industrial finance as per Islamic Sharia' Regulations.

The industrial portfolio of small projects financed 63 projects in various domains with a total amount of KWD 7.56 million. The agricultural finance portfolio financed 40 projects with a financing of KWD 13 million. The Industrial Finance Portfolio provided, as per Islamic Sharia' Regulations, finance for 5 projects amounting to a total of KWD 9.24 million.

I would also like to offer my sincere thanks to His Excellency the Minister of Finance and His Excellency the Governor of the Central Bank of Kuwait for their sponsorship of industrial development and guidance, which has always stood the Bank in good stead. I extend my sincere thanks to my colleagues the IBK Board of Directors for their continuous interest, effort, support and invaluable contribution to the achievement of the Bank's objectives. Finally, I would like to thank all the employees of our Bank for their dedication, sincerity and concerted effort in the performance of their responsibilities that enabled another year of good and stable achievement for the Bank.

In conclusion, the Industrial Bank of Kuwait extends its sincere thanks and gratitude to His Highness the Emir of Kuwait and His Highness the crown prince and His Highness the prime minister for their honorable sponsorship and support which have had a great impact on the bank's performance and success.

God is the Source of All Success!



Mosab S. Al Nisf

Board of Director Members



Mr. Mosab S. Al Nisf

Chairman (As of 10/05/2018)

Represents Kuwait Investment Authority
Head of General Managers:
- Al-Nisf Electrical Co.
- Salem M. Al-Nisf General Building Contracting Co.
  Founder & Partner :
- KMEDIX General Trading Co.

Board Member:
- Kuwait Chamber of commerce & Industry
- Kuwait Institute for Scientific Research - Board of Trustees
- Public Authority for Industry
- Kuwait Banking Association
- Bachelor of Accounting Kuwait University (1998)



Mr. Khaled H. Al Shatti

Vice Chairman (As of 26/09/2023)
Board Member (As of 06/06/2017)

- Represents Al Ahli Bank of Kuwait
- CEO: Fair Real Estate Co. (2011)
- Board Member of Ahli Capital Investment Co.
- Bachelor of Business Administration - Finance - California State University - USA (1988)



Mr. Salah M. Al-Kulaib

Vice Chairman (As of 02/05/1995 Till 25/09/2023)

- Represents Kuwait Flour Mills & Bakeries Co.
- Chairman of Kuwait Supply
- Vice Chairman of Bahrain Flour Mills Co.
- Bachelor of Mechanical Engineering University of New Haven – USA (1977)



Mrs. Aljazi Ali Al-Mishwat

Board Member (As of 12/09/2018)

- Represents Kuwait Investment Authority
- Chief Specialist Custodian Investment Accounts Dept. Kuwait Investment Authority (As 2020)
- Bachelor of Mechanical Engineering Milwaukee School of Engineering - USA (2001)



Sheikha AlAnoud Athbi Al-Sabah

Board Member (As of 12/11/2019)

Represents:
- Commercial Bank of Kuwait (Till 25/09/2023)
- Securities Group Co. (As of 26/09/2023)
  VP Operations-Securities Group (2018)

Board Member:
- Al Jazeera Real Estate Development Co.
- Mowasat Health Care Co.
- Bachelor of Business Administration - Finance
  American University of Kuwait (2011)



Mrs. Basma A. Al-Farsi

Board Member (As of 10/05/2018)

- Represents Kuwait Investment Authority
- Investment Manager - Equities Dept. (As 2018) Kuwait Investment Authority
- Bachelor of Information Management Systems - Kuwait University (2003)
- Harvard Business School GMP (2020)



Mr. Khalifa A. AL-Rashid

Independent Board Member (As of 08/06/2022)

- Director - Debt Capital Markets Division Gulf Investment Corporation (As 2016)
- Board Member ALAFCO Aviation Lease and Finance Co.
- MBA, General & Strategic Management - Kuwait Maastricht Business School 2007
- Bachelor: Accounting - Kuwait University 2002



Mrs. Rasha F. Alamir

Board Member (As of 10/05/2018)

- Represents Kuwait Investment Authority
- Unit Manager - Portfolio Monitoring & Reporting Unit. (as 2017)
- Acting Division Manager - Corporate Development & Reporting Division (as 2021) General Reserves - Kuwait Investment Authority
- Vice Chairman - Ekuity Holding Co. Egypt
- Bachelor of Computer Science- Kuwait University (1994)



Mr. Mazen M. Madooh

Independent Board Member (As of 08/06/2022)

Manager/Partner - Bright Management Consulting Co. (as 2019)
Bachelor of Commerce -Accounting - Kuwait University (1986)



Mrs. Mariam R. Abdulsalam

Board Member (As of 24/04/2022)

- Represents Central Bank of Kuwait
- Manager Deputy- Financial Stability Office Central Bank of Kuwait (2021)
- Master Degree - Finance - London Business School- UK (2017)
- Bachelor: Finance & Financial Institutions - Kuwait University (2011)



Mr. Malek E. Al Ajeel

Independent Board Member (As of 12/12/2023)

Bachelor of Civil Engineering Catholic University of America - USA (1982)



Mr. Esam E. Al Kheshnam

Independent Board Member (As of 26/09/2023)

- C.E.O- the Shared Electronic Banking Services Co. (Knet) (2022)
- Computer Engineering – The University of The Pacific – USA (1991)



Mr. Mutlaq Y. Al Zayed

Board Member (As of 26/09/2023)

- Represents Kuwait Flour Mills & Bakeries Co.
- C.E.O- Kuwait Flour Mills & Bakeries Co. (as 2013)
- Member -Public Authority of Agriculture Affairs and Fish Resources
- Bachelor of Business Administration Concordia University – USA (1985)



Mr. Abbas A. Radhi

Independent Board Member (As of 27/07/2021 Till 25/09/2023)

Responsible Partner - Awael Public Accountants and Management Consultants – Bahrain (as 2016)
Independent Board Member at:
- Solidarity Group Holding - Bahrain
- BMMI Co. - Bahrain
- Shaheen Holding Group - Bahrain

Qualifications:
- Certified Public Accountant (CPA) - USA (1996)
- Certified Arab Accountant (CAA), International Arab Society of Certified Accountants. (1988)
- Master of Business Administration (MBA) majoring in commercial law and finance - Maine State University - USA. (1984)
- Master of Science in Business (MSB) majoring in accounting - Husson University, Maine - USA. (1983)
- Bachelor of Accounting (BSc) - Kuwait University (1977)
- "Insiad" certification for qualification as a board member

Capitalization & Ownership

No	Shareholder Name	No. of Shares (1000 KD)	Percentage of ownership
1	Ministry of Finance	627,803	31.390
2	Wafra International Investment Company K.S.C.C. (Customers)	464,199	23.210
3	The Central Bank of Kuwait	251,121	12.556
4	Commercial Bank of Kuwait K.P.S.C.	139,182	6.959
5	The Securities Group Company K.S.C.	91,686	4.584
6	Al-Ahli Bank of Kuwait K.S.C.P.	89,686	4.484
7	Privatization Holding Company K.S.C.	89,686	4.484
8	Kuwait Flour Mills & Bakeries Co. S.A.K.C.	89,686	4.484
9	Kuwait Investment Company S.A.K. (KIA)	71,749	3.587
10	Arab Investment Co. K.S.C.C.	53,812	2.691
11	Burgan Bank K.P.S.C.	17,937	0.897
12	Bobyan Petrochemical Company K.S.C.	13,453	0.673
	Total	2,000,000	100.000

Board of Directors and Committees

General Responsibilities

• The Board has the overall responsibility for the Bank, including approving and overseeing the implementation of the Bank's strategic plans, risk strategy, and corporate governance standers. The Board is responsible for providing oversight of the Bank's senior management, including the CEO.

• The Board assumes ultimate responsibility for the Bank's business and its financial soundness, fulfilment of the Central Bank of Kuwait requirements, protecting the legitimate interests of shareholders, depositors, creditors, staff and stakeholders, and ensuring that the Bank is managed in a prudent manner and within the applicable laws and regulations and the internal policies and procedures.

Board Meetings

Members	No. of Meetings	Attendance No.
Mr. Musab S. Al Nisf – Chairman	10	10
Mr. Khaled H. Al Shatti – Vice Chairman		10
Mr. Salah M. Al-Kulaib – Vice Chairman (till 25/9/23)		7
Mrs. Aljazi A. Al-Mishwat		8
Sheikha Al Anood A. Al Sabah		10
Mrs. Basma A. Al- Farsi		9
Mr. Khalifa A. AL-Rashid		10
Mr. Rashed A. Al-Haroun (since 26.9. to 10.10.23)		1
Mrs. Rasha F. Alamir		8
Mr. Abbas A. Radhi (till 25.9.23)		7
Mr. Esam E. Al Kheshnam (since 26.9.23)		3
Mr. Mazen M. Madooh		10
Mr. Malek E. Al Ajeel (since 12.12.23)		0
Ms. Mariam R. Abdulsalam		9
Mr. Mutlaq Y. Al Zayed (since 26.9.23)		2

Board Committees

Governance Committee

The role of the Governance Committee is to assist the Board of Directors in fulfilling its supervisory responsibilities relating to the application of proper governance of the Bank; including establishing a set of guiding principles for corporate governance, the preparation and updating the Bank's governance guide and follow-up on the adherence with the parties involved, and provide the board of Directors reports on this subject.

Members		No. of Meetings	Attendance No.
Mr. Khaled H. Al Shatti	- Chairman (since 27/9/2023)	3	1
Mr. Salah M. Al-Kulaib	- Chairman (till 25/9/2023)		2
Mr. Malek E. Al Ajeel	- Member (since 12.12.2023) - Vice Chairman (since 27.12.2023)		1
Mrs. Rasha F. Alamir	- Vice Chairman (till 25/9/2023)		1
Mrs. Aljazi A. Al-Mishwat	(since 27/9/2023)		1
Sheikha Al Anood A. Al Sabah	- Member		3
Mrs. Basma A. Al- Farsi	(since 27/9/2023)		1
Mr. Rashed A. Al-Haroun	- Member (since 27.9. to 10.10.2023)		0
Ms. Mariam R. Abdulsalam	- Member		2

Audit Committee

The role of the Audit Committee is to assist the Board of Directors to fulfill its auditing responsibility, related to the following:

- The integrity of the financial statements of the Bank.
- Oversight of the financial reporting process and disclosures.
- Internal control systems and financial accounting.
- The internal audit function (including the responsibilities and the estimated Budget).
- The independent annual audit of the financial statements.
- Evaluate the performance of the external and internal auditors.
- Ensuring Bank's compliance to relevant policies, rules, regulations and instructions.

Members		No. of Meetings	Attendance No.
Mr./ Esam E. Al Kheshnam	- Chairman (since 24.10.2023) - Member (since 27.9.2023)	7	1
Mr. / Abbas A. Radhi	- Chairman (till 25/9/2023)		5
Mr. / Mazen M. Madooh	- Vice Chairman (since 24/10/2023)		7
Mrs. Rasha F. Alamir	- Vice Chairman (till 25/9/2023)		3
Mrs. / Aljazi A. Al-Mishwat	- Member (since 27/9/2023)		2
Sheikha / Al Anoud A. Al-Sabah	- Member (till 25/9/2023)		4
Mrs. / Basma A. Al-Farsi	- Member (till 25/9/2023)		5

Nominations and Remuneration Committee

The role of the Nomination and Remuneration Committee is to assist the Board of Directors in fulfilling its oversight on the identification of persons eligible for membership of the Board of Directors; the Committee will submit its recommendations to the Board regarding candidates to different committees. The committee is also responsible for the draft, review and update of the Remuneration policy, and assist the board in evaluating the effectiveness and fairness of the policy, and to ensure that the policy is appropriate with the strategic objectives of the Bank.

Members		No. of Meetings	Attendance No.
Mr. / Khalifa A. Al-Rashid	- Chairman	6	6
Mr. / Khaled H. Al Shatti	- Vice Chairman (since 9/11/2023)		5
Mr. / Salah M. Al-Kulaib	- Vice Chairman (till 25/09/2023)		5
Mrs. / Aljazi A. Al-Mishwat	- Member (till 25/09/2023)		5
Mrs. / Basma A. Al-Farsi	- Member (till 25/09/2023)		4
Mr. / Abbas A. Radhi	- Member (till 25/9/2023)		5
Mrs. Rasha F. Alamir	- Member (since 25/9/2023)		1
Mr. / Mazen M. Madooh	- Member (since 27/9/2023)		1
Mr./ Mutlaq Y. Al Zayed	(since 27.9.2023)		1

Risk Management Committee

The role of the Risk Committee is to provide advice to the Board of Directors to meet its supervisory responsibilities related to current and emerging risks, strategies and limits of risks associated with the activities of the Bank's banking and credit activities, including investment portfolio. The Risk Management Committee is responsible for monitoring the implementing of the risk management policies and strategies.

Members		No. of Meetings	Attendance No.
Mr. / Mazen M. Madooh	- Chairman (As of 15/11/2023) - Vice Chairman (till of 25/9/2023)	4	4
Mr./ Esam E. Al Kheshnam	- Vice Chairman (since 15.11.2023) - Member (since 27.9.2023)		1
Mrs. / Basma A. Al-Farsi	- Member (since 27/09/2023)		1
Mr. / Khaled H. Al Shatti	- Member (till 25/9/2023)		3

Finance and Investment Committee

The role of the Finance and Investment Committee is to assist the Board of Directors of the Bank to fulfill its responsibilities relating to industrial and commercial lending, and investment activity of the Bank.

Members		No. of Meetings	Attendance No.
Mr. / Musab S. Al Nisf	- Chairman		7
Mr./ Mutlaq Y. Al Zayed	- Vice Chairman (since 29.10.2023) - Member (since 27.9.2023)		1
Mr. / Salah M. Al-Kulaib	- Vice Chairman (till 25.9.2023)		5
Mrs. / Aljazi Ali Al-Mishwat	- Member (till 25.9.2023)		5
Sheikha / Al Anoud Athbi Al-Sabah	- Member (since 27/9/2023)		1
Mr. / Khalifa A. Al-Rashid	- Member		7
Mr. / Rashed Ahmed Al-Haroun	- Member (since 27.9. to 10.10.2023)		0
Mrs. Rasha F. Alamir	- Member (since 27/9/2023)		1
Mr. / Malek E. Al Ajeel	- Member (since 12.12.2023)		0

Protection of Shareholders' and Stakeholders' Rights Policy

1) Purpose & Scope

IBK is committed to the rules and regulations including Corporate Governance instructions issued by the CBK, as well as the banks' Articles and Memorandum of Association and internal policies, include the controls and basis for protecting stakeholders' rights, particularly, clients, borrowers, vendors, investors, business partners, shareholders, etc.
This policy aims to safeguard the Banks' stakeholders and ensure adequate and equitable treatment.

The purpose of this policy is to ensure that IBK is committed to:

- Stressing on the importance of respecting stakeholders' rights as per the applicable laws, bylaws and regulations.
- Protecting shareholders rights including minority shareholders and the Bank's various stakeholders.
- Providing timely and accurate information of the Bank (i.e. financial information and major shareholders).
- Encouraging effective participation of shareholders at General Assembly meetings while respecting their rights in line with the Bank's AoA, By-Laws and the prevailing laws.
- Ensuring timely disclosure to the shareholders, regulatory bodies and the general public as per the requirements of the various regulatory authorities and the applicable laws.
- Setting in place the required controls, policies and processes to effectively implement this Policy and the protection of stakeholders and shareholders rights.

2) Responsibilities for the Protection of Shareholders and Stakeholders Rights

Definitions:

Shareholder: The owner of one or more shares in the Bank. A shareholder should have his/her name registered with the Bank, and may hold a share certificate which has been assigned over to him/her.
Stakeholder: Any person or entity that has a relation with the Bank is its stakeholder. Stakeholders of the Bank include the Bank's customers, shareholders, creditors, suppliers, employees, the society and the environment, and other related parties.

Roles and Responsibilities

IBK realizes that stakeholders' rights constitute an essential part of the Bank's corporate governance culture. The Bank's goals and achievements are the result of the efforts of the IBKs various stakeholders.

Board of Directors

- The BoD are accountable to the shareholders and stakeholders of the Bank.
- The BoD must emphasize on the equitable and fair treatment of all shareholders, including minority, and give them the opportunity to question the BoD and rectify any violations preventing them for exercising their rights.
- The BoD shall stress on the Bank's bylaws, policies and processes to emphasize on the importance of respecting stakeholders' rights as per relevant laws, bylaws and instructions from regulators, and approve their rights to
- rectify any violations of their rights in line with the relevant laws.
- The BoD shall oversee whether the CEO and executive management exercise competent and ethical activities of the Bank on a day-to-day basis and assure that the long-term interests of shareholders and the stakeholders are provided.
- The BoD is responsible for protecting the interests of the shareholders and stakeholders by ensuring that the Bank's is adhering to the applicable policies, procedures and regulations pertaining to their rights.
- The BoD shall ensure proper management and control of potential risks that may affect the Bank, particularly its shareholders and the stakeholders.
- The BoD shall assure that their role is not restricted only to the Banks performance, but shall take into account the potential risks on the interests of depositors.
- The BoD is responsible for engaging shareholders to actively participate at AGMs. Other responsibilities include, but is not limited to:
    - Notifying shareholders of the AGMs date and time and agenda at a sufficient time before the meeting and providing them with voting rules and procedures. Furthermore, the location and timing of the meeting shall be announced for the public as per prevailing laws and regulations.

- Disclosing the capital structure or any arrangements which might result in certain shareholders controlling the Bank.
- Enabling the shareholders to read and review the minutes of meetings of the AGMs.
- Preparing a statement of financial and non-financial penalties imposed on the Bank during the financial year according to Article (85) of Law No. 32 of 1968. Such statement will be read by the Board Chairman at the AGM.

The BoD ensures that there is an effective and efficient disclosure system and annual reporting, pertaining to financial, governance and risk related disclosures, in place within the Bank to enable the shareholders and stakeholders to monitor the performance of the Bank and its management and exercise their rights.

Chairman

- The Chairman of the BoD shall act as the primary spokesperson for the BoD and as a representative of the BoD to shareholders and stakeholders.
- The Chairman presides over all shareholders' meetings and ensures that shareholders and stakeholders are sufficiently informed on the performance of the Bank and provided with the relevant information in a timely manner.
- The Chairman shall ensure that the Bank has sound corporate governance standards in place in order to protect shareholders' and the stakeholders' rights.
- The Chairman shall ensure that AGM and EGM are efficiently and effectively organized with the assistance of the BoD Secretary.
- The Chairman shall ensure that the Bank's management is aware of any concerns of either the BoD or othe stakeholders.

Chief Executive Officer (CEO)

- The CEO shall foster a high performing corporate culture within the Bank that promotes ethical practices, encourages individual integrity/accountability, and social responsibility.
- The CEO shall ensure that all operations and activities of the Bank are conducted in accordance with the applicable laws, regulations, the Bank's AoA, and in accordance with the policies and procedures approved by the BoD.
- The CEO shall ensure that the Bank's assets are adequately safeguarded and optimized in the best interests of the shareholders.
- The CEO shall establish a transparent and comprehensive management reporting mechanism to the BoD on all activities and performance results of the Bank.

External Auditor

- The external auditor is responsible for assuring the accuracy and quality of financial reports of the Bank which are provided to the shareholders and other stakeholders.

Compliance and Anti Money Laundering

- The Compliance and Anti Money Laundering functions shall establish mechanisms to ensure compliance with various local laws and regulations, including prevailing CBK regulations and guidelines, as well as instructions pertaining to AML and CFT, in addition to Law No. (106) of 2013.

Internal Audit

- The Internal Audit function is responsible for providing assurance over the adequacy, effectiveness, and reliability of functions controls along with ensuring appropriate control environment is established within the Bank as per the Internal Audit scope and mandate set in the Internal Audit Charter.

Disclosures

- The Bank shall abide by all the regulatory requirements pertaining to disclosures in line within the Bank's Disclosure Policy.

3) Shareholders Rights

Protection of Shareholders Rights

The Bank is committed to creating sustainable shareholder value and aims to provide prolific financial returns and act in the best interests of its shareholders.

The Bank's policies, procedures, and practices must reflect the provisions of the laws, bylaws and regulations issued by regulatory entities, such as; controls and measures of protecting shareholders rights, and equality.

Shareholders Rights

- Reviewing and participating in the decisions related to amending the Bank's Article and Memorandum of Association, as well as the decisions related to non-ordinary transactions which might affect the Bank's plans or activities, such as; mergers, sale of a substantial portion of its assets, or establishing subsidiaries.
- Contributing in the decision-making process of any potential significant changes made within the Bank.
- Receiving minutes of meetings of the AGM.
- Shareholders representing fifteen percent of the issued share capital of the Bank or the Ministry, may request for an Extraordinary General Meeting.
- Electing and appointing members of BoD.
- Receiving accurate, timely, and comprehensive information to assist in evaluating the performance of the Bank.
- Hold the Board of Directors and executive management accountable and pursue legal action for responsibility in case if they fail to perform the assigned tasks.
- Securities issued by the Bank shall be subject to the Central Depository System of Securities with the Clearing Agency.
- Receipt of depositing securities with the Clearing Agency shall be considered as a title to the securities and each owner shall deliver a receipt with the number of securities he owns.
- The Bank shall have a special register to be kept with a Clearing Agency, and the names, nationalities and domicile of the shareholders shall be recorded in the Register, the number of shares owned, the type and value paid for each share. The Bank or the Clearing Agency shall be required to provide data from this Register.
- Each share entitles its owner to a share equal to that of another, without discrimination in the ownership of the assets of the bank and in the dividends. Equity of the same class shall be equal in rights, privileges or restrictions, rights, privileges or restrictions relating to a type of shares may be amended only by a resolution of the Extraordinary General Assembly and with the approval of two thirds of the holders of the type of shares to which it relates after the amendment.
- Receive the dividends proposed by the BoD and determined by the AGM and receive the bonus shares to be distributed.
- Participate in the management of the bank through membership in the BoD and attend AGM's and participate in its deliberations, in accordance with the provisions of the Companies Law and the bank's articles of association. Any agreement to the contrary shall be null and void.
- Obtaining a share of the bank's assets upon liquidation after meeting its debts.
- Obtain at least seven days prior to the AGM, the bank's financial statements for the past accounting period, the report of the BoD and the report of the auditor.
- Disposal of shares owned by them and priority in subscribing to any new shares in accordance with the provisions of the Companies Law and the Bank's AoA.

4) Stakeholders Rights

Protection of Stakeholders Rights

The Bank is committed to ensuring delivery of the appropriate stakeholder rights and interests and aims to provide protection for its stakeholders in the best practice.

The Bank shall set a mechanism to ensure maximum benefit is received from stakeholders' contributions and encourages stakeholders to participate in monitoring its activities.

The Bank shall set appropriate mechanisms that would allow stakeholders to report to the Bank's Board of Directors on any improper practices which the Bank exposes them to, while providing them with adequate protection.

Employee Rights

- The Bank is committed to treating its employees fairly and providing equal employment opportunities for all employees in its employment practices, including recruiting, compensation, professional development and career progression.
- The Bank shall attract, develop and retain competent people by providing fair working environment and involving them in prominent decision making process.
- The BoD believes in providing safe and healthy working conditions, respecting human rights, and respecting employee rights.
- The Bank shall abide by the Kuwait Labor Law, and ensure that the Human Resources policies are adequately prepared to reflect best practices in line with the Laws of the State of Kuwait.

Suppliers and Service Providers Rights

- The Bank is committed to dealing with suppliers in a straightforward and honest manner, and seeks to build and maintain good relations with suppliers & service providers and shall ensure the confidentiality of information related to

them is protected. For that purpose, IBK is to devise procurement policies and a supplier code of conduct.

- IBK shall ensure that contracts signed with suppliers ensure the best interest of both parties.
- IBK is committed to establish mechanism for supplier to report suspected fraud, waste or misuse of the bank resources or property.
- IBK is committed for settling complaints or disputes which could arise between the Bank and its suppliers in a fair manner for the best interest of both parties.

Customers Rights

- The Bank shall ensure the protection of the rights of its customers by maintaining open communications with them, while taking point on their concerns, and acting upon them.
- The Bank shall develop adequate customer complaints and protection policies on order to safeguard the best interests of the customers.
- All the stakeholders shall be given an opportunity to provide feedback on the business decisions and on their experiences with the bank.
- All complaints and disputes will be addressed promptly and within the guiding principles of transparency, fairness, respect and accountability.
- The Bank respects the values and culture of each stakeholder. When disagreement with stakeholders occurs and
- cannot be resolved, the Bank employees shall always demonstrate respect for the diversity of views presented and try to
- resolve issues as quickly as possible.
- The Bank shall have a customer complaints unit to be in charge of receiving customers complaints, and acting upon them in order to ensure the satisfaction of the banks customers and protecting their rights accordingly.
- No preferences shall be given to any related party dealing with the Bank, who shall be dealt in the same way as any other stakeholder.
- The Bank and the stakeholders are required to maintain confidentiality of information and an agreement shall be
- entered between the parties in this regard.

Community Interests

The Bank is committed to contributing to the overall quality of life wherever it operates and to use resources responsibly to preserve the environment. The BoD wants communities to count on the bank's help in civil, charitable and other community activities by fulfilling its social responsibilities.

Furthermore, in order to develop successful stakeholder relations, the Bank shall follow the following principles:

-Those affected by the Bank's business have a right to be informed about the bank's activities, participate in a transparent stakeholder engagement process and be involved in issues and opportunities that affect them.

-Stakeholders shall be provided with timely and accurate information about the Bank's business and the Bank shall take into account the needs and concerns of stakeholders when making decisions on the bank's behalf.

-All the stakeholders shall be given an opportunity to provide feedback on the business decisions and on their experiences with the bank.

-The Bank respects the values and culture of each stakeholder. When disagreement with stakeholders occurs and cannot be resolved, the Bank employees shall always demonstrate respect for the diversity of views presented and try to resolve issues as quickly as possible.

-No preferences shall be given to any related party dealing with the Bank, who shall be dealt in the same way as any other stakeholder.

-The Bank commits to promote contracts and deals of various types, through bids or various purchase orders and to fully disclose it in its related registers.

- The Bank shall be committed to maintaining positive working relationships with its stakeholders and to meet their requirements in a timely and effective manner.
- The Bank shall develop collaborative and two-way communication programs to improve the involvement of the stakeholders in the activities of the Bank.
- All stakeholders shall have an opportunity to inform the Chairman of any inappropriate practices in line with the whistleblower policy.
- All complaints and disputes will be addressed promptly and within the guiding principles of transparency, fairness, respect and accountability.
- The Bank shall ensure adequate disclosures in line with regulatory requirements and other disclosures to the public through its annual report, local newspapers and the Bank's official website.
- The Bank shall maintain and promote fair dealing with its stakeholders and contracts or projects shall be entered only after obtaining competitive quotes from various parties. The policies with respect to entering into contracts shall be followed by the Bank in all cases.
- The Bank and the stakeholders are required to maintain confidentiality of information and an agreement shall be entered between the parties in this regard.

Executive Management



Corporate Governance Report

Corporate Governance

Introduction

The Bank has a Corporate Governance Framework in place to ensure that the Bank is appropriately governed as per best practice. The Board of Directors sets the corporate governance policies and directs the process framework and is responsible for ensuring good corporate governance for the Bank while adhering with the guidelines of the Central Bank of Kuwait in letter and spirit.

Board's certificate on adequacy of Internal Control Systems

The Board is responsible for the establishment and review of the Bank's system of internal control, which is designed to ensure effective and efficient operations; quality of internal and external reporting; internal control; and compliance with laws and regulations. It should be noted, however, that such a system is designed to manage, rather than eliminate, the risk of failure to achieve business objectives. The system of internal control can only provide reasonable but not absolute assurance against the risk of material loss. Management is responsible for establishing and maintaining the system of internal controls.

The effectiveness of the internal control system is reviewed regularly by the Board and the Audit Committee, which also receives reports of reviews undertaken by Internal Audit Department.
Risk Management Department reviews all policies and procedures that underpin the internal control framework. It also reviews risks at the departmental and enterprise level. The Risk Committee reviews all identified risks and their mitigation.

The Audit Committee evaluates reports received from the external auditors, and discusses the issues with them over periodical meetings. The Audit Committee is further responsible for overseeing financial and Internal Control Review (ICR) reports.

The Board has assessed the effectiveness of the internal control system and the Bank's risk and financial reports for the year 2023, and concluded that there are no significant deficiencies, confirming effective operation and design of the Bank's internal control system.

Corporate Governance compliance assessment

The Bank has complied with all applicable requirements as per the corporate governance manual as well as with the Code of Conduct and Ethics, which are accessible through the Bank's website through the following link:

https://www.ibkuwt.com/en/about-ibk/corporate-governance-2.

Bank's Financial Remuneration Policies

Remuneration Policy

The Bank's Remuneration Policy is designed to attract and retain highly qualified, skilled, and knowledgeable professionals and incorporates all the requirements of the CBK as mentioned within its corporate governance instructions. The Policy includes all necessary aspects and components of financial remuneration considering reinforcing the Bank's performance objectives and effective risk management.

The Bank's Board, based on the Board Nominations and Remuneration Committee (NRC) recommendations, approves and modifies the Bank's remuneration policy and its design (if any), and reviews the process of its implementation to ensure that it is operating as intended.

Remuneration components:

The various remuneration components are combined to ensure an appropriate and balanced remuneration package that reflects the characteristics of the business, the employee's grade in the Bank and the job function as well as market practice concerning the prevailing remunerations level. The employee remuneration consists of fixed remuneration like salary and other benefits, in addition to variable yearly performance-based remuneration.

The fixed remuneration is determined on the basis of the role of the individual employee, including job responsibility, job complexity, grade, performance and local market conditions and the applicable laws.

The performance-based incentives (STI for all employees and LTI for senior management) are designed to motivate and reward the employees to achieve the goals and objectives of the Bank as per the strategy and annual plans of the Bank.

Performance based incentives are disbursed as an annual cash bonus for employees. The incentive schemes are linked with a balanced mix of performance indicators at the corporate level and the employee level. The primary goal of the STI is to align the incentive with the Bank's annual performance and individual contributions. The LTI for the senior staff is designed to encourage sustainable and risk adjusted long term performance of the Bank.

The Bank implements a formal performance management process for evaluating and measuring staff performance at all levels. In the beginning of the year, the staff and their performance managers plan and document the annual performance goals (KPIs), required competencies and personal development plans for the staff. At the annual performance appraisal, the performance managers and the reviewers evaluate and document performance against the KPIs / performance objectives. Decisions on adjustment of the employee's fixed salary and on performance-based incentives are made on the basis of the annual performance review.

Other benefits like annual leave, medical leave and other leaves, medical insurance, annual tickets, and allowances are provided on the basis of approved policy, and local market practice subject to the applicable laws.
The CEO oversees the implementation of the remuneration system of the employees as per the approved policy, including the design and related procedures. The Board NRC periodically evaluates the sufficiency and effectiveness of the Remuneration Policy to ensure its alignment with the Bank's objectives. The NRC assists the Board to conduct an independent annual review of the Bank's compliance with the Remuneration Policy.

Complying with the Corporate Governance Requirement, the financial remunerations paid to the following groups of employees are disclosed hereunder:

First category: Include CEO, his deputies and /or the other Senior Executives whose appointment is subject to the approval of the regulatory and supervisory authorities.

Second category: Include material risk takers.
Third category: Include the Financial and Risk Control Staff.

Financial remuneration paid for the above categories are:

Category	Nb. Of Staff	Remuneration Paid (annual)			
		Fixed	Mode of Payment	Variable	Mode of Payment
First Category	4	Salaries: 404,434 KD Tickets: 4,815 KD Insurance benefits: 4,732 KD Yearly bonus: 60,665 KD Social Security: 11,055KD	Cash Cash Cash Cash Deferred Cash	Special bonus: 521,375 KD	Cash
Second Category	6	Salaries: 310,584 KD Tickets: 12,515 KD Insurance benefits: 7,887 KD Yearly bonus: 46,588 KD Social Security: 22,770 KD	Cash Cash Cash Cash Deferred Cash	Special bonus: 150,105 KD	Cash
Third Category	6	Salaries: 218,568 KD Tickets: 13,558 KD Insurance benefits: 6,330 KD Yearly bonus: 32,785 KD Social Security: 10,673 KD	Cash Cash Cash Cash Deferred Cash	Special bonus: 99,821 KD	Cash

The yearly remunerations (including salaries, yearly bonus, tickets, insurance benefits, social security and special bonus) paid for the five senior executives who have received the highest remuneration packages and for the Chief Internal Auditor and Chief Risk Officer (7 persons) amounted to 704,891 KD.
The financial remuneration package paid to the Board of Directors amounted to 366,675 KD.

protiviti
Face the Future with Confidence

The Board of Directors
Industrial Bank of Kuwait
P.O. Box 3146, Safat 13032
State of Kuwait

2 January, 2023

Dear Sir,

In accordance with our letter of engagement dated 15 March 2022, please find appended the follow up report as at 31 December 2022 for the exceptions noted during the Accounting and Other Records and Internal Control Systems (AORICS) Reviews for 2021 and which were outstanding as at 30 September 2022 for Industrial Bank of Kuwait.

Our review has been carried out as per the requirements of the Central Bank of Kuwait (CBK) circular dated 19 January 2022.

A summary of the implementation status is as below:

Sr. No	Department	Total No of Observations as at 30 September 2022	No of Implemented Observations	No of Un-Implemented Observations	Partially-implemented Observations
1	Information Technology	2	1	1	-
2	Anti-Money Laundering and Terrorist Financing	1	-	-	1
3	Compliance	1	1	-	-
4	Credit Administration	1	1	-	-
5	Industrial SMEs portfolio	3	1	-	2
6	Industrial finance Islamic portfolio	1	-	-	1
Total		9	4	1*	4**

1. With regards to the Un-Implemented observation, they are as follows:

*(1) One observation where the expected date of completion is not yet due.

- With regards to the Partially-implemented observations, they are as follows:

**(4) One observation which was due for implementation and the expected date of implementation has been extended as shown in the report. And 3 observations were partially implemented, and the expected date for implementation is not yet due.

Yours faithfully,

Sanjeev Agarwal
Managing Director
Protiviti Member Firm Kuwait



Executive Report

By the end of 2023, the bank had completed the second year of its five-year strategic plan for 2022-2026, which aims at strengthening the role of the Industrial Bank of Kuwait in developing the industrial sector and making it one of the important economic resources in the State of Kuwait. In implementing its strategic plan, the bank is keen on developing mechanisms for implementing a comprehensive digital transformation to improve and enhance electronic banking services provided to customers, enhance the assessment methods for measuring credit and other risks, and support environmental, social and institutional governance.

Despite the global political and economic events and turmoil witnessed during the year of 2023 at the regional and global level due to the Russian-Ukrainian war, the war in Gaza and the rising inflation and interest rates, the bank was able to achieve a growth of 5.5% of total assets to reach KWD 822.8 million in 2023 compared to KWD 780 million in 2022.

In addition, industrial loans increased by 23.4% to reach KWD 118 million by the end of 2023 compared to KWD 95.6 million in 2022. The overall portfolio of loans and advances reached KWD 290.7 million by the end of 2023, an increase of KWD 1.7 million over the year of 2022 at KWD 289 million. Significantly, the rate of default on loans decreased from 0.63% in 2022 to 0.47% by the end of 2023.

With regard to the profit and loss statement for 2023, the net interest income increased by KWD 5.5 million or by 36.4% compared to 2022. In addition, total expenses decreased by KWD 2.4 million or by 14.4% over 2022. However, the decrease in the value of recoveries from bad debts amounting to KWD 13.9 million or by 88.5% over 2022 lead to a decline in the net profit for year 2023 to KWD 19.8 million compared to KWD 29.4 million in 2022, a decline of 32.6%.

Internal Control

Based on the directives of the Board, the bank's management applies an internal control system on banking operations. These controls regulate data and accounting records and all banking transactions while providing protection against the banking risks in accordance with the guideline of the Central Bank of Kuwait. The bank also reviews these internal control systems on a regular basis by an external auditor and makes necessary amendments to procedures, if required. New policies and procedures or amendments to policies and procedures are independently reviewed by Risk Management and submitted to the Audit Committee and finally to the Board for approval. The bank administration ensures that all employees are complying with the approved operating procedures for all its activities.

On periodical basis, the bank's internal auditors review the adequacy and sufficiency of the bank's internal control systems and the extent of its compliance with the approved policies and procedures. Internal Audit submits their report directly to the Audit Committee of the Board.

Based on reports and feedback from Internal Audit and Risk Management, submission of self-assessment reports on operational risks by business departments and units and the audited financial reports of the year 2022, the bank's management submits that the bank's internal control framework does not suffer from fundamental defects and is functioning properly as mandated.

God is the Source of All Success!



Ali A. Khajah

Achievements of Main Operational Activities:

Industrial loans

During the year 2023, the bank has completed studying 22 industrial loan requests, which were approved to be granted long-term industrial loans, consisting of 15 expansion projects and 7 new projects. The total industrial loans commitments reached KD 60 million in year 2023, with total projects cost of about KD 87 million. The total industrial loans commitments represented 69% of total projects cost.

Loan Commitments During 2023

Sub-Sector	No. of Projects	Total project Cost	IBK Financing	Finance Share %
		(KD)		
Mining support service activities	1	2,746,000	1,370,000	2.3
Manufacture of food products	1	1,787,000	1,430,000	2.4
Manufacture of textiles	1	103,500	103,500	0.2
Manufacture of paper and paper products	1	2,090,000	2,090,000	3.5
Printing and reproduction of recorded media	1	1,717,000	1,500,000	2.5
Manufacture of chemicals and chemical products	2	8,693,000	7,330,000	12.2
Manufacture of pharmaceuticals, medicinal chemical & botanical products	1	24,360,000	13,800,000	23.0
Manufacture of rubber and plastics products	2	2,808,000	2,570,000	4.3
Manufacture of other non-metallic mineral products	3	13,013,500	9,113,500	15.2
Manufacture of basic metals	2	18,870,000	12,850,000	21.4
Manufacture of fabricated metal products, except machinery and equipment	3	2,279,750	1,495,000	2.5
Manufacture of furniture	2	1,028,000	825,000	1.4
Civil engineering	1	604,000	400,000	0.7
Warehousing and support activities for transportation	1	7,114,000	5,200,000	8.7
Total	**23**	**87,213,750**	**60,077,000**	**100**

The table indicates that the Manufacture of pharmaceuticals, medicinal chemical & botanical products sector ranked first, accounting for 23% of industrial loans commitments in year 2023, this is due to financing one industrial project for a financing amount of KD 13.8 million while Manufacture of basic metals came second representing 21% of industrial loans commitments in year 2023.

Industrial Loan Commitments during 2017-2023

	2017	2018	2019	2020	2021	2022	2023	Cumulative 1974-2023
Number of industrial Loans	27	17	29	17	20	24	22	1,201
Total Cost of Projects Financed (KD 000)	86,047	20,075	52,829	33,775	67,493	51,376	87,214	2,500,926
Total loan Commitments (KD 000)	56,038	12,283	41,774	25,901	61,381	39,138	60,077	1,473,869
Percent of Commitments-to-Total Project Costs (%)	65	61	79	76	91	76	69	59
Average Project Cost (KD 000)	3,187	1,181	1,822	1,987	3,375	2,138	3,792	2,082
Average IBK Financing/project (KD 000)	2,075	723	1,441	1,524	3,069	1,631	2,612	1,227

Cumulative industrial loans commitments since the bank commenced lending operations in year 1974 until the end of year 2023 reached KD 1.474 bn, representing 59% of the aggregate project costs of KD 2.501 bn for 1,201 projects financed by IBK.

Corporate Finance

The Commercial Banking Relationship Management Department continued, during 2023, to offer a full range of commercial banking facilities to the industrial sector clients in Kuwait by providing working capital facility, project finance facility, short/medium term loans. The department also provided bridge financing to industrial clients pending approval / disbursement of long term industrial loans. The banking facilities granted by the department are priced at market rates. In addition, the department is also responsible for the establishment and monitoring of treasury lines to domestic and international banks and financial institutions.

The year 2023 has witnessed many challenges due to high inflation rates, ongoing political turmoil, and geopolitical developments in the world, and the consequent rise in raw materials prices and the continued increase in discount interest rates by Kuwait Central bank, which led to lending rates drop during the year. In addition, many clients prepaid their credit loans and reduced their credit exposures due to mentioned economic conditions. which led to drop in granted cash facilities comparing with targeted figures, the portolio size recorded total cash facility of KWD 169,360 Mil comparing the target of KWD 172,000 Mil. One more reason of the said drop in portolio balance is the fewer new projects in different sectors which normally play an important role in our portfolio growth. However, it is noticeable that our client base has increased by granting them a new non-cash banking facilities and establishing a new credit and banking relationship with new clients to keep pace with our bank's objectives in contributing to the development of the industrial sector in Kuwait and providing all support to industrial projects by providing banking services and credit facilities to industrial companies.

In continuation of the bank's policy of focusing more on the local market, the international markets conditions are still conservative.

Direct Investment

The Direct Investment & Promotion Department ("DIP") continued investing cautiously in promising opportunities within the Private Equity space (including Venture Capital & Infrastructure) primarily through existing fund managers who have performed well for the bank which has been amply demonstrated through their successful track record. These managers have stuck to their core strategies and investment discipline despite a slowdown in global economic activities; although inflation has declined during 2023 as compared to the highest inflation rates in decades seen during 2022, it still remains above target and financial conditions in most regions continue to remain tight with

interest rates expected to be cut from Q2'24; Middle East conflicts (Gaza Conflict and Red Sea standoff between US/UK & Houthis) coming on top of Russia's invasion of Ukraine all weighing on the outlook for 2024. World Bank on 9th January 2024 has forecasted global growth to further slow down to 2.4% from %2.6 in 2023 as compared to 3% growth rate seen in 2022.

The bank's cautiously constructed and diversified portfolio of international investments has successfully led the bank to achieve decent returns on its investment portfolio. On the local front, DIP slightly and gradually increased local investment exposure in companies with unique business models that serve the local industrial sector.
As a result of the aforementioned, the investment book of the bank including its subsidiaries has decreased slightly by 1.87% reaching Kuwaiti Dinar 163.552 Million in 2023 compared to Kuwaiti Dinar 166.674 Million in 2022, while fiduciary assets under Management reached Kuwaiti Dinar 105.086 Million for the same period. The performance of the Private Equity Funds portfolio led to decent returns on the overall investment book of the bank. DIP will continue to carefully explore lucrative local and international investment opportunities in the industrial and industrial related sectors, supporting Kuwait's strategic development plans and pursue the Bank's objective of actively participating in new industrial projects and activities

Treasury

The Treasury Department is responsible for efficiently managing the daily cash flow and liquidity by utilizing the foreign exchange, money markets and capital markets.

In light of the recent rate hikes, the Treasury Department kept a keen eye to deploy funds at high yielding rates. The department helped in efficiently managing the cost of fund and maintaining it within acceptable limits by utilizing Capital Markets including Bilateral Loans, which had a positive impact on the bank.
During 2023, the Bank succeeded in obtaining Bilateral loans from international institutions namely Commerzbank-Frankfurt, Intesa Sanpaolo & Abu Dhabi Commercial Bank.

In addition, Treasury Department continues to develop and maintain activities in Kuwaiti Dinars and foreign currencies as well as investing in Kuwaiti Dinar denominated bonds issued by the Central Bank of Kuwait to maintain high quality liquid assets and consistent growth.

Treasury Department aims to maximize returns by utilizing selective opportunities that meet IBK's overall diversification strategy. It also maintains its presence in the local and international capital market through active relationships with local and international banks along with, continuing to serve the bank's customers by providing the suitable financial solutions and products to serve their financial needs.

Furthermore, by the constant efforts of the ALCO committee, the bank managed to implement CBK's instructions to its operations, which guided the bank to control market risk and liquidity risk beside predicting future trends of foreign exchange prices and interest rates in the financial market.



Signing a loan contract with Commerzbank in Frankfurt, for a period of two years, worth 50 million euros, in the presence of both the CEO - Mr. Ali Khaja - and the Director of the Treasury Department - Mr. Nawaf Al-Munaifi. (June 2023)



Signing a loan contract with Abu Dhabi Commercial Bank (ADCB) in the Emirates, for a period of two years, worth 70 million US dollars, in the presence of both the CEO - Mr. Ali Khaja - and the Director of the Treasury Department - Mr. Nawaf Al-Munifi. (March 2023)

Research

During 2023, the Department concentrated its activities on conducting market research studies on various industrial products in Kuwait to determine the feasibility of manufacturing these products locally, through the current and projected supply, and demand in the local market, the level of competition between local and imported products, and through estimating the market share of the new products. During the year, three sectoral studies were issued; a study in the activity of Manufacturing food products on "Meat Products Sector", and a study in the activity of Manufacturing coke and refined petroleum products "Asphalt, Bitumen & Insulation Material Market in Kuwait", in addition to "Paper, Cartoon and Commercial printing" sectoral study in the field of manufacturing paper and paper products. Summaries (Brochures) of these sectoral studies have been published on the bank's official website as a social contribution to benefit the bank industrial clients and the whole society members. In the meanwhile, a sectoral study is being prepared on "Steel Profiles and Reinforcing Steel Bars in Kuwait".

Furthermore, the Department created a quarterly report on "Oil Market Portfolio". Also, a special study entitled "The Impact of Electric Cars on The Fuel Sales at local and global level" was issued. As for economic reports; The Department has prepared a special economic report to be included in the IBK Annual Report for the year 2022, and submitted two periodical reports of the "Bi-Annual Economic Review", in addition to completing the IBK Industrial Loans Commitments History" report (1974-2022).

The Department continuously updating IBK client's data and expanding its industrial database on markets and industry in Kuwait, through field visits to factories and related establishments. The Department also continuously builds its updated archive with latest market research studies, statistical data and new industrial guides to be utilized for the bank's studies.

Portfolio Management

The Industrial Bank of Kuwait is managing three financial portfolios on behalf of the government, Al-Senai portfolio for small enterprises with a capital of 150 million KD, Agricultural Financing Portfolio with a capital of 50 million KD, and The Islamic Industrial Financing Portfolio with a capital of 100 million KD.

Al-Senai portfolio for small enterprises:

Al-Senai portfolio for small enterprises continued on supporting activities of Kuwaiti youth in the field of small business by providing funds in accordance to Islamic finance which in turn seeks to support the aspirations of the state through national manpower restructuring, and directing youth for self-employment, which contribute in diversification of production and service activities in Kuwaiti economy.

In 2023, the portfolio financed total of 63 projects, with 7.559 million Kuwaiti dinar investment cost. While Al-Senai portfolio funding amount reached 4.900 million Kuwaiti dinar equivalent to 64.83 % of total cost of projects.

CATEGORY	No.	INVESTMENT	PORTFOLIO SHARE	%
Human health and social work activities	10	3,075,119	1,764,017	36
Manufacturing	13	1,583,219	1,083,392	22.11
Wholesale & Retail trade	14	611,232	545,656	11.14
Transportation and storage	9	465,472	451,292	9.21
Arts, Entertainment and recreation	2	585,391	336,778	6.87
Accommodation and food service activities	7	500,604	310,328	6.33
Other service activities	3	179,454	114,719	2.34
Professional, scientific and technical activities	1	184,853	113,374	2.31
Information and communication	1	167,046	91,277	1.86
Administrative and support service activities	2	190,275	73,125	1.50
Construction	1	15,870	15,870	0.33
Total	**63**	**7,558,535**	**4,899,828**	**100**

The following table indicates the number of funding projects, according to top three sectors as following:

No.	CATEGORY	No of projects
1	Wholesale & Retail trade	14
2	Manufacturing	13
3	Human health and social work activities	10

The following table indicates investment cost and portfolio Finance share, according to top three sectors with 69.25 % of Al-Senai portfolio share:

No.	CATEGORY	INVESTMENT (KD)	PORTFOLIO SHARE (KD)	%
1	Human health and social work activities	3,075,119	1,764,017	36
2	Manufacturing	1,583,219	1,083,392	22.11
3	Wholesale & Retail trade	611,232	545,656	11.14

The Islamic Industrial Financing Portfolio

The Islamic Industrial Financing Portfolio has an objective to support the industrial development through providing medium to long term financing to industrial projects and services in compliance with Islamic Sharia'a such as Murabaha, Istisna'a, and Ijara. Thus, (5) new industrial projects were financed during year 2023.

Cumulative industrial financing commitments since the portfolio commenced its financing operations in year 2009 until the end of year 2023 reached KD 75 mm, presented to 44 Industrial projects.

Cumulative Finance Commitments during 2023 – 2009

	During year 2023	Cumulative 2009 – 2023
Number of Projects	5	44
Total Projects Cost (KD 000s)	9,012	161,024
Portfolio Finance (KD 000s)	5,860	75,232

Agricultural Financing Portfolio

The agricultural loans committee approved to grant (40) agricultural loans during year 2023. The total estimated project cost was KD (12,916,810); however, the agricultural portfolio's contribution was KD (7,357,000) which represents 56.9% of the projects` cost as distributed below:

Sector	No	During year 2023	Cumulative 2009 – 2023
Planting	17	5,401,488	2,560,000
Poultry	1	120,000	70,000
Fish planting	1	591,265	400,000
Short term	11	220,000	220,000
Fishes	2	69,760	37,000
Fruits	3	2,575,350	1,550,000
Dairy	3	3,374,197	2,160,000
Feeds	2	564,750	360,000
Total	**40**	**12,916,810**	**7,357,000**

According to the previous table, the agriculture portfolio financed %35 of its total sectors financing for the Planting sector, and %29 of its total sectors financing for the Dairy sector.

Information Technology

- In the Year 2023, the Information Technology Department's focused on multiple projects related to Business, Compliance, Technical and Infrastructure.
- Transaction Reporting System (TRS) changes in Finacle Core to meet CBK's requirement went live in February 2023.
- OMNIEntp (AML system) enhancements to source data from WorldCheck (Blacklist file subscription) was completed in February 2023.
- Infrastructure projects related to HP Synergy and New Hyper-V DMZ was completed in February 2023.
- Hardcat system (for bank's Fixed Assets) upgrade was completed in April 2023.
- Upgrade of SAP BO server and application was completed in May 2023.
- Transaction Reporting System (TRS) minor enhancements in Finacle Core – Trade Finance module handled by IT in-house team was completed in 2023.
- The reporting of Suspicious Transactions Report (STR) being sent to KwFIU (Kuwait Financial Investigation Unit), was semi-automated by IT in-house team since June 2023.
- New cabling was laid in the bank's data center situated in the Head Office (HO) in June 2023.
- Solarwinds upgrade was completed in July 2023.
- Efront system (for Investments) was upgraded in August 2023.
- Minor enhancements to Finacle Core - Trade Finance module was done by IT in-house team in August 2023.
- Kuwait Electronic Cheque Clearing System (KECCS) version upgrade was completed in September 2023 as directed by CBK and our bank was one amongst the 1st banks in Kuwait to accomplish this.
- The bank's Disaster Recovery (DR) Centre was shifted from Sabhan to Shuaibha in September 2023 and complied with CBK's requirement.
- Payment Safe (Payment Hub) was enhanced to include certain functionalities related to SWIFT messages to comply with SWIFT Release 2023 in Nov 2023.
- AML system was enhanced to include new / modify +100 Scenarios based on business requirements and to comply with CBK regulations in December 2023.
- Multiple Reports for CBK and for bank's departments were developed and delivered by IT in-house team during 2023.

Human Resources

1- Administration Section

- Continuing to participate in the "Diraya" campaign, which is carried out by the Central Bank of Kuwait and the KBA, to educate customers.
- Participation in the Electronic magazine of KBA.
- The Bank's participation in publishing electronic "banking illuminations" publications in cooperation with IBS in order to spread banking and financial awareness among members of society.
- The Bank's contribution to KBA social responsibility projects.
- Participation in career fair for the year 2023.

2- Human Resources

The Human Resources and Administration Department dedicates its complete efforts for its employees to realize the vision of the Industrial Bank of Kuwait and its strategic objectives through the continuous enhancement of human capital by recruiting candidates that are best fitted, qualified and experienced. Particular emphasis is given to the development of Kuwaiti talent by ensuring their training and enhancement of their skills and providing them with all the necessary foundation to accomplish success. In the fiscal year of 2023, the bank has provided employees with more than 3000 training hours while giving them the opportunity to build a career by elevating their professional and personal skill set and preparing them for a knowledge-based work environment.

This reflects the bank's commitment towards investing strongly in enhancing the efficiency of its employees, by developing programs and workshops in accordance with the requirements of the Central Bank of Kuwait. Additionally, the utilization of the most respected educational institutions around the world to implement programs and training courses that keep pace with the development and requirements of the labor market. Furthermore, proactive steps are taken to support the Kuwaitization and diversity within the bank. At the end of the fiscal year 2023, the number of Kuwaiti staffs were at 149, elevating the percentage of national employment to 81.4% of the total employees in the bank.

The Strategic Plan

The five-year strategy (2026-2022) defines the bank›s leadership›s vision for the next five years, which is: « IBK as a profitable bank with a strong focus on industrial development impact and as the main driver behind growing a diversified Kuwaiti economy»

To achieve this ambitious vision four strategic goals have been defined:

Internal Improvement: Address internal improvement areas to ensure continued financial sustainability, e.g., through optimizing and digitizing processes, streamlining customer relationship management, bringing our IT systems up to par

Orchestrate industry growth: Step up to coordinate diversified development of the industrial sector.

Innovate IBK's product offering: Expand and reshape the product portfolio and capabilities to provide more additionality

Support sustainable economy: Promote ESG agenda in line with Kuwait's government ambition

These strategic objectives are attained through the implementation of initiatives addressed by the strategy, which encompasses all major and auxiliary operational areas. To implement the identified initiatives and attain the strategic objectives, work is performed in two important areas:

- Strategy Management
- Strategic transformation

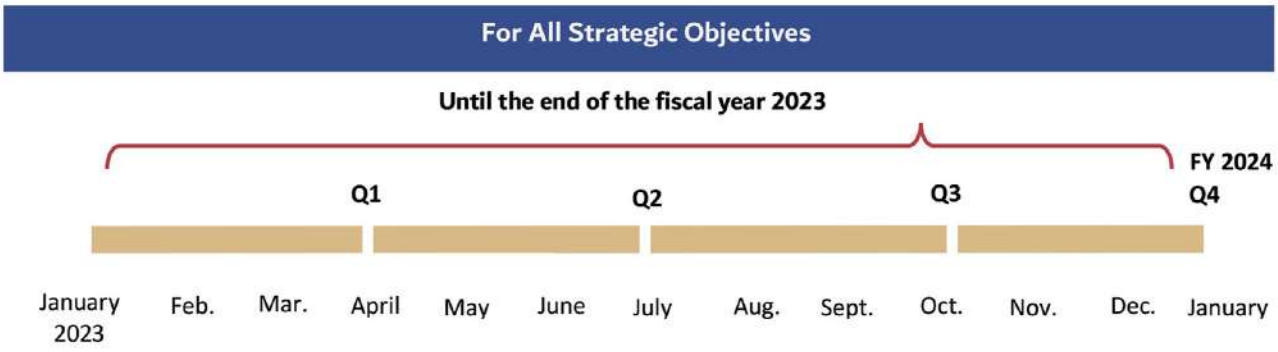
I: Strategic management

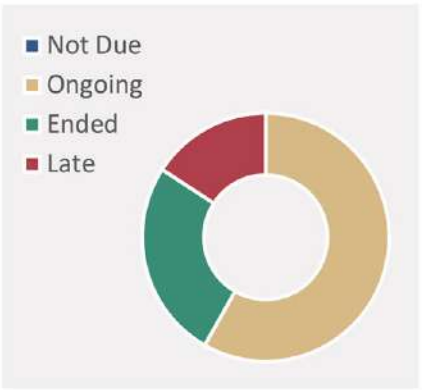
During the second year of strategy implementation, the focus was on defining policies and procedures for implementation, measuring the degree of success in attaining the goals, monitoring impediments, and partnering with the senior management to address impeding issues.

Communicating strategy and ensuring coherence and consistency across strategic objectives was also a key task in the second year to ensure continuous improvement through carrying out the strategic initiatives.

The effectiveness of the strategic plan›s implementation is measured by the efficiency with which the action plan is carried out, as well as the rate at which predetermined financial and non-financial metrics (KPIs) are met.

1- Action Plan execution indicator



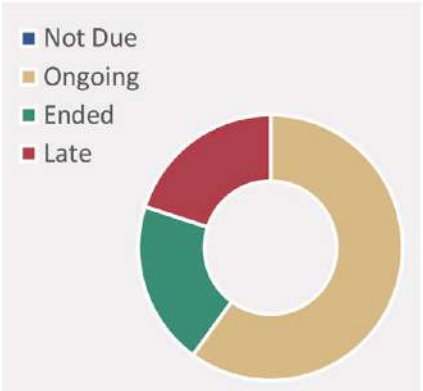


Total Activities	Late	Ongoing	Completed
158	25	92	41

16%	Diversification
158	Total Activities

2- Financial and non-financial KPIs





Total KPIs	Late	Ongoing	Completed
65	13	39	13

65	Total KPIs
20%	Diversification

II- Strategic Transformation

Transformation capabilities enable modern institutions to adapt to local, regional, and global changes in order to assure their sustained success and competitiveness. From this perspective, the Bank›s strategy has accorded substantial significance to the strategic transformation process along two primary levels:

Internal transformation: By improving internal work processes and procedures, as well as carrying out a full digital transformation project.

In this context, a contract was signed with KPMG International to reengineer the credit processes, and significantly increase business efficiency, in order to enhance services provided to the bank customers. Currently an implementation plan is under review based on the recommended initiatives.
A comprehensive information infrastructure has been designed, to achieve the intended digital transformation objective, which utilizes the most recent banking technology and practices.

External transformation: By pursuing new prospects and enhancing the bank›s role, and effectively contributing to the diversification of the national economy.

In this context, a memorandum of understanding was signed with Kuwait University›s College of Administrative Sciences to provide advisory services to the bank›s clients, as well as coordination with other government agencies such as the Public Authority for Industry and Housing to exchange information, support national industries, and create new financing and investment opportunities.

Coordination is still ongoing with representatives of the Industrial Planning Department at the Public Authority of Industry in order to recognize the Bank's proposal of encompassing non-traditional industrial sectors within the concept of national industry, including the knowledge-based industry.

In the same context, the bank proposed the Smart Industry Readiness Index (SIRI) project, which was part of the recommendations included in the research paper that was officially sent to the Public Authority of Industry under the title "A Knowledge Industry to Achieve the Knowledge Economy".

Accordingly, the bank's proposal was included in the National Industrial Strategy for the State of Kuwait prepared by the Public Authority of Industry, and approved by the Authority's Board of Directors on 12/21/2023.



Risk Management Disclosures

Risk Management Objectives:

The Industrial Bank of Kuwait has clear risk management objectives and a well-established strategy to deliver them through core risk management processes under the guidelines of the Central Bank of Kuwait. The Risk Management Department's objectives, in coordination with business lines, are:

- To identify the Bank's material risks, financial and non-financial.
- To formulate the Bank's risk appetite and ensure that business profile and plans are consistent with it.
- To optimize risk/return decisions by dialogue with business, while establishing a strong and independent review process and structure.
- To adhere to regulatory guidelines relating to risk management.
- To ensure that business growth and strategic plans are properly supported by effective risk assessment.
- To monitor risk profile to ensure that specific financial deliverables remain possible under a range of adverse business conditions.
- To assist business and support functions improve the control and co-ordination of risk taking across the Bank and transfer through insurance risks that cannot be managed internally.
- To manage information security and cyber risks
- To promote a culture of risk awareness throughout the organization.

Risk Management Structure:

The responsibility for risk management resides at all levels within the Bank, from the Board and the executive level down through the organization to each business manager and risk specialist documented in detail through policies and procedures and available to all staff through an online shared system. In a three-eye approach, the responsibilities for effective review and challenge reside with managers of departments as the primary risk holders, an independent risk management department and, internal audit. For effective corporate governance, the Chief Risk Officer assists the Board Risk Committee to guide and oversee effective risk management across the Bank. Risk Management also assists the Board of Directors in tasks required by the Board Committees. The Board is responsible for approving risk appetite, which is the level of risk tolerance that the Bank chooses to accept in pursuit of its business objectives. The risk appetite is reviewed annually by the Board Risk Committee so that it is in synchrony with the economic environment and internal strategic objectives.

The Board is also responsible for the internal control and assurance framework. To enhance corporate governance and the management of risk, the following committees have been set up to perform specific roles - the Board Audit Committee, the Board Risk Committee, the Board Nomination and Remuneration Committee and the Board Governance Committee.

Internal Audit is responsible for the independent review of the effectiveness of risk management and the internal control environment in the bank. Its objective is to provide reliable, valued and timely assurance to the Board and Executive Management over the effectiveness of controls, mitigating current and evolving high risks and in so doing enhancing the controls culture within the Bank.

The Board Risk Committee monitors through the risk management department, the Bank's risk profile against the risk appetite documented quantitatively and qualitatively in the risk appetite policy, providing benchmarks for high-level oversight and supervision of the management of risks. The Risk Committee reviews the constituents of the detailed risk appetite statement annually. Where actual performance differs from expectations, the actions being taken by management are reviewed to ensure that the Committee is comfortable with them. The Committee receives regular and comprehensive reports on the Bank's risk profile, an assessment on all risk factors, key issues affecting each business portfolio, risk measurement methodologies and future risk trends. The Board Risk Committee ensures that appropriate policies and procedures exist to manage risks in a professional and pro-active manner, reviewing the independence and integrity of the Bank's risk management department and critically assessing business and strategic risks within established risk management policies and procedures.

The Chief Risk Officer reports directly to the Chairman of the Board Risk Committee. The risk management department is responsible for independently assessing and managing credit risks, market risks, liquidity risks, and all types of operational risks. Additionally, the IT risk management function (operating independently of the IT department), reports to the CRO. While primary risks are managed by line managers, the risk management department provides a structured and independent assessment of credit, liquidity, market and all types of operational risks by proactively working with line management in identifying, documenting, quantifying, tracking and monitoring Key Risk Indicators and providing solutions whenever KRI's tend to go beyond acceptable levels. It facilitates implementation of risk initiatives and continuously tracks portfolio risks as well as individual credit, investment, new projects and product proposals. It ensures that risks are categorized into groups of low, medium and high risks and that significant risk that are outliers in the boundary provided by the risk appetite policy and those that have potential operational loss impacts, are highlighted, reported and mitigated.

In the collaborative spirit of risk accountability, there are specific committees set up to monitor specific areas of risk. There is an Assets and Liabilities Management Committee (ALCO) that monitors liquidity risks, investment risks and asset projections, in which the CRO participates as an active member. The Credit Committee and Provisions Committees deal with commercial banking and project finance proposals and impairment and provisions issues. Risk management coordinates the Bank's business continuity plans and off-site disaster recovery activities

Stress Testing: A fundamental duty of the risk management department is to ensure that the Bank does not neglect to prepare for the worst event as they plan for growth. Stress testing helps the Bank understand how its portfolios would react if business conditions became significantly more challenging. Risk Management generates specific forward-looking scenarios and analyses how well liquidity and profitability would hold up, whether the levels of capital would be adequate to meet significant shocks and what managers could do ahead of time to mitigate risk. Stress tests capture a wide range of variables that are relevant to the current environment. The Risk Management department co-ordinates the process of stress testing, using bottom-up analysis on expected and unexpected loss. The results of the stress tests are presented to the Executive Committee, the Board Risk Committee, the Board of Directors and to the regulatory authority – The Central Bank of Kuwait for its assessment of the Bank's resilience to stressed credit risk, market risk and economic conditions. The stress scenarios consider a wide range of factors, including: The Bank's revenue generation potential, loan loss provisions and the probability of default and possible losses given default within its loan book; and possible declines in the market value of investment assets and effects on capital adequacy.

The results of the stress testing also serve as reference points for triggering action on the Bank's capital planning policy and decisions on whether it requires a change of strategy or additional capital. Presently, the Bank is highly capitalized and the capital support risk is low.

Financial Environment and Regulation: The oil prices retained same momentum as existed in FY22, with certain gains and demand for oil across the globe. The international conflicts in the form of geopolitical risks in Russian region and in the middle east, kept the demand for oil buoyant. The high inflation rates continued during FY23, leading to increase of Central Bank of Kuwait discount rate from 3.50 % to 4.25 %.

The investment portfolio offered similar returns during FY23, as compared to FY22, even though, the volatility was visible in the international financial markets with increase in the interest rates during the first half. The IFRS9 allows to consider the investment valuations (positive and negative) directly into Profit and Loss (P&L) account. Based on the valuations of FY23, the profits of Direct Investment are booked straight into P&L account.

Risk Rating by External Rating Agencies:

During 2023, the international rating agency Fitch reaffirmed the rating of the Industrial Bank of Kuwait as shown below:

Fitch Ratings:	
Foreign Currency	
Long Term IDR	A
Short Term IDR	F1
Support Rating	'a'

Sovereign Risk	
Foreign Currency Long Term IDR	AA-
Local Currency Long Term IDR	AA-

Outlooks	
Foreign Currency Long Term IDR	Stable
Sovereign Foreign Currency Long Term IDR	Stable
Sovereign Local Currency Long Term IDR	Stable

Fitch comments that IBK's IDRs and Support rating reflect the extremely high probability of support from the government of Kuwait, in case of need. This is based on the government of Kuwait's 49% direct ownership and 12% indirect ownership of IBK, as well as the long-term government funding provided for the bank›s development activities. The ratings also consider the Kuwaiti authorities' long history of strong support for Kuwaiti banks.
The rating agency 'Capital Intelligence' reaffirmed their existing rating of IBK at A+ for 2023 with a 'Stable' outlook. Their summary rating is as follows:

Foreign Currency Long-term	A+
Foreign Currency Short Term	A1
Financial Strength	bbb+
Outlook – Foreign Currency	Stable
Outlook – Financial Strength	Stable

Basel III Pillar 3 Consolidated Disclosures:

Overview of Basel III and Pillar 3:
Since December 2005, The Industrial Bank of Kuwait has applied the Basel framework as part of its risk and capital management strategy. The accord is made up of three pillars:

- Pillar 1 covers the calculation of risk-weighted assets for credit risk, market risk and operational risk.
- Pillar 2 allows firms and supervisors to take a view on whether the firm should hold additional capital to cover the three Pillar 1 risk types, or to cover other risks. A firm' own internal models and assessments support this process which is interactive between the Bank and its regulator, the Central Bank of Kuwait.
- Pillar 3 covers external communication of risk and capital information by banks.

The Basel guidelines provides for different approaches to calculating capital requirements.
- The first is the Standardized approach, where risk weights used to assess requirements against credit exposures are consistent across the industry.
- The second approach is the Internal Ratings Based approach (IRB) which relies on the bank's internal models to derive the risk weights.
- The third approach is the advanced approach suitable for very large and complex structures.

As per the guidelines of the Central Bank of Kuwait, the Bank's Pillar I capital adequacy calculations are based on the Standardized approach. For stress testing purposes, however the Bank uses an internal modeling methodology,

which is specifically designed for large credit exposures, which constitutes the main business line of the Bank, as under its mandate it cannot have retail or real estate exposures. Stress tests are simultaneously carried out as per parameters and scenarios provided by the Central Bank of Kuwait. Stress test submissions are made based on both internal and regulatory methodologies.
Stress tests are conducted twice a year, in accordance with the Bank's Basel Pillar 3 Policy and as per the guidelines of the Central Bank of Kuwait. A full report (qualitative and quantitative) is prepared based on December year-end results and a quantitative-only report is prepared based on June mid-year results and projections.

Capital Risk Management:

Capital adequacy is the degree to which capital resources on the Bank's balance sheet are sufficient to cover the businesses' capital requirements now and in the foreseeable future. The Group's permission to operate as a bank is dependent upon the maintenance of adequate capital resources. Capital risk management is the process for reviewing capital requirements to enable the Bank to:

- Meet minimum regulatory requirements in Kuwait where its business is focused and where itis solely located.
- Support its credit rating and maintain cost of funds;
- Support business growth and the ability to withstand and tide over shocks.

The Bank ensures that it is sufficiently capitalized by continually assessing its capital resources and requirements given current financial projections. This considers material risks to the projections as well as strategies employed to manage those risks.
The Bank's capital management considers both economic and regulatory capital. Regulatory capital requirements are calculated on the basis of Pillar 1 risks of the Basel framework. Pillar 1 capital covers credit, market and operational risks. The calculation methods and risk weights are specified by Basel III rules. Pillar 2 capital can also be held against the three risk types above, but mainly covers other types of risk. Being an industrial bank with a focused but restricted mandate, a significant weight is given to Concentration Risk. The Bank uses its own internal capital framework and stress testing processes to help determine its capital requirements under stressed scenarios. The Bank ensures that it maintains sufficient buffers above regulatory minima at all times. The adequacy of these buffers is assessed by Risk Management and presented periodically to the Board Audit and Risk Management Committee as part of the Capital Management Policy, the risk governance process, the risk appetite review process and the stress testing process. The Bank's stress testing process forecasts the projected capital requirements and resources in a range of stress scenarios. This enables the Bank to ensure it can meet its minimum regulatory capital requirements in a stressed environment, and to assess that there is adequate buffer above regulatory capital to meet economic capital needs if trigger points are approached. The stress testing process forms a key component of the internal capital adequacy assessment process (ICAAP).
For Pillar I regulatory capital adequacy calculations, the Bank has adopted the Standardized approach of Basel III, as recommended by the Central Bank of Kuwait in determining the capital required for each component of credit, market and operational risk. As the Bank is a specialized development bank which also offers commercial banking facilities to its customers, it has long term support from the Government of Kuwait. This, together with its significant disclosed reserves, makes its available capital substantially in excess of the minimum requirements of Basel III even after considering the additional requirements of ICAAP under the new Pillar II and buffers determining economic capital. With the planned expansion of the asset portfolio as per the Bank›s three-year strategic plan, the capital adequacy ratio is expected to remain substantially above minimum regulatory requirements and economic capital estimates in the foreseeable future. This strong capitalization provides a cushion against low diversification opportunities due to the government mandate to service and develop the industrial sector in Kuwait. The overall capital adequacy ratio based on Basel III was 47.35 % as on 31st December, 2023.

Capital Structure and Adequacy:

In addition to the paid-up capital of KD 20 million and significant disclosed voluntary reserves, the principal corpus of long-term funds for the Bank is a renewable long-term loan of Kuwaiti Dinars ("KD") 300 Million (= USD 990 Million approx..) from the Government of Kuwait first given through an Amiri decree in 1973, from which the Bank's Projects Division provides medium- and long-term project finance to its industrial borrowers at concessionary pricing.
Subsidiaries:
The top corporate entity is The Industrial Bank of Kuwait K.S.C. The Bank has two wholly owned subsidiaries, Kuwait Industrial Projects Company KSCC (KIPCO), a Kuwaiti closed shareholding company ("KIPCO"), and Senaey Enterprises Ltd, a limited liability company incorporated in George Town, Grand Cayman, the British West Indies (together "the Group"). KIPCO is the Group's vehicle for domestic investments and for holding and managing assets taken over by the Bank because of domestic loan defaults; it accounts for some 6% of the total Group assets. Senaey Enterprises is

insignificant and not a material element of the Group statement of financial position. Capital adequacy data submitted to the Central Bank of Kuwait includes relevant data from both subsidiaries on a fully consolidated basis.

Capital Structure – 31st December 2023 (All figures in KD'000)

Total Tier - 1 Capital			**312,723**
Capital			20,000
Reserves			
	Legal reserves	47,265	
	Voluntary reserves	151,705	
	Fair value reserve	0	
	Retained Earnings	93,753	292,723
Total Tier - 2 Capital			**8,021**
General Provision as allowed			8,021
Total eligible capital after deductions			**320,744**

Capital Structure Disclosure - 31st December 2023 (Sheet 2)

(All Values in KD '000)

Sr No	Asset Categories	Net Credit Risk Exposure (After CRM)	After CRM Risk Weighted Assets
1	Cash Items	280	0
2	Claims on Sovereigns	50,542	0
3	Claims on International Orgns	0	0
4	Claims on PSE	0	0
5	Claims on MDB	0	0
6	Claims on Banks	314,875	91,954
7	Claims on Corporates	368,740	368,740
8	Claims on Securitized Assets	0	0
9	Credit Derivative Claims	0	0
10	Regulatory Retail	0	0
11	Past Due Exposures	1,067	1,067
12	Other Exposures	179,888	179,889
	Total Exposure	915,392	641,650
	Less General Provision		(30,302)
	Total Credit Risk Exposure		611,348
	Minimum Capital Requirements for Credit Risk		79,476
Capital Requirements for Market Risk			
	Total Market Risk Weighted Exposure		6,034
	Minimum Capital required		784
Capital Requirements for Operational Risk			
	Total Operational Risk Weighted Exposure		60,061
	Minimum Capital required		7,808
Total Risk Weighted Exposure			677,443
Total Min Capital requirement (Cr Risk + Mkt Risk + Op Risk)			88,068
Eligible Tier - 1 Capital			312,723
Eligible Tier - 2 Capital			8,021
Total Eligible Capital			320,744
Unused Capital			232,676
Capital Adequacy Ratio as per Basel - III			47.35%
Capital Adequacy Ratio based on Tier - 1 capital			46.16%
CET - 1 Capital Adequacy Ratio			46.16%

Financial Leverage Ratio: The Basel III framework introduced a simple, transparent, non-risk-based leverage ratio to act as a credible supplementary measure to the risk-based capital requirements. The leverage ratio is intended to (1) restrict the build-up of leverage in the banking sector to avoid destabilizing deleveraging processes that can damage the broader financial system and the economy; and (2) reinforce the risk-based requirements with a simple, non-risk based "backstop" measure.

The Basel Committee is of the view that a simple leverage ratio framework is critical and complementary to the risk-based capital framework; and a credible leverage ratio is one that ensures broad and adequate capture of both the on- and off-balance sheet sources of banks' leverage. The Basel III leverage ratio is defined as the capital measure (the numerator, Tier I capital) divided by the exposure measure (the denominator), with this ratio expressed as a percentage: Leverage ratio = Capital measure/Exposure measure (%). For Kuwait the minimum regulatory leverage ratio is 3%.

IBK Leverage Ratio December 2023 31 - Consolidated

S.No.	Item	Leverage ratio Framework (KD '000)
On-balance sheet exposures		
1.	On-balance sheet items	822,826
2.	(Amounts of assets deducted when calculating theT1 of the capital)	0
3.	**Total On-balance sheet exposures**	**822,826**
Derivative Exposures		
4.	Gross Exposure (including the amount of additional factor)	10,400
5.	Adjustments	(10,296)
6.	**Total derivative exposures**	**104**
Securities financing transaction exposures		
7.	SFT Assets	0
8.	**Total securities financing transaction exposures**	**0**
Off Balance sheet items		
9.	Commitments	198,811
10.	(Adjustments for conversion to credit equivalent amounts)	(159,049)
11.	**Total Commitments**	***39,762***
12.	Contingencies	67,550
13.	(Adjustments for conversion to credit equivalent amounts)	(36,979)
14.	**Total Contingencies**	***30,571***
15.	**Total Off-Balance sheet items**	**70,437**
Capital & Total Exposures		
16.	**Tier 1 Capital**	**312,723**
17.	**Total Exposures**	**893,263**
Leverage Ratio		
18.	**Basel III Leverage Ratio**	**35.01%**

Credit Risk Management:

Credit risk is the risk of suffering financial loss should any of the Bank's customers or market counterparties fail to fulfill their contractual obligations to the Bank. The granting of credit is one of the Bank's major sources of income and, as the most significant risk; the Bank dedicates considerable resources and energy to control it.
The credit risk that the Bank faces arises mainly from project finance and working capital finance. The Bank is also exposed to other credit risks arising from its treasury activities, including debt securities, settlement balances with market counterparties and available for sale assets.

The role of the risk management department is to provide bank-wide direction, independent risk assessment, oversight and challenge of credit risk-taking. The Bank has dedicated departmental credit policies reviewed by a committee for policies and procedures (where the CRO is a member). The Board of Directors approves the credit risk control framework, which provides a structure within which credit risk is managed together with supporting risk management departmental policies. Loans and advances to customers provide the principal source of credit risk to the Group although the Bank can also be exposed to other forms of credit risk through, for example, loans to banks, loan commitments and debt securities. The Bank's risk management policies and procedures are designed to identify and analyze risk, to set appropriate risk appetite, limits and controls, and to monitor the risks, delinquency, adequacy of follow up and rating assessments. The risk management department independently reviews and rates all individual credit proposals generated by the two credit granting departments, relating to project finance and commercial, working capital and trade finance. It also quantifies reviews and monitors the quality and movement of the overall credit portfolio of the Bank.

One area of particular review is concentration risk. A concentration of credit risk exists when a number of customers belong to the same group, or are engaged in similar activities and have similar economic characteristics that would cause their ability to meet contractual obligations to be similarly affected by changes in economic and other business conditions. As a result, the Bank constantly reviews its concentration in a number of areas including, for example, geography, maturity, industrial sector and group control. Diversification is achieved through setting maximum exposure guidelines to individual counterparties not exceeding 15% of capital. However, given the specific mandate to operate within the industrial sectors, concentration risk is on the higher side.

The Bank has in place a system for internal credit risk rating of all exposures on a scale of 1 to 10. Risk Management recommends credit ratings for new clients and periodically reviews all existing borrower ratings in the Bank using well defined internal rating parameters. Risk Management tracks the weighted average rating of the credit portfolio and each risk category within the portfolio.

In order to mitigate credit risk, exposures are usually secured by acceptable collateral. The existing portfolio of loans and advances reflects the Bank's emphasis on lending inside Kuwait and in particular to industrial units in Kuwait - a country whose dynamics the Bank comprehends well and where the Bank has a better understanding of the inherent risks. The Bank has credit concentration to the industrial sector due to the terms of its constitution. The Bank manages the risk by avoiding concentration by obligor, by a particular industry and, in the case of cross border exposures, by geographical area.
Special attention is paid to overdue accounts by committees especially set up for this purpose. Follow up measures are discussed and remedial action taken. If required, appropriate provisioning levels are determined.

At both the departmental level as well as the overall bank level, disciplined credit processes are in place. The processes are intended to ensure that risks are accurately assessed, properly approved and continuously monitored. The primary tool for managing credit risk is a set of credit policies and procedures that are periodically reviewed and updated. A stringent approval framework exists in the Bank which mandates a rigorous and thorough evaluation of the creditworthiness of every obligor. All credit and investment proposals and their extensions and renewals of existing credits are assessed by Risk Management.

Credit limits are established for all customers after careful assessment of the relevant credit application. As per procedure, the approval of the Board of Directors is necessary for credit limits above a certain level. Management's appetite is conveyed by limits for country, industry, borrower and product. Excesses above approved limits require approval by appropriate credit authorities in the Bank.

Concentrations by size, industry, business and industry sectors are monitored and limited. Central Bank of Kuwait defines concentration as 15 percent of a bank's total eligible capital base as defined under Basel III/CBK; all concentrations in the portfolio by industry are monitored closely for adverse financial or economic conditions.
Risk Management tracks delinquencies at the company and portfolio level and is in constant dialogue with the Business departments so that action on irregularities can be taken in time and slippage down the past-due time buckets are controlled as far as possible.

Information related to credit exposures

Past Due / Impaired Assets and Provisioning

IBK follows the Central Bank of Kuwait definitions of irregular assets and guidelines for impairment provision. Classification of credit exposures and computation of provisions are as below:

A. Credit Facilities to Customers (Resident & Non-Resident):

(i) Exposure is classified as Irregular if:

the debit balance in the current account has been constantly showing an excess of over %10 of the approved Overdraft limit;
the current account is in debit, without an approved Overdraft limit;
credit facilities have expired, outstanding's have not been settled and the Bank has decided not to renew the facilities on credit grounds;
loan installments are defaulted;
interest is in arrears.

(ii) Irregular exposures are classified as below:

Sub-Standard: Where any of the irregularities as above has been existing for a period exceeding 90 days but less than 180 days, or if, in the Bank›s judgment, there is noticeable deterioration in the customer›s financial condition.
Doubtful Debts: Where any of the irregularities as above has been existing for a period exceeding 180 days but less than 365 days, or if, in the Bank's judgment, there is noticeable deterioration in the customer›s financial condition.
Bad Debts: Where any of the irregularities as above has existed for a period exceeding 365 days, or if, in the Bank's judgment, there is noticeable deterioration in the customer›s financial condition.

(iii) Provision requirements:

Specific provisions are made as below:

- Sub-Standard exposures : 20%
- Doubtful Debts : 50%
- Bad Debts : 100%

1% General Provisions are made on all exposures not subject to a specific provision after deducting certain allowed collaterals as per the guidelines of The Central Bank of Kuwait. The Bank successfully implemented IFRS 9 system for provisioning approach. The Bank calculates expected credit losses based on CBK – IFRS9 methodology and the existing CBK methodology and applies the higher of the two.
This section discusses the part of the credit portfolio where customers have been delinquent in their repayments.

Disclosure on Past Due Loans - Ageing Criteria as on 31.12.2023		
Past Due Category.	**Outstanding amount (KD '000)**	**% of Total Past Dues**
0 ≤ 30	5,990	67.96%
31 ≤ 90	1,278	14.50%
91 ≤ 180	592	6.72%
181 ≤ 364	352	3.99%
1 year (365) ≤ 3 year	601	6.82%
Above 3 years	0	0%
Total	8,814	100%

The ratio of Non-Performing Loans (NPL) to credit exposure stood at 0.47 % as on 31.12.2023.

(iv) Loan Loss Provisions as per International Financial Reporting Standards (IFRS9-):
According to CBK guidelines credit loss provisions are calculated based on IFRS-9CBK criteria, as well as CBK's existing criteria as explained above. The higher of the two applies.
According to the IFRS9 method, the Bank is required to maintain provisions for performing credits in Stage 1 where credits are not impaired. However, there are three staging levels/criteria in the process. The placement in a stage classification depends on multiple factors, i.e. the credit rating, class probability of default, delinquency record and other information of significant rise in credit risk. The objective is to have a forward-looking statistical estimate of loan loss provisions. The Bank uses its internal credit rating system and classification system to model credit risk to and calculate the probabilities of default. This is then used in the model with the Loss Given Default rate (1 minus the recovery rate) and the Exposure at Default.
IFRS9- Stage 1 is for performing and regular credits. Stage 2 is for credits where the risk levels have risen and as per CBK, the company is at least 30 days delinquent. Stage3- is where there is significant rise in credit risk and as per CBK at least 90 days delinquent. Customer lists classified as per IFRS9 Staging criteria are submitted to the Bank's Provisions Committee and IFRS9- data is reported to the Central Bank of Kuwait. As the Bank has maintained more provisions as per the traditional CBK method, and as the higher of the two methods applies, the Bank has continued to make provisions based on the CBK method as described above.
B. Sovereign Exposures:
The Bank has a minimal sovereign exposure and the capital charge for that exposure is computed based on the guidelines issued by CBK from time to time.

C. Information on Credit Exposures as on 31.12.2023 (All figures in KD'000)

Disclosure on Total Credit Risk Exposure (Funded & Non-funded) Asset Category-wise Report: 31.12.202				
	Asset Category	**Funded Credit Risk Exposure**	**Non-funded Risk Exposure**	**Total Credit Risk Exposure**
	Cash Items	280	0	280
	Claims on Sovereigns	50,533	9	50,542
	Claims on International organizations			
	Claims on PSEs			
	Claims on MDBs			
	Claims on Banks	314,780	95	314,875
	Claims on Corporates	313,641	56,930	370,571
	Claims on Securitized Assets			
	Credit Derivative claims			
	Regulatory Retail			
	Past Due Exposures	1,058	9	1,067
	Other Assets	166,486	13,403	179,889
Total Credit Risk Exposure		**846,778**	**70,446**	**917,224**

Geographical Distribution of Exposures as on: 31st December 2023 (All figures in KD '000')

Geography	Loans & Advances: Commercial Facilities				Loans & Advances: Industrial loans				Total Loans and Advances			
	Dec 2023		Dec 2022		Dec 2023		Dec 2022		Dec 2023		Dec 2022	
Kuwait	236,707	100%	255,214	100%	163,057	100%	147,005	100%	399,764	100%	402,219	100%
Others	0	0%	0	0%	0	0%	0	0%	0	0%	0	0%
Grand Total	236,707	100%	255,214	100%	163,057	100%	147,005	100%	399,764	100%	402,219	100%

Residual Maturity of the Loans and Advances Portfolio as on 31st December 2023 (All figures in KD'000)

Geography	Loans & Advances: Commercial Facilities		Loans & Advances: Industrial loans		Total Loans and Advances	
	Dec 2023	Dec 2022	Dec 2023	Dec 2022	Dec 2023	Dec 2022
Up to 1 Month	31,572	39,425	68,830	60,838	100,402	100,263
1 to 3 Month	34,853	48,920	3,750	3,814	38,603	52,734
3 to 12 Month	73,298	99,237	30,920	22,098	104,218	121,335
Over 1 Year	20,491	16,153	120,606	110,565	141,097	126,718
Balance at Year end	160,214	203,735	224,106	197,315	384,320	401,050

Loans and Advances Portfolio by Sector as on 31st December 2023 (Outstanding Balances in KD'000)

Sector	2023		2022	
	Outstanding Balance	As a % of Total Exposure	Outstanding Balance	As a % of Total Exposure
Chemicals	19,906	4.98%	17,205	4.28%
Food & Beverages	29,165	7.30%	33,724	8.38%
Metal Products & Engineering	168,345	42.11%	185,413	46.10%
Construction & Building Material	80,375	20.11%	80,973	20.13%
Furniture	5,262	1.32%	6,282	1.56%
Textile	542	0.14%	505	0.13%
Paper & Printing	6,537	1.64%	6,083	1.51%
Government	0	0.00%	0	0%
Oil and Gas	88,044	22.02%	69,837	17.36%
Agriculture and Fishing	0	0.00%	0	0%
Others (Non-Financial)	398,176	0.00%	0	0%
Total Non-Financial Sectors	1,587	99.60%	400,022	99.45%
Financial Sectors	399,763	0.40%	2,196	0.55%
Total Sectors	19,906	100.00%	17,205	4.28%

Impaired Loans – Geographical Distribution as on 31st December 2023 (All figures in KD '000)

Geography	Outstanding loans		Provision provided for impaired loans	
	2023	2022	**2023**	2022
Kuwait	1,545	2,110	487	1,803
Other GCC countries	0	0	0	0
Grand total	1,545	2,110	487	1,803
Impaired loans as a percentage of outstanding loans portfolio	**0.47%**	**0.63%**		
Coverage percentage			**31.50%**	**85.50%**

Credit risk mitigation

Netting: In cases where the Bank›s claims against customers are not settled, the Bank exercises set-off rights and pursues its claim on a net basis. During the course of any legal action, the Bank preserves its claim at the original net level, disregarding any partial payment(s) in order to avoid inadvertently triggering any legal issues that could otherwise arise.

Collateral Valuation and Management: In cases where collateral is to be taken, the Bank accepts standard collateral types such as cash, chattel mortgage over movable assets, mortgage over fixed assets, personal / corporate/ bank guarantees etc. In the case of mortgages, the Bank insists on being named the loss-payee in the related insurance policy. Where guarantees are taken, the Bank satisfies itself of the creditworthiness of the guarantor by obtaining full financial information about the guarantor, on the rationale that the Bank views the guarantor as though he were himself the primary obligor who would himself have to be eligible for the size of the commitment. In respect of bank guarantees, a formal guarantor line for the bank concerned is a pre-requisite.

Given its status as a specialized industrial finance institution, the Bank has sufficient skills and means in-house to evaluate projects, factories and other types of fixed assets under mortgage to the Bank.

Credit Risk Concentration: The Bank›s charter limits its customer-base to manufacturing industries specifically to entities holding industrial license. Accordingly, there is a credit concentration in the industrial sector. Within that class, the Bank's portfolio is composed of customers spanning a wide variety of activity. Additionally, the Bank participates in syndicated loans to non-resident banks. The Bank's customer-base is not subject to any significant degree of cyclicality.

Credit Exposure after risk mitigation and credit conversion factor as on 31st December, 2023:

Credit Exposure after Credit Risk Mitigation (CRM) and credit conversion factor: 31.12.2023 (All figures in KD '000)			
Asset Categories	**Credit Exposure before CRM**	**Credit Exposure after CRM**	**Credit Risk Weighted Assets**
Cash Items	280	280	0
Claims on Sovereigns	50,542	50,542	0
Claims on International organizations	0	0	0
Claims on PSEs	0	0	0
Claims on MDBs	0	0	0
Claims on Banks	314,875	314,875	91,954
Claims on Corporates	370,571	368,740	368,740
Claims on Securitized Assets	0	0	0
Credit Derivative claims			
Regulatory Retail	0	0	0
Past Due Exposures	1,067	1,067	1,067
Other Assets	179,889	179,889	179,889
Total Credit Risk Exposure	**917,224**	**915,393**	**641,650**

IFRS9 Model Validation:

Risk Management updated its financial model for calculating probability of defaults (PDs) at both the customer and credit rating category levels to arrive at Expected Credit Loss (ECL) assessments. A professional validation exercise was performed by independent experts – Loxon Advisory Services, Hungary. An advanced statistical analysis of the credit portfolio was conducted for this validation. Firstly, validation was performed on our existing internal credit rating scale and ratings given to customers based on financial and behavioral factors. The results showed an increase in default rates as it moves from better to worse rating grades, and an even better monotonous increase in the average calculated IFRS9 PD, which showed that the IBK internal rating is a good input for IFRS9 PD models and was statistically significant. Secondly, average one – year probability of default (PD) was determined and validated for all internal credit rating categories. Thirdly, one year, through the cycle Probability of Default was established and validated for all customers including macroeconomic overlay. These PDs together with IFRS9 stage classifications and CBK guidelines provide the forward – looking Expected Loan Loss Provisions as per IFRS9 guidelines. The entire model validation, internal rating and probability of default exercise has been subject to independent special audit by E&Y, who have given full clearance for the validation process and results. The stage – wise, IFRS9 exposures and the corresponding Expected Credit Loss for each stage are mentioned below:

IFRS9 - EXPECTED CREDIT LOSSES - STAGEWISE - AS ON 31.12.2023 (All figures in KD '000)		
Stages	**Exposure**	**Expected Credit Loss (ECL)**
Stage - 1	450,486	1,223
Stage - 2	155,976	4,022
Stage - 3	17,402	1,391
TOTAL	**623,864**	**6,637**

Market Risk Management:

Market Risk is the risk that the Bank's earnings or capital, or its ability to meet business objectives, will be adversely affected by changes in the level or volatility of market rates or prices such as interest rates, credit spreads, commodity prices, equity prices and foreign exchange rates. This risk is inherent in the financial instruments associated with our operations and/or activities including loans granted at commercial rates, deposits, securities and trading account assets, and derivatives. The majority of market risk exposure resides in the Bank's treasury and investment departments and market risk through the local equity holdings of the Bank's subsidiary KIPCO which are passive AFS holdings. IBK Risk Management's market risk objectives are to:

- Understand and control market risk by robust measurement and the setting of limits and monitoring of the same.
- Ensuring accuracy in the deal/settlement process
- Facilitate business growth within a controlled and transparent risk management framework.
- Measure and report non-traded market risk.

Market risk for the Bank is relatively limited as, except for managing an FX book for its own account and its local industrial customers, and in rare cases using derivatives for hedging purposes, the Bank does not expose itself significantly to market risks. Appropriate limits have been established and treasury and investment activities are constantly monitored.

The focus at IBK is on industrial lending and on corporate banking. The Bank has a long-term investment in its wholly owned subsidiary (KIPCO) which invests in the local market and has a non-traded Kuwaiti equity portfolio. There is also an international component in the Bank's equity book which is invested in start-up ventures through reputed international managers. These investments are of long-term nature and are exposed to the downside risk of direct equity investments. These investments are diversified and individual investments are capped within limits. The Bank is not actively involved in equity or bond trading, trading in derivative products, options, commodities or most of the other market risk generating activities that commercial/investment banks usually engage in.

Market risk is monitored taking into consideration market analysis, market liquidity, business strategy and dealer experience. The Bank has limits on investment size, country, and counterparty exposure as well as on open positions by dealers and for the Bank as a whole. These limits help to reduce the absolute amounts of market risk. In addition, the Bank has established stop-loss limits for certain activities involving market risk.

Market risk for trading portfolio and foreign exchange exposures: The Bank currently does not have a proprietary trading portfolio of any significance in foreign exchange or money market instruments. It does not have derivative trading exposures or exposures in commodities. However, all forward foreign exchange swap positions, used for hedging Bank's position have been considered as part of derivative exposures.

Market Risk

Industrial Bank of Kuwait		
Disclosure on Market Risk - Capital Requirements as on 31.12.2023 (All figures in KD '000)		
Type of Risk	**Risk Weighted Exposure**	**Minimum Regulatory Capital Requirement**
Interest Rate Risk	0	0
Equity Position Risk	0	0
Foreign Exchange Risk	6,034	784
Note: The figures are matched with Capital Adequacy computations. The Bank does not have any exposures in the trading book		

Equity position in the banking book:
Given the specialized nature of the Bank and under its constitution, the Bank invests in equity of companies both for strategic and relationship reasons as well as to generate capital gains. The Direct Investments and Promotions department manages the equities portfolio which has local and international dimensions. It makes investments in new ventures and funds with the objective of making capital gains in the international private equity markets. The equities portfolio for investments within Kuwait is managed by «Kuwait Industrial Projects Company KSCC»(KIPCO), a wholly owned subsidiary of the Industrial Bank of Kuwait, whose financial statements are consolidated with those of the Bank.

Strategic investments are those that fit in with the Bank›s objectives of long-term industrial development and expected to benefit the Bank in terms of reach and network presence. Strategic investments in equities may be made to ensure growth and development of existing companies, investment in new ventures as well as to exercise control over companies which have turned severely delinquent and are underperforming and thus have to be taken over. Equity investments may be made by KIPCO as pre-IPO placements or may be made directly through the stock exchange for listed companies. Since these are long term investments, this is a passive investment portfolio with valuations subject to the movements of the market. Following world and regional trends, the Kuwait Stock Exchange index continues to witness high volatility.

Impaired investments form a small component of the equity's portfolio. This is retained to exercise remedial control over companies which have turned severely delinquent, are underperforming and thus have to be taken over. These are under management of KIPCO and relate to domestic exposures only.

Differentiation is made between the component of the portfolio which has been made with the objective of making capital gains and those that have been made for strategic reasons mentioned above. It is recognized that equity investments carry considerable downside risk as well as expectation of high returns. Risk Management rates all investments made by the Direct Investments and Promotions department using a rating methodology for private equity developed internally by the risk management department.

Interest Rate Risk Management:
The overall goal is to manage interest rate sensitivity so that movements in interest rates do not adversely affect net Interest Income. Interest rate risk is measured as the potential volatility in Net Interest Income caused by changes in market interest rates. The Bank uses interest rate gap analysis to measure the interest rate sensitivity of its earnings caused by re-pricing mismatches between rate sensitive assets, liabilities and off-balance sheet positions.

The Bank has received a -20year loan from the Government of Kuwait (initiated in 1973 and rolled over) which is partly priced at the fixed rate of 2/1 % per annum to the extent of the total industrial loans and commitments made by the Bank. In 2007, this was extended by another KD 100 million by the Government. This low-cost source is a very important component of the Bank's total cost base. The Bank engages in subsidized fixed rate lending to the industrial sector. To that extent, fixed cost sources and applications of funds are outside the framework of interest rate risk calculations. Substantially all remaining KD loans are floating and priced at the Central Bank discount rate plus margin and are re-priced when the Central Bank changes the discount rate.

Around %90 of the Bank's assets are denominated in Kuwaiti Dinars. Among other currencies, the US Dollar is significant. As to all other currencies, the exposure, though not significant, is nonetheless generally matched in each of the maturity buckets.

From time to time, stress tests are conducted to gauge the impact on income under stress conditions e.g. sensitivity to a %1 reduction in the discount rate of the Central Bank.

Counterparty Credit Risk

Since the Bank may deal with other banks and financial institutions in foreign exchange forward contracts / swaps used for hedging bank's exposure, the Bank computes the capital charge for the notional exposure and the mark to market positions of those derivatives, using the Current Exposure Method (CEM) guidelines issued by CBK in this regard. The total capital charge for such exposures is Nil.

Industrial Bank of Kuwait	
Disclosure on Market Risk - Capital Requirements as on 31.12.2023 (All figures in KD '000)	
Description	**Total Weighted Value** ('000)
Notional Exposure of Foreign Exchange Forward Contracts	10,400
Positive MTM	

Interest rate risk in the banking book

Interest rate risk in the banking book arises from the mismatches between assets and liabilities, in the various maturity buckets. These are however kept within prescribed limits set for each maturity bucket. There is a downside risk in providing hedging as the Kuwaiti Dinar market lacks depth, with limited number of players in the interbank Kuwaiti Dinar market. Interbank activity is sporadic beyond short maturities. Central Bank of Kuwait intervention bonds, direct one-month intervention and treasury bonds are the only available instruments for deploying excess liquidity. As a result, CBK interventions can have a major impact on KIBOR rates. The lack of interest rate hedging instruments in the KD market is a concern. However, the Bank›s overall exposure to interest rate risk is mitigated by the following factors: (i) active and effective management of the Treasury investments portfolio; (ii) commercial loans are priced on floating rate basis; and (iii) project loans are funded by the Government loan and are thus market-independent.

Interest Rate Sensitivity – 31st December 2023 – Local Currency - All figures in KD '000			
	Up to 1 Year	1 - 5 Years	Over 5 Years
Interest Earning Assets	459,365	95,459	25,146
Interest Bearing Liabilities	27,694	294,147	0
GAP	431,671	(198,688)	25,146
Cumulative GAP	431,671	232,983	258,129
Sensitivity to 1% interest rate change in the next 1 year			**2,581**

Interest Rate Sensitivity – 31st December 2023 - Foreign Currency (USD) - All figures in KD '000			
	Up to 1 Year	1 - 5 Years	Over 5 Years
Interest Earning Assets	9,412	0	0
Interest Bearing Liabilities	32,637	0	0
GAP	(23,225)	0	0
Cumulative GAP	(23,225)	(23,225)	(23,225)
Sensitivity to 1% interest rate change (in KD terms, after conversion)			(232)
Overall Interest Rate Sensitivity (Combine Position) for 1% Interest Rate Change			**2,349**

Liquidity Risk Management:
Liquidity risk is the risk to earnings or capital arising from a bank's inability to meet its obligations or commitments to a customer, creditor, or investor as they fall due without incurring unacceptable losses. It generally arises from a failure to recognize or address changes in market conditions that affect the ability to liquidate assets (i.e. convert them to cash) quickly and with minimal loss in value.

The primary objective for IBK is to ensure that the Bank has sufficient liquidity to meet its obligations in both normal and stressed conditions without having to make emergency and unplanned sales of assets or be forced to borrow expensive funds under emergency conditions.

The Board has established an appropriate liquidity policy for the management of the Bank's funding and liquidity management requirements. The Bank's Asset and Liability Committee ("ALCO") oversees the implementation of the liquidity policy and risk management plays an active role with the CRO being a part of the Committee and the risk management department performing a risk-monitoring role. The Bank's senior management manages liquidity risk effectively in the context of the Bank's business plan and long-term funding strategy, taking into account prevailing economic and financial conditions and currency needs. To this end, the Board has set limit and tolerance levels for its liquidity risk appetite which is monitored by risk management and reported regularly to the Board Risk Committee.

The Bank through its Treasury Department manages liquidity risk on a continuous basis within established liquidity risk management policies and limits. This involves monitoring and managing several liquidity metrics, a portfolio of high-quality liquid assets, reserves, and the continuous monitoring of forecast and actual cash flows together with institutional relationships as funding sources. In addition, the Bank uses liquidity ratios (LCR, NSFR) and liquidity scenarios, regular and stressed together with volatility tracking, as key metrics to establish its liquidity risk tolerance levels, which are built into the risk appetite statement. These metrics measure the Bank's ability to fulfill all its payment obligations stemming from ongoing business operations under various scenarios.

The Bank's Treasury Department is responsible for maintaining effective communication channels within the Bank's operational and business areas to alert the funding desks of imminent funding requirements including loan drawdowns, deposit withdrawals and off-balance sheet commitments. Business departments provide Treasury with their forecasts and actual trends within ALCO.

The Risk Management function periodically reviews liquidity risk policies and procedures and the adequacy of these policies and the overall liquidity management process. It also monitors and reports adherence to the various liquidity ratios and limits, both internal and regulatory on a regular basis. It also monitors asset liability gaps and adherence to limits. A strong plus in the term structure of funding is the long-term loan from the government available on a roll over basis that funds the long-term developmental finance provided by the bank, which obviates the need to use short term liabilities to fund long term assets, thus covering risks. The Bank maintains excess liquidity in the form of cash and unencumbered high-quality liquid securities that together serve as the Bank's primary means of liquidity risk mitigation.

Stress Testing
The Bank's Liquidity management policies and limits ensure that liquidity is maintained at sufficiently comfortable levels to support operations and meet payment demands even under stressed market conditions. Stress testing is integrated into the Bank's liquidity risk management and assesses the Bank's ability to generate sufficient liquidity under extreme conditions and is a key input when defining liquidity targets and limits.

Other Qualitative Information
The Liquidity Coverage Ratio (LCR) is a Basel III metric that measures the sufficiency of High-Quality Liquid Assets (HQLA) available to meet net short-term financial obligations over a thirty-day period in an acute stress scenario. HQLAs are assets which can be easily and immediately converted into cash at little or no loss of value.
In December 2014, CBK released the final guideline on "Liquidity Coverage Ratio Disclosure Standards", requiring banks to disclose the LCR ratio beginning in Q2016 ,1. LCR is disclosed using CBK's template and is calculated using the average of daily positions during the quarter.
The LCR report for the Bank is prepared in accordance with the public/market disclosure requirements and guidelines in respect of the Liquidity Coverage Ratio Disclosure Standards as published by Central Bank of Kuwait ("CBK") in December 2014.

The Net stable funding ratio (NSFR) is designed to promote medium- and long-term stable funding of the assets and off-balance-sheet activities over a one-year time horizon. Effective January 2023, Central Bank of Kuwait ("CBK") has increased minimum LCR and NSFR levels from %90 to %100 for both the ratios.

As at 31 December 2023, the Industrial Bank of Kuwait's short-term Liquidity Coverage Ratio (LCR) and the longer-term Net Stable Funding Ratio (NSFR) stood at well above 100 %, at 418.73 % and %148.63 respectively. Thus, the Bank is in a good position to manage any short-term funding stress should they arise.

Accounting policies: Financial assets which are intended to be held for an indefinite period of time and which are not classified as at fair value through statement of income, loans and receivables and Held to Maturity assets are classified as Available for Sale investments. Such investments are reported at fair value, determined on a quarterly basis and marked to market where market valuations are available. Unlisted equity participations or private investments in Funds whose fair value cannot be reliably determined are carried at cost less impairment. Other Available-for-Sale investments are initially recognized at cost and subsequently re-measured at fair value with unrealized gains or losses recognized directly in Other Comprehensive Income. The fair value investments listed on the stock exchange are based on their quoted market price (bid price) at the balance sheet date without any deduction for transaction cost. All classifications of investments are based on International Financial Reporting Standards.

Disclosure on Liquidity Coverage Ratio (LCR): Based on the CBK guidelines on Liquidity Coverage Ratio, the LCR disclosure for the period ended 31.12.2023 is as under:

Group	ID	Description	Values (KD'000)	Values After Flow Rates (KD'000)
HIGH QUALITY LIQUID ASSETS	1	TOTAL HIGH-QUALITY LIQUID ASSETS (BEFORE REVISIONS)		88,179
CASH OUTFLOWS	2	RETAIL DEPOSITS AND SMES:	14,504	2,798
	3	> STABLE DEPOSITS		
	4	> LESS STABLE DEPOSITS	10,364	1,999
	5	OTHER UNSECURED DEPOSITS AND FUNDS FROM WHOLESALE FUNDING EXCLUDING DEPOSITS OF SMES CUSTOMERS:	41,228	21,764
	6	> OPERATIONAL DEPOSITS		
	7	> NON-OPERATIONAL (OTHER UNSECURED FUNDING)	41,228	21,764
	8	SECURED FUNDING		
	9	OTHER CASH OUTFLOWS, INCLUDING:	199,143	39,976
	10	> FROM DERIVATIVES		
	11	> FROM ASSET-BACKED SECURITIES AND COMMERCIAL PAPERS (ASSUMING NON-FEASIBILITY OF RE-FINANCING)		
	12	> COMMITTED CREDIT AND LIQUIDITY DRAWBACKS	199,143	39,976
	13	OTHER PROSPECTIVE FUTURE FUNDING OBLIGATIONS	78,342	3,917
	14	OTHER CASH CONTRACTUAL OUTFLOWS	193	193
	15	TOTAL CASH OUTFLOWS		68,649
CASH INFLOWS	16	SECURED LENDING TRANSACTIONS		
	17	CASH INFLOWS FROM PERFORMING LOANS	590,749	295,374
	18	OTHER CASH INFLOWS	207	207
	19	TOTAL CASH INFLOW	590,956	295,582
LIQUIDITY COVERAGE RATIO	20	TOTAL HIGH QUALITY LIQUID ASSETS (AFTER REVISIONS)		88,179
	21	NET CASH OUTFLOWS		17,162
	22	LIQUIDITY COVERAGE RATIO		504.05%

Disclosure on Net Stable Funding Ratio (NSFR): Based on the guidelines received from Central Bank of Kuwait, on Net Stable Funding Ratio, the disclosure details are as under:

Table 4: NSFR Common Disclosure Template for the period ending on: 31.12.2023 (All values in KD '000)						
		Unweighted Values (before applying relevant factors)				
Sr	Item	No specified maturity	Less than 6 Months	More than 6 months & less than 1 year	Over 1 Year	Total weighted value
Available Stable Funding (ASF):						
1	Capital:					
2	* Regulatory Capital	320,744	-	-	-	320,744
3	* Other Capital Instruments	-	-	-	-	-
4	Retail Depsoits and Deposits from small business customers :					
5	* Stable Deposits	-	-	-	-	-
6	* Less Stable Deposits	11,424	429	113	0	488
7	Wholesale funding:					
8	* Operational Deposits	-	-	-	-	-
9	* Other wholesale funding	11,711	35,773	19,357	402,436	416,081
10	Other Liabilities:					
11	* NSFR Derivative Liabilities	-	-	-	-	-
12	* All other liabilities not included in the above categories	93,925	11,921	44	-	-
13	**Total ASF**	**437,804**	**48,123**	**19,514**	**402,436**	**737,313**
Required Stable Funding (RSF):						
14	Total NSFR high - quality liquid assets (HQLA)	51,115	-	-	-	-
15	Deposits held at other financial institutions for operational purposes	-	-	-	-	-
16	Performing Loans & Securities:					
17	* Performing Loans to financial institutions secured by Level 1 HQLA	8,177	227,534	67,000	-	56,253
18	* Performing loans to financial institutions secured by non - Level 1 HQLA and unsecured performing loans to financial institutions	-	-	-	-	-
19	* Performing loans to non - financial corporate clients, loans to retail and small business customers, and loans to sovereigns, central banks and PSEs,of which:	77	76,359	76,806	176,281	252,864
20	** With a risk weight of less than or equal to 35% as per Capital Adequacy Ratio - Basel 3 Guidelines	-	-	-	-	-
21	* Performing residential mortgages, of which:	-	-	-	-	-
22	** With a risk weight of less than or equal to 35% under CBK Capital Adequacy Ratio - Basel III Guidelines	-	-	-	-	-
23	* Securities that are not in default and do not quality as HQLA, including exchange - traded equities	-	-	-	-	-
24	Other Assets:					
25	* Physical traded commodities, including gold	-	-	-	-	-
26	* Assets posted as initial margin for derivative contracts and contributions to default funds of CCPs	-	-	-	-	-
27	* NSFR derivative assets	-	-	-	-	-
28	* NSFR derivative liabilities before deduction of variation margin posted	-	-	-	-	-
29	* All other assets not included in the above categories	-	11,680	-	174,857	180,697
30	Off - Balance Sheet Items	-	67,550	-	-	3,378
31	Total RSF	59,369	383,123	144,806	351,138	496,067
32	**NSFR (%)**					**148.63%**

Note: Quantitative information relating to investments is available in the financial statements.

Operational Risk Management:

Operational risk is the risk of direct or indirect losses resulting from human factors, external events, and inadequate or failed internal processes and systems. Operational risks are inherent in the Bank's operations. Major sources of operational risk include: operational process reliability, IT security, outsourcing of operations, dependence on key suppliers, implementation of strategic change, integration of acquisitions, fraud, human error, customer service quality, regulatory compliance, recruitment, training and retention of staff, and social and environmental impacts. The Bank is committed to the identification, measurement and management of operational risks. Such risks are managed through bank-wide or line of business specific policies and procedures, controls, and monitoring tools. A critical element is the identification of business specific Key Risk Indicators (KRIs) and their monitoring across business lines. In particular, Risk Management has worked closely with business units and implemented improved management approaches for operational risk, including self-assessment formats and surveys, to focus on critical risk areas, to strengthen control, and minimize operating losses.

The Bank's operational risk management framework aims to:

- Understand and report the operational risks being taken by the Bank.
- Capture and report KRIs and operational errors made.
- Understand and minimize the frequency and impact, on a cost benefit basis, of Operational risk events.
- Manage residual exposures using insurance.

An operational risk self-assessment process is in place with focus on Key Risk Indicators that are specific to the operational area. Risk Management and Internal Audit departments play a vital role in reviewing and maintaining the integrity of the control environment. Additionally, the Bank has covered certain specific areas of operational risk that cannot be controlled internally, through insurance policies.

Information Technology Management

Procedures are in place to safeguard the confidentiality and integrity of stored data and information. These include:

- The installation of firewall systems to protect the network from external interference
- Access controls over application systems
- Compliance with the principle of dual control in operating procedures
- Various monitoring and internal control processes.
- Online data replication process on independent servers.
- Onsite contingency planning.
- Offsite business continuity and disaster recovery programs.

The Bank is in the process of substantially upgrading the IT infrastructure including transactional, data warehousing and risk management solutions in order to form the base for future growth opportunities.

Information Security:

To improve the efficiency and service delivery to customers, adoption of newer technology in banking is increasing. This has brought with it Information security risks that are on the rise in Gulf Region. Information security risks such as Cyber – attacks using malwares, ransomware and internal threats may affect the banking operations and lead to monitory and reputational loss.

To mitigate these information security risks, IBK has established a dedicated Information Security Unit reporting to the Chief Risk Officer. The Information Security Unit monitors and assesses the Bank's Technology and Information related risks and ensures controls and adherence to Industry standards and Central Bank of Kuwait guidance to mitigate these risks related to Information Security.

Capital allocation for Operational Risk:

For the purpose of capital adequacy under Basel III, the Bank presently follows the Standardized Approach of measurement for calculating its operational risk capital charge based on three years' gross income. This is calculated as per the CBK guidelines. The Bank maintains a database of its operational losses. The total amount of capital charge for operational risk for FY2023 is: KD 7.158 Million.

Industrial Bank of Kuwait	
Disclosure on Market Risk - Capital Requirements as on 31.12.2023 (All figures in KD '000)	
Description	**Total Weighted Value** ('000)
Notional Exposure of Foreign Exchange Forward Contracts	10,400
Positive MTM	

Anti-Money Laundering Policies:

The Bank is subject to the rules and regulations of its regulator, the CBK, in the conduct of banking business. The Bank is bound by CBK Instruction No. (2/RB/RBA/2019/432) and Law No. 106 of 2013 and subsequent amendments which have been designed to combat money laundering.
The Bank has internal written policies and procedures authorized by its Board of Directors, designed to prevent, detect and combat money laundering. Its anti-money laundering systems include processes, policies, personnel and training, documentation, reporting, and control systems. In 2013, based on new guidelines of the Central Bank of Kuwait the AML policy and procedure was updated to cover the latest developments.

The Bank is required to obtain from its customers, copies of the license and registration at the time of opening customer accounts. The Bank follows Know Your Customer ("KYC") processes, and the identity of the Bank's customers is established ab initio through official documents as above. Customer records are preserved for a period of 5 years after the termination of the banking relationship. Suspicious transactions are tracked. Staff training and awareness programs are conducted from time to time. The Bank has implemented a state of the art automated anti-money laundering system to track and analyze suspicious transactions. The Bank has initiated the process of becoming FATCA compliant.

New guidelines of the Central Bank of Kuwait require all customers of the Bank to be rated for money laundering and terrorist financing risks. An internal methodology for AML risk assessment for companies and businesses has been developed by risk management and has been incorporated in Board approved policies of AML-TF.

Information related to the Bank's remuneration policy:

Overview of the key features and objectives of the remuneration policy:

The Bank's Remuneration Policy is designed to attract and retain highly qualified, skilled, and knowledgeable professionals and incorporates all the requirements of the CBK as mentioned within its corporate governance instructions. The Policy includes all necessary aspects and components of financial remuneration taking into account reinforcing the Bank's performance objectives and effective risk management. The Bank's Remuneration Policy incorporates all the requirements of the CBK as mentioned within its corporate governance instructions,

The Bank's Board, based on the Board Nominations and Remuneration Committee (NRC) recommendations, approves and modifies the Bank's remuneration policy and its design, and reviews the process of its implementation to ensure that it is operating as intended.

Remuneration components: The various remuneration components are combined to ensure an appropriate and balanced remuneration package that reflects the characteristics of the business unit, the employee's grade in the Bank and the job function as well as market practice concerning the prevailing remunerations level. The employee remuneration components are:

1. Fixed remuneration,
2. Performance based Annual Incentives for all staff (STI),
3. Risk and Return Based Long Term Incentives for Senior Staff (LTI),
4. Other benefits, and
5. End of service payments.

The fixed remuneration is determined on the basis of the role of the individual employee, including job responsibility, job complexity, grade, performance and local market conditions and the applicable laws.

The performance-based incentives (STI and LTI) are designed to motivate and reward the employees to achieve the

goals and objectives of the Bank as per the strategy and annual plans of the Bank. Performance based incentives are disbursed as an annual cash bonus for all staff (STI) and deferred cash bonus for the senior staff (LTI). The incentive schemes are linked with a balanced mix of performance indicators at the corporate level, department / unit level and the employee level. The primary goal of the STI is to align the incentive with the Bank's annual performance and individual contributions. The LTI for the senior staff is designed to encourage sustainable and risk adjusted long term performance of the Bank. The LTI scheme is applicable from 2015 onwards.

The Bank has introduced a formal performance management process for evaluating and measuring staff performance at all levels. In the beginning of the year, the staff and their performance managers plan and document the annual performance goals (KPIs), required competencies and personal development plans for the staff. At the annual performance appraisal interview, the performance managers and the reviewers evaluate and document performance against the documented goals. Decisions on adjustment of the employee's fixed salary and on performance based incentives are made on the basis of the annual performance review.

Other benefits like annual leave, medical leave and other leaves, medical insurance, annual tickets, and allowances are provided on the basis of individual employment contracts, local market practice subject to the applicable laws. End of service payments are payable in accordance with the employment contract subject to the applicable laws.

The CEO oversees the implementation of the remuneration system of the employees as per the approved policy, including the design and related procedures. The Board NRC periodically evaluates the sufficiency and effectiveness of the Remuneration Policy to ensure its alignment with the Bank's objectives. The NRC assists the Board to conduct an independent annual review of the Bank's compliance with the Remuneration Policy.

Nomination and Remuneration Committee (NRC): The role of the Nomination and Remuneration Committee is to assist the Board of Directors in fulfilling its oversight on the identification of persons eligible for membership of the Board of Directors; the Committee will submit its recommendations to the Board regarding candidates to the different committees. The committee is also responsible for the draft, review and update of the Remuneration policy, and assist the board in evaluating the effectiveness and fairness of the policy, and to ensure that the policy is appropriate with the strategic objectives of the Bank. The NRC conducts regular revision of Remuneration Policy and makes recommendations on any updates to the Board. It carries out regular evaluation of the sufficiency and effectiveness of Remuneration Policy to ensure alignment with Bank's objectives. It makes recommendations to the Board regarding the level and components of the remuneration of the CEO and his direct reports as well as the Bank's executive staff. It works closely with the Bank's Risk Committee and the CRO in order to evaluate the incentives proposed by the remuneration system.

The Bank consulted Ernest & Young during 2014 for structuring an incentive policy. The Bank follows a Board approved Remuneration Committee Charter and Procedures, which was approved in 2014. Since FY2015, the Bank has been implementing revised performance management system for all employees.

Risk Assessment: The main business of the Bank is in the nature of a combination of development and commercial banking supplemented by an investment's portfolio. It also manages two government funded portfolios related to small scale industry and handicrafts and agricultural financing. It is risk management department's assessment that the remuneration policy of the bank evenly weights the long and the medium term results and this is well documented and recorded in the new performance appraisal system (PMS) through a SMART process (Specific, Measurable, Achievable, Relevant and Time based) through detailed and quantified KPIs (Key performance indicators), continuous performance monitoring and coaching, periodic reviews and final performance based on financial results as well as defined qualitative objectives. Senior management is judged by the Remuneration Committee on a distribution and combination of return on investment, defined risk measures including CAMEL-BCOM components, and business elements. The Bank took measures to ensure that no material risk taker or the senior management approached areas for short term gains such as financial market trading or areas subject to high risk and potential reward or indulged in excessive risk taking. All proposals of the Bank and the overall portfolio of the Bank was assessed independently by risk management and reported to the Board Risk Committee.

The performance review and the remuneration for control departments such as Internal Audit and Risk Management is determined by the Board Audit Committee and the Board Risk Committee respectively. The performance criteria for the control departments are recorded through specific Key Performance Indicators or KPIs relevant for these departments and none of the KPIs are based on a business target such as revenue, profits or related targets. As per corporate governance principles, the control departments do not report to the CEO and the executive arm of the Bank but directly to the Board and the remuneration is determined accordingly.

With respect to the determination of relationship between performance and levels of remuneration, the Bank has established adequate links and weights for individual performance, business unit performance and corporate performance according to the different levels of bank staff with assistance of the external consultants. Corporate performance in turn, takes measures relating to ROE, assets portfolio and defined risk measures.

Variable remuneration for senior staff has short term and long-term components. The long-term component is vested after 3 years from the date of granting. The vesting amount may increase or decrease according to the -3year average performance in terms of EPS and risk measures. The Bank has only cash based variable remuneration and does not provide stock options or shares. Corporate performance targets have a ROE weight of 40 %, asset portfolio performance of 30 % and risk rating measure of 30 %, as designed by E&Y consultants. All staff of the Bank is eligible for performance based variable incentives. Only senior management and staff are eligible for long term variable incentives. There were no sign-on awards provided to any staff.

Senior Management is defined as the CEO and his executive team of DCEOs. Reporting to the CEO, is the DCEO – Development Finance, the DCEO – Commercial Banking and Investments. Material risk takers include the heads of revenue generating business departments which are Project Finance, Commercial Banking, Direct Investments and Treasury. Included under the control departments is the Chief Risk Officer, Head of Internal Audit, Head of Financial Control Unit, Head of AML, Head of Accounts and the Compliance officer.

Remuneration paid in 2023 (in KD)

Category 1: CEO & Senior Management - 3 employees

	Unrestricted Cash-based	Deferred Cash-based	Unrestricted Other
Fixed	469,914	4,732	11,055

	Unrestricted Cash-based	Deferred Cash-based	Unrestricted Other
Variable		521,375	

Category 2: Material Risk Takers - 6 employees

	Unrestricted Cash-based	Deferred Cash-based	Unrestricted Other
Fixed	369,687	7,887	22,770

	Unrestricted Cash-based	Deferred Cash-based	Unrestricted Other
Variable		150,105	

Category 3: Financial & Risk Control Staff - 6 employees

	Unrestricted Cash-based	Deferred Cash-based	Unrestricted Other
Fixed	264,911	6,330	10,673

	Unrestricted Cash-based	Deferred Cash-based	Unrestricted Other
Variable		99,821	



Consolidated Financial Statements and Independent Auditor's Report

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IBK

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INDEPENDENT AUDITORS' REPORT TO THE SHAREHOLDERS OF THE INDUSTRIAL BANK OF KUWAIT K.S.C.C.

Report on the Audit of the Consolidated Financial Statements

Opinion

We have audited the consolidated financial statements of The Industrial Bank of Kuwait K.S.C.C. (the "Bank") and its subsidiaries (together, the "Group"), which comprise the consolidated statement of financial position as at 31 December 2023 , and the related consolidated statement of profit or loss and other comprehensive income, consolidated statement of changes in equity and consolidated statement of cash flows for the year then ended, and notes to the consolidated financial statements, including a summary of material accounting policies.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as at 31 December 2023, and its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs), as adopted by the Central Bank of Kuwait for use by the State of Kuwait.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Consolidated Financial Statements* section of our report. We are independent of the Group in accordance with the International Ethics Standards Board for Accountants' *International Code of Ethics for Professional Accountants (including International Independence Standards)* (IESBA Code), and we have fulfilled our other ethical responsibilities in accordance with the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

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INDEPENDENT AUDITORS' REPORT TO THE SHAREHOLDERS OF THE INDUSTRIAL BANK OF KUWAIT K.S.C.C. (continued)

Report on the Audit of the Consolidated Financial Statements (continued)

Other information included in the Annual Report of the Group for the year ended 31 December 2023

Management is responsible for the other information. Other information consists of the information included in Annual Report of the Bank for the year ended 31 December 2023, other than the consolidated financial statements and our auditors' report thereon. We have obtained the report of the Bank's Board of Directors, prior to the date of our auditor's report, and we expect to obtain the remaining sections of the Group's Annual Report for the year ended 31 December 2023 after the date of our auditor's report.

Our opinion on the consolidated financial statements does not cover the other information and we do not and will not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained during the audit, or otherwise appears to be materially misstated. If, based on the work we have performed on the other information that we obtained prior to the date of this auditor's report, we conclude that there is a material misstatement in this other information; we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with IFRSs as adopted for use by the State of Kuwait, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Group's financial reporting process.

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INDEPENDENT AUDITORS' REPORT TO THE SHAREHOLDERS OF THE INDUSTRIAL BANK OF KUWAIT K.S.C.C. (continued)

Auditors' Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Group to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

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INDEPENDENT AUDITORS' REPORT TO THE SHAREHOLDERS OF THE INDUSTRIAL BANK OF KUWAIT K.S.C.C. (continued)

Report on Other Legal and Regulatory Requirements

Furthermore, in our opinion proper books of account have been kept by the Bank and the consolidated financial statements, together with the contents of the report of the Bank's Board of Directors relating to these consolidated financial statements, are in accordance therewith. We further report that we have obtained all the information and explanations that we required for the purpose of our audit and that the consolidated financial statements incorporate all information that is required by the Capital Adequacy Regulations and Financial Leverage Ratio Regulations issued by the Central Bank of Kuwait ("CBK") as stipulated in CBK Circular Nos. 2/RB, RBA/336/2014 dated 24 June 2014, and its amendments, and 2/B.S. 342/2014 dated 21 October 2014, and its amendments, the Companies Law No 1 of 2016, as amended, and its executive regulations, as amended, and by the Bank's Memorandum of Incorporation and Articles of Association, that an inventory was duly carried out and that, to the best of our knowledge and belief, no violations of the Capital Adequacy Regulations and Financial Leverage Ratio Regulations issued by the CBK as stipulated in CBK Circular Nos. 2/RB, RBA /336/2014 dated 24 June 2014, and its amendments and 2/B.S. 342/2014 dated 21 October 2014, and its amendments, respectively, the Companies Law No 1 of 2016, as amended, and its executive regulations, as amended, or of the Bank's Memorandum of Incorporation and Articles of Association, have occurred during the year ended 31 December 2023 that might have had a material effect on the business of the Bank or on its financial position.

We further report that, during the course of our audit, to the best of our knowledge and belief, we have not become aware of any violations of the provisions of Law No. 32 of 1968, as amended, concerning currency, the Central Bank of Kuwait and the organisation of banking business, and its related regulations during the year ended 31 December 2023 that might have had a material effect on the business of the Bank or on its financial position.

شيخة عدنان الفليج

SHEIKHA AL FULAIJ
LICENCE NO. 289 A
EY
AL-AIBAN, AL-OSAIMI & PARTNERS

18 March 2024
Kuwait

The Industrial Bank of Kuwait K.S.C. (Closed) and its Subsidiaries

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

As at 31 December 2023

	Notes	***2023*** ***KD'000***	*2022* *KD'000*
Assets			
Cash and cash equivalents	3	**7,708**	20,610
Treasury bills and bonds	4	**47,094**	47,935
Deposits with banks and other financial institutions		**307,001**	265,003
Financial assets at fair value through profit or loss	5	**147,053**	137,391
Loans and advances to customers	6	**290,748**	289,091
Investments in associates	7	**7,170**	7,118
Other assets		**11,555**	8,201
Property and equipment		**4,496**	4,608
Total assets		**822,825**	779,957
Liabilities			
Deposits from banks and other financial institutions		**28,321**	22,481
Deposits from customers		**50,442**	45,558
Other liabilities	8	**22,903**	22,195
Term loans	9	**102,436**	84,813
Loan from the State of Kuwait	9	**300,000**	300,000
Total liabilities		**504,102**	475,047
Equity			
Share capital	10	**20,000**	20,000
Treasury shares reserve		**152**	152
Statutory reserve	10	**47,265**	45,210
Voluntary reserve	10	**151,554**	149,499
Retained earnings		**99,752**	90,049
Total equity		**318,723**	304,910
Total liabilities and equity		**822,825**	779,957

Musab Salem Al Nisf
Chairman

Ali A. Khajah
Chief Executive Officer

The accompanying notes from 1 to 22 form an integral part of these consolidated financial statements.

CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the year ended 31 December 2023

	Notes	***2023 KD'000***	*2022 KD'000*
Interest income		**30,661**	20,210
Interest expense		**(10,023)**	(5,090)
Net interest income		**20,638**	15,120
Fee and commission income		**4,518**	4,205
Foreign exchange (loss) gain		**(1,211)**	758
Net investment income	11	**7,948**	10,020
Recoveries from loans written-off	6	**1,824**	15,733
Other income		**72**	153
Total income		**33,789**	45,989
Staff costs	12	**(8,939)**	(9,902)
Depreciation		**(222)**	(655)
Other expenses	13	**(2,970)**	(3,286)
Provision for credit losses	6	**(1,148)**	(1,916)
Other provisions reversal		**39**	103
Total expenses		**(13,240)**	(15,656)
Profit for the year before contribution to Kuwait Foundation for the Advancement of Sciences ("KFAS"), Board of Directors' remuneration and Zakat		**20,549**	30,333
Contribution to KFAS		**(200)**	(298)
Board of Directors' remuneration	14	**(331)**	(367)
Zakat		**(205)**	(303)
Net profit for the year		**19,813**	29,365
Other comprehensive income for the year		**-**	-
Total comprehensive income for the year		**19,813**	29,365
Basic and diluted earnings per share (KD)	15	**9.907**	14.683

The accompanying notes from 1 to 22 form an integral part of these consolidated financial statements.

The Industrial Bank of Kuwait K.S.C. (closed) and its Subsidiaries

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

For the year ended 31 December 2023

	Share capital KD'000	*Treasury shares reserve KD'000*	*Statutory reserve KD'000*	*Voluntary reserve KD'000*	*Retained earnings KD'000*	*Total KD'000*
Balance at 1 January 2023	20,000	152	45,210	149,499	90,049	304,910
Total comprehensive income for the year	-	-	-	-	19,813	19,813
Transfer to reserves	-	-	2,055	2,055	(4,110)	-
Dividends (note 10)	-	-	-	-	(6,000)	(6,000)
Balance at 31 December 2023	**20,000**	**152**	**47,265**	**151,554**	**99,752**	**318,723**

	Share capital KD'000	*Treasury shares reserve KD'000*	*Statutory reserve KD'000*	*Voluntary reserve KD'000*	*Retained earnings KD'000*	*Total KD'000*
Balance at 1 January 2022	20,000	152	42,177	146,466	72,750	281,545
Total comprehensive income for the year	-	-	-	-	29,365	29,365
Transfer to reserves	-	-	3,033	3,033	(6,066)	-
Dividends (note 10)	-	-	-	-	(6,000)	(6,000)
Balance at 31 December 2022	20,000	152	45,210	149,499	90,049	304,910

The accompanying notes from 1 to 22 form an integral part of these consolidated financial statements.

CONSOLIDATED STATEMENT OF CASH FLOWS

For the year ended 31 December 2023

	Notes	***2023 KD'000***	*2022 KD'000*
Cash flows from operating activities			
Net profit for the year before contribution to KFAS, directors' remuneration and Zakat		**20,549**	30,333
Adjustments for:			
Foreign exchange loss(gain)		**1,514**	(758)
Dividend income	11	**(528)**	(500)
Realised gain on financial assets at fair value through profit or loss	11	**(6,839)**	(15,401)
Unrealised (gain) loss on financial assets at fair value through profit or loss, net	11	**(473)**	6,120
Share of results from associates	7,11	**(108)**	(239)
Depreciation		**222**	655
Provision for credit losses, net	6	**1,148**	1,916
Other provisions reversal		**(39)**	(103)
		15,446	22,023
Changes in:			
Treasury bills and bonds		**841**	22,244
Deposits with banks and other financial institutions		**(41,998)**	(81,115)
Loans and advances to customers		**(2,805)**	(12,557)
Other assets		**(3,921)**	(4,053)
Deposits from banks and other financial institutions		**5,840**	(13,882)
Deposits from customers		**4,884**	(2,701)
Other liabilities		**940**	(7,058)
Cash used in operations		**(20,773)**	(77,099)
KFAS paid		**(298)**	(382)
Zakat paid		**(303)**	(391)
Board of Directors' remuneration paid		**(367)**	(322)
Net cash flows used in operating activities		**(21,741)**	(78,194)
Cash flows from investing activities			
Additions to property and equipment		**(110)**	(160)
Purchase of financial assets at fair value through profit or loss		**(15,190)**	(17,518)
Proceeds from disposal of financial assets at fair value through profit or loss		**12,840**	21,749
Dividends received from associates	7	**56**	56
Dividend income received		**528**	500
Net cash flows (used in) from investing activities		**(1,876)**	4,627
Cash flows from financing activities			
Term loans obtained		**48,259**	38,979
Term loans paid		**(31,544)**	-
Dividends paid	10	**(6,000)**	(6,000)
Net cash flows from financing activities		**10,715**	32,979
Net decrease in cash and cash equivalents		**(12,902)**	(40,588)
Cash and cash equivalents at 1 January		**20,610**	61,198
Cash and cash equivalents at 31 December	3	**7,708**	20,610

The accompanying notes from 1 to 22 form an integral part of these consolidated financial statements.

1. INCORPORATION AND ACTIVITIES

The Industrial Bank of Kuwait K.S.C. (Closed) ("the Bank") is a closed shareholding company incorporated in the State of Kuwait in 1973 under the commercial registration number 20139 as a specialized bank and is regulated by the Central Bank of Kuwait ("CBK") to provide banking services to the industrial projects and investments in related activities and the bank is principally engaged in the following activities:

- Contribute to developing the Kuwaiti economy, diversify its production structure by encouraging new industries and support existing industries. For this purpose, it may undertake the operations described explicitly in its Articles of Association, as amended; and
- The Bank may have an interest or to participate in any aspect in other entities conducting similar activities or which may help to achieve its objectives in Kuwait or abroad and may purchase these entities or merge therewith.

The Bank's registered office in Kuwait is at Joint Banking Complex, Commercial Area 9, Mubarak Al Kabeer Street, Darwaza Abdul Razaq, P.O. Box 3146, Safat 13032, Kuwait. The number of employees of the Group as at 31 December 2023 is 183 (2022: 187).

The consolidated financial statements of the Bank and its subsidiaries (together the "Group") (Note 2.5) were authorized for issue by the Board of Directors on 31 January 2024 The Annual General Assembly of the shareholders has the power to amend these consolidated financial statements after issuance.

2. BASIS OF PREPARATION AND MATERIAL ACCOUNTING POLICIES

2.1 BASIS OF PREPARATION

The consolidated financial statements have been prepared under the historical cost basis except for measurement of financial assets at fair value through profit or loss and derivative instruments which carried at fair value.

The consolidated financial statements are presented in Kuwaiti Dinars ("KD") which is the functional currency of the Bank, rounded to the nearest thousand Kuwaiti Dinars, except when otherwise stated.

2.2 STATEMENT OF COMPLIANCE

The consolidated financial statements have been prepared in accordance with the regulations for financial services institutions as issued by the Central Bank of Kuwait (CBK) in the State of Kuwait. These regulations require banks and other financial institutions regulated by CBK to adopt the International Financial Reporting Standards with the following amendments:

- Expected credit loss ("ECL") to be measured at the higher of ECL on credit facilities computed under IFRS 9 in accordance with the CBK guidelines or the provisions as required by CBK instructions along with its consequent impact on related disclosures.

The above framework is hereinafter referred to as 'IFRS as adopted by CBK for use in the State of Kuwait'.

2.3 CHANGES IN ACCOUNTING POLICIES AND DISCLOSURES

New and amended standards and interpretations
The accounting policies used in the preparation of these consolidated financial statements are consistent with those used in the previous year except for the adoption of certain standards and amendments, which are effective for annual periods beginning on or after 1 January 2023. The Group has not early adopted any other standard, interpretation or amendment that has been issued but is not yet effective.

2. BASIS OF PREPARATION AND MATERIAL ACCOUNTING POLICIES (continued)

2.3 CHANGES IN ACCOUNTING POLICIES AND DISCLOSURES (continued)

International Tax Reform – Pillar Two Model Rules (Amendments to IAS 12)
The IASB amended the scope of IAS 12 to clarify that the Standard applies to income taxes arising from tax law enacted or substantively enacted to implement the Pillar Two model rules published by the ECD, including tax law that implements qualified domestic minimum top-up taxes described in those rules. The amendments introduce a temporary exception to the accounting requirements for deferred taxes in IAS 12, so that an entity would neither recognise nor disclose information about deferred tax assets and liabilities related to Pillar Two income taxes. In periods in which Pillar Two legislation is enacted or substantively enacted but not yet in effect, an entity shall disclose known or reasonably estimable information that helps users of financial statements understand the entity's exposure to Pillar Two income taxes arising from that legislation.

The Group has determined that it will not be subject to Pillar Two taxes once the legislation becomes effective since it does not operate in any taxable jurisdictions. Therefore, as the related Pillar Two disclosures are not required, the amendments will have no impact on the Group financial statements at 31 December 2023.

Disclosure of Accounting Policies - Amendments to IAS 1 and IFRS Practice Statement 2
In February 2021, the IASB issued amendments to IAS 1 and IFRS Practice Statement 2 Making Materiality Judgements, in which it provides guidance and examples to help entities apply materiality judgements to accounting policy disclosures. The amendments aim to help entities provide accounting policy disclosures that are more useful by replacing the requirement for entities to disclose their 'significant' accounting policies with a requirement to disclose their 'material' accounting policies and adding guidance on how entities apply the concept of materiality in making decisions about accounting policy disclosures.

The amendments have had an impact on the Bank's disclosures of accounting policies, but not on the measurement, recognition or presentation of any items in the Bank's financial statements.

Definition of Accounting Estimates - Amendments to IAS 8
In February 2021, the IASB issued amendments to IAS 8, in which it introduces a definition of 'accounting estimates'. The amendments clarify the distinction between changes in accounting estimates and changes in accounting policies and the correction of errors. Also, they clarify how entities use measurement techniques and inputs to develop accounting estimates. The amendments had no material impact on the Bank's financial statements.

Other amendments to IFRS which are effective for annual accounting period starting from 1 January 2023 did not have any material impact on the accounting policies, financial position or performance of the Group.

2.4 NEW STANDARDS AND INTERPRETATIONS ISSUED BUT NOT YET ADOPTED
A number of new standards, amendments to standards and interpretations which are issued for annual periods beginning on or after 1 January 2023 have not been early adopted in the preparation of the Group's consolidated financial statements. None of these are expected to have a significant impact on the Group's consolidated financial statements.

2.5 BASIS OF CONSOLIDATION

The consolidated financial statements comprise the financial statements of the Bank as at 31 December 2023 (the "reporting date") and its subsidiaries (investees which are controlled by the Bank) as at the same date or a date not earlier than one month from the reporting date. The Bank consolidates a subsidiary when it controls it. Control is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. Specifically, the Group controls an investee if and only if the Group has:

- Power over the investee (i.e. existing rights that give it the current ability to direct the relevant activities of the investee)
- Exposure, or rights, to variable returns from its involvement with the investee, and
- The ability to use its power over the investee to affect its returns

2. BASIS OF PREPARATION AND MATERIAL ACCOUNTING POLICIES (continued)

2.5 BASIS OF CONSOLIDATION (continued)

Generally, there is a presumption that a majority of voting rights results in control. To support this presumption and when the Group has less than a majority of the voting or similar rights of an investee, the Group considers all relevant facts and circumstances in assessing whether it has power over an investee, including:

- The contractual arrangement with the other vote holders of the investee
- Rights arising from other contractual arrangements
- The Group's voting rights and potential voting rights

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the Group's consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Profit or loss and each component of the other comprehensive income are attributed to the equity holders of the Bank and to the non-controlling interests, even if this results in the non-controlling interests having a deficit balance. When necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies into line with the Group's accounting policies. All intra-group assets and liabilities, equity, income, expenses and cash flows relating to transactions between members of the Group are eliminated in full on consolidation.

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction.

If the Group loses control over a subsidiary, it derecognises the related assets (including goodwill and intangible assets), liabilities, non-controlling interest and other components of equity while any resultant gain or loss is recognised in profit or loss. Any investment retained is recognised at fair value.

The subsidiaries of the Group are as follows:

Name of subsidiary	*Country of incorporation*	*Principal activities*	*Percentage of ownership*	
			2023	*2022*
Senaey Enterprises Limited	Cayman Islands	Investments	**100%**	100%
Kuwait Industrial Projects Company K.S.C. (Closed) ("KIPC")*	State of Kuwait	Investments	**99.6%**	99.6%
Entities held through KIPC				
Al Reada Petrochemical Company K.S.C. (Closed)	State of Kuwait	Petrochemicals	**96%**	96%
Intermediate Petrochemical Products Company K.S.C. (Closed)	State of Kuwait	Petrochemicals	**96%**	96%
Derwaza Company for Construction, Managing and Leasing Warehouses	State of Kuwait	Leasing	**100%**	100%

*The Parent Company effectively owns 100% of equity interest of the above entity. Accordingly, the consolidated financial statements have been prepared on this basis. The ownership of the remaining equity interest in this subsidiary is registered in the name of related parties as nominees. However, the Parent Company is the beneficial owner of 100% equity interest.

2.6 SUMMARY OF MATERIAL ACCOUNTING POLICIES

Financial Instruments

Recognition

A financial asset or a financial liability is recognised when the Group becomes a party to the contractual provisions of the instrument. All regular way purchase and sale of financial assets are recognised using settlement date accounting. Changes in fair value between the trade date and settlement date are recognised in the consolidated statement of profit or loss and other comprehensive income (OCI) in accordance with the policy applicable to the related instrument. Regular way purchases or sales are purchases or sales of financial assets that require delivery of assets within the time frame generally established by regulations or conventions in the marketplace.

2. BASIS OF PREPARATION AND MATERIAL ACCOUNTING POLICIES (continued)

2.6 SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

Financial Instruments (continued)

Classification and measurement

Initial classification and measurement of financial instruments

The classification of financial instruments at initial recognition depends on the business model for managing the instruments and on their contractual cash flow characteristics. Financial instruments are initially measured at their fair value, except in the case of financial assets and financial liabilities recorded at FVTPL, transaction costs are added to, or subtracted from this amount. When the fair value of financial instruments at initial recognition differs from the transaction price, the Bank accounts for the Day 1 profit or loss.

Business model assessment

The Group determines its business model at the level that best reflects how it manages groups of financial assets to achieve its business objective. The Group's business model is not assessed on an instrument-by-instrument basis, but at a higher level of aggregated portfolios and is based on observable factors such as:

- How the performance of the business model and the financial assets held within that business model are evaluated and reported to the entity's key management personnel;
- The risks that affect the performance of the business model (and the financial assets held within that business model) and, in particular, the way those risks are managed;
- The expected frequency, value and timing of sales are also important aspects of the Group's assessment.

The business model assessment is based on reasonably expected scenarios without taking 'worst case' or 'stress case' scenarios into account. If cash flows after initial recognition are realised in a way that is different from the Group's original expectations, the Group does not change the classification of the remaining financial assets held in that business model but incorporates such information when assessing newly originated or newly purchased financial assets going forward.

Contractual cashflow characteristics

The Group also assesses the characteristics of the contractual cashflow of the financial asset to identify whether the contractual cashflow is Solely for purpose of Payment of Principal and Interest (SPPI test).

'Principal' for the purpose of this test is defined as the fair value of the financial asset at initial recognition and may change over the life of the financial asset. The most significant elements of 'interest' within a lending arrangement are typically the consideration for the time value of money and credit risk. The Group also considers relevant factors such as the currency in which the financial asset is denominated, and the period for which the interest rate is set during its assessment of the SPPI test.

If the contractual terms introduce a more than de minimis exposure to risks or volatility in the contractual cash flows that are unrelated to a basic lending arrangement, the financial asset is required to be measured at FVTPL as the contractual terms do not give rise to contractual cash flows that are solely payments of principal and interest on the amount outstanding.

The Group reclassifies when and only when its business model for managing those assets changes. The reclassification takes place from the start of the first reporting period following the change.

Subsequent classification and measurement categories of financial assets

The Group classifies all of its financial assets as either:

- Financial asset carried at amortised cost;
- Financial asset at fair value through other comprehensive income (FVOCI);
- Financial asset at fair value through profit or loss (FVTPL).

Financial asset carried at amortised cost:

A financial asset is carried at amortised cost if it meets both of the following conditions:

- It is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- Its contractual terms give rise on specified dates, to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Financial assets carried at amortised cost are subsequently measured at amortised cost using the effective interest method. Interest income, foreign exchange gains and losses, impairment and gain or loss on derecognition is recognised in the consolidated statement of profit or loss and other comprehensive income.

2. BASIS OF PREPARATION AND MATERIAL ACCOUNTING POLICIES (continued)

2.6 SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

Financial Instruments (continued)

Classification and measurement (continued)

Financial asset carried at amortised cost (continued):

Cash and cash equivalents, Treasury bills and bonds with CBK and others, due from banks and other financial institutions, loans and advances to customers, and certain other assets are classified as financial asset carried at amortised cost.

Financial assets carried at FVTPL

Financial assets carried at FVTPL is initially recorded in the consolidated statement of financial position at fair value. The financial assets classified under this category are either designated by management upon initial recognition or are mandatorily required to be measured at fair value under IFRS 9. Management designates an instrument as financial asset carried at FVTPL where even though it meets the classification criteria of financial asset carried at amortised cost or financial asset carried at FVOCI, this designation eliminates, or significantly reduces, the inconsistent accounting treatment that would otherwise arise. Such designation is determined on an instrument-by-instrument basis.

Financial assets carried at FVTPL are subsequently measured at fair value. The changes in fair value are recorded in the consolidated statement of profit or loss and other comprehensive income. Interest earned or incurred on debt instruments designated at FVTPL is accrued in interest income using the effective interest rate method, considering any discount/ premium and qualifying transaction costs being an integral part of instrument. Interest earned on assets mandatorily required to be measured at FVTPL is recorded using contractual interest rate. Dividend income from equity instruments measured at FVTPL is recorded in the consolidated statement of profit or loss and other comprehensive income as other operating income when the right to the payment has been established. Certain debt securities, equities and derivatives that are not designated as hedging instruments are classified as Financial assets carried at FVTPL.

Subsequent classification and measurement categories of financial liabilities

Financial liabilities, other than financial guarantees and loan commitments, are measured at amortised cost or at FVTPL when they are held for trading and derivative instruments, or the fair value designation is applied.

Deposits from banks and other financial institutions, deposits from customers, other borrowed fund and certain other liabilities are classified as financial liabilities carried at amortised cost.

Financial guarantees and loan commitments

In the ordinary course of business, the Bank issues financial guarantees, consisting of letters of credit, guarantees and acceptances. Financial guarantees are initially recognised as a liability at fair value, being the premium received. Subsequent to initial recognition, the Group's liability under each guarantee is measured at the higher of the amount initially recognised less cumulative amortisation recognised in the consolidated statement of profit or loss and other comprehensive income, and the higher of ECL under IFRS 9 according to the CBK guidelines and provision required by the CBK instructions.

Undrawn loan commitments and letters of credits are commitments under which, over the duration of the commitment, the Bank is required to provide a loan with pre-specified terms to the customer. Similar to financial guarantee contracts, , a provision was made if they were an onerous contract and the higher of ECL under IFRS 9 according to the CBK guidelines and provision required by the CBK instructions.

De-recognition

De-recognition of financial assets and financial liabilities other than substantial modification of terms and conditions

A financial asset (or where applicable, a part of a financial asset or part of a group of similar financial assets) is derecognised where:

- The rights to receive cash flows from the asset have expired, or
- The Group has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either (a) the Group has transferred substantially all the risks and rewards of the asset, or (b) the Group has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset

When the Group has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, it evaluates if and to what extent it has retained the risks and rewards of ownership. When it has neither transferred nor retained substantially all of the risks and rewards of the asset, nor transferred control of the asset, the Group continues to recognise the transferred asset to the extent of the Group's continuing involvement. In that case, the Group also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Group has retained.

2. BASIS OF PREPARATION AND MATERIAL ACCOUNTING POLICIES (continued)

2.6 SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

Financial Instruments (continued)

De-recognition (continued)

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Group could be required to repay.

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires. Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognised in the consolidated statement of profit or loss and other comprehensive income.

De-recognition of financial assets due to substantial modification of terms and conditions

The Group derecognises a financial asset, such as loans and advances to customers, when the terms and conditions have been renegotiated to the extent that, substantially, it becomes a new loan, with the difference recognised as a derecognition gain or loss, to the extent that an impairment loss has not already been recorded.

When assessing whether or not to derecognise a financing receivable, amongst others, the Group considers the following factors:

- Change in currency of the loan
- Introduction of an equity feature
- Change in counterparty
- If the modification is such that the instrument would no longer meet the SPPI criterion

If the modification does not result in cash flows that are substantially different, the modification does not result in derecognition. Based on the change in cash flows discounted at original effective interest rate, the Group records a modification gain or loss, to the extent that an impairment loss has not already been recorded.

Offsetting of financial assets and financial libailities

Financial assets and financial liabilities are only offset and the net amount reported in the consolidated financial position when there is a legally enforceable right to set off the recognised amounts and the Group intends to settle on a net basis so as to realize the assets and liabilities simultaneously.

Collateral pending sale

The Group occasionally acquires non-monetary assets in settlement of certain financing receivables. Such assets are stated at the lower of the carrying value of the related financing receivables and the current fair value of such assets. Gains or losses on disposal, and revaluation losses, are recognised in the consolidated statement of profit or loss and other comprehensive income.

Impairment of financial assets

The Group records impairment of financial assets as follows:

Impairment of financial assets classified as credit facilities:

Impairment of financial assets classified as credit facilities is recorded as the higher of ECL on credit facilities computed under IFRS 9 in accordance with the CBK guidelines or the provisions as required by CBK instructions. Credit facilities consists of loans and advances to customers, non-cash credit facilities in the form of bank guarantees, letters of guarantee, documentary letters of credit, bank acceptances, undrawn cash and non-cash credit facilities (revocable and irrevocable).

Impairment of financial assets other than credit facilities:

Impairment of financial assets other than credit facilities is computed under IFRS 9 in accordance with the CBK guidelines. These financial assets comprise of deposits with banks and equity investments are not subject to ECL.

Expected credit losses under IFRS 9 as per CBK guidelines

The Group has established a policy to perform an assessment at the end of each reporting period of whether there has been a significant increase in credit risk since initial recognition by considering the change in the risk of default occurring over the remaining life of the financial instrument. ECLs are estimated based on the present value of all cash shortfalls over the remaining expected life of the financial asset, i.e., the difference between:

- The contractual cash flows that are due to the Group under the contract; and
- The cash flows that the Group expects to receive, discounted at the effective profit rate of the financing facility.

2. BASIS OF PREPARATION AND MATERIAL ACCOUNTING POLICIES (continued)

2.6 SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

Impairment of financial assets (continued)

The Group applies a three-stage approach to classify and measure the ECL on the financial assets classified as credit facilities, as described below:

Stage 1: 12-month ECL

For financial assets classified as credit facilities where there has not been any significant increase in credit risk since their initial recognition or those credit facilities which are determined to have a low credit risk at the reporting date, the Group classifies these facilities under Stage 1 and measures the loss allowance which is a result of defaults that are expected to arise over the next 12 months (12-month ECL) on these financial assets.

Stage 2: Lifetime ECL – not credit impaired

For financial assets classified as credit facilities where there has been a significant increase in credit risk since initial recognition but are not credit impaired, the Group classifies these facilities under Stage 2 and measures loss allowance which is a result of defaults that are expected to arise over the lifetime (Lifetime ECL) on these financial assets.

Stage 3: Lifetime ECL – credit impaired

For financial assets classified as credit facilities which are in default and credit impaired, the Group classifies these facilities under Stage 3 and measures loss allowance at an amount equal to 100% of net exposure i.e. exposure after deduction of eligible collaterals.

Staging of credit facilities

The Group continuously monitors all financial assets classified as credit facilities and applies a series of absolute thresholds and other criteria to determine the staging. All financial assets classified as credit facilities that are more than 30 days past due are deemed to have significant increase in credit risk since initial recognition and are classified under Stage 2. All rescheduled credit facilities are classified under the Stage 2 unless it qualifies for Stage 3. The Group also applies other criteria to determine a significant increase in credit risk for financial assets, such as:

- Deterioration in the customer rating of the borrower indicating default;
- A material decrease in the underlying collateral value where the recovery of the loan is expected from the sale of the collateral;
- A material deterioration in the customer's financial position in the opinion of the Group causing concerns on the repayment ability;
- A material covenant breach in a committed facility;
- Filing for bankruptcy or liquidation;
- Downgrade in the facility's credit rating by 2 grades for the facilities with Investment Grade rating and by 1 grade for those with Non-Investment Grade rating.

Purchased or originated credit-impaired financial assets are those financial assets that are credit-impaired on initial recognition and are classified under Stage 3.

Definition of default

The Group considers a financial asset to be in default and therefore Stage 3 (credit impaired) when:

- The borrower is past due for more than 90 days on its credit obligation to the Group;
- The borrower is facing significant financial difficulty;
- The borrower is assessed as credit impaired based on internal qualitative and quantitative assessment;
- Other indicators such as breach of covenants, customer being deceased etc;

The Group assess whether objective evidence of impairment exists on an individual basis for each individually significant asset and collectively for others not deemed individually significant.

Measurement of ECLs

ECLs are probability weighted estimates of credit losses and are measured as the present value of all cash shortfalls discounted at the effective interest rate of the financial instrument. Cash shortfall represent the difference between cashflows due to the Group in accordance with the contract and the cashflows that the Group expects to receive. The key elements in the measurement of ECL includes exposure at default, probability of default and loss given default.

2. BASIS OF PREPARATION AND MATERIAL ACCOUNTING POLICIES (continued)

2.6 SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

Impairment of financial assets (continued)

Measurement of ECLs (continued)
The Exposure at Default ("EAD") is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including expected drawdowns on committed facilities, repayments of principal and interest, whether scheduled by contract or otherwise. In addition, Group also complies with the CBK guidelines with respect to application of Credit Conversion Factors.

The Probability of Default ("PD") is an estimate of the likelihood of default over a given time horizon. A default may only happen at a certain time over the assessed period, if the financial asset has not been previously derecognised and is still in the portfolio. The Group uses Through-The-Cycle PD (TTC PD) for each rating to calculate the ECL. The minimum PD is 1% for investment grade credit facilities and 0.75% for non-investment grade credit facilities except for credit facilities that are rated by an external credit rating agency as investment grade and are granted to government entities and banks.

The Loss Given Default ("LGD") is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the lender would expect to receive, including from the realisation of any collateral. It is usually expressed as a percentage of the EAD.

The LGD threshold for unsecured senior and subordinate loans and advances to customers is determined in accordance with the CBK guidelines relating to IFRS 9.

The maximum period for which the credit losses are determined is the contractual life of a financial asset, unless the Group has the legal right to call it earlier.

Incorporation of forward-looking information
The Group incorporates forward-looking information into both its assessment of whether the credit risk of an instrument has increased significantly since its initial recognition and its measurement of ECL. The Group has performed a historical analysis and identified the key economic variables impacting credit risk and ECL. Relevant macro-economic adjustments are applied to capture variations from economic scenarios. These reflect reasonable and supportable forecasts of future macro-economic conditions that are not captured within the base ECL calculations. Macro-economic factors taken into consideration include, but are not limited to, gross domestic product, unemployment rates and oil prices and require an evaluation of both the current and forecast direction of the macro-economic cycle. Incorporating forward-looking information increases the degree of judgement required as to how changes in these macro-economic factors will affect ECL. The methodology and assumptions including any forecasts of future economic conditions are reviewed regularly.

Renegotiated loans and advances
In the event of a default, the Group seeks to restructure facilities to customers rather than take possession of collateral. This may involve extending the payment arrangements and the agreement of new financing conditions. When the facility to a customer has been renegotiated or modified but not derecognised, any impairment is measured using the original effective interest rate method as calculated before the modification of terms. Management continually reviews renegotiated facilities to ensure that all criteria are met and that future payments are likely to occur. Management also assesses whether there has been significant increase in credit risk and the facility should be classified in Stage 2.

Presentation of allowance for ECL in the consolidated statement of financial position
Loss allowances for ECL are presented as a deduction from the gross carrying amount of the financial assets for financial assets carried at amortized cost.

Write-offs
Financial assets are written off either partially or in their entirety only when the Group has ceased pursuing the recovery. If the amount to be written off is greater than the accumulated loss allowance, the difference is first treated as an addition to the allowance that is then applied against the gross carrying amount. Any subsequent recoveries are recorded directly in consolidated statement of profit or loss and other comprehensive income.

2. BASIS OF PREPARATION AND MATERIAL ACCOUNTING POLICIES (continued)

2.6 SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

Provisions for credit losses in accordance with CBK instructions

The Group is required to calculate provisions for credit losses on loans and advances to customers in accordance with the instructions of the CBK on the classification of loans and advances to customers and calculation of provisions. Loans and advances to customers are classified as past due when a payment has not been received on its contractual payment date or if the facility is in excess of pre-approved limits. Loans and advances to customers are classified as past due and impaired when the interest or a principal instalment is past due for more than 90 days and if the carrying amount of the facility is greater than its estimated recoverable value. Past due and past due and impaired loans and advances to customers are managed and monitored as irregular facilities and are classified into the following four categories which are then used to determine the provisions.

Category	***Criteria***	***Specific provision***
Watch list	Irregular for a period of 90 days	-
Substandard	Irregular for a period of 91- 180 days	20%
Doubtful	Irregular for a period of 181- 365 days	50%
Bad	Irregular for a period exceeding 365 days	100%

The Group may also include a credit facility in one of the above categories based on management's judgement of a customer's financial and/or non-financial circumstances.

In addition to specific provisions, minimum general provisions of 1% on cash facilities and 0.5% on non-cash facilities are made on all applicable loans and advances to customers (net of certain restricted categories of collateral), which are not subject to specific provisioning.

Derivative financial instruments

Derivative instruments are initially recognised in the consolidated statement of financial position at cost (including transaction costs) and subsequently measured at their fair value.

The Group enters into forward foreign exchange. Derivatives are stated at fair value. The fair value of a derivative includes unrealised gain or loss from marking to market the derivative using prevailing market rates or internal pricing models. Derivatives with positive market values (unrealised gains) are included in other assets and derivatives with negative market values (unrealised losses) are included in other liabilities in the consolidated statement of financial position.

The resultant gains and losses from derivatives are included in the consolidated statement of profit or loss and other comprehensive income.

Fair value measurement

The Group measures financial instruments, such as, derivatives, investment securities etc., at each reporting date.
Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible to by the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the consolidated financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

2. BASIS OF PREPARATION AND MATERIAL ACCOUNTING POLICIES (continued)

2.6 SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

Fair value measurement (continued)

- Level 1 — Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

For financial instruments quoted in an active market, fair value is determined by reference to quoted market prices. Bid prices are used for assets and offer prices are used for liabilities. The fair value of investments in mutual funds, unit trusts or similar investment vehicles are based on the last published net assets value.

For unquoted financial instruments fair value is determined by reference to the market value of a similar investment, discounted cash flows, other appropriate valuation models or brokers' quotes.

For financial instruments carried at amortised cost, the fair value is estimated by discounting future cash flows at the current market rate of return for similar financial instruments.

For assets and liabilities that are recognised in the consolidated financial statements on a recurring basis, the Group determines whether transfers have occurred between Levels in the hierarchy by re-assessing categorisation (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

For the purpose of fair value disclosures, the Group has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above.

Cash and cash equivalents

Cash and cash equivalents, for the purpose of preparing the consolidated statement of cash flows, comprise of cash and short-term funds with banks and financial institutions (including the Central Bank of Kuwait) maturing within seven days.

Investment in associates

An associate is an entity over which the Group exerts significant influence. Investment in associate is accounted for under the equity method of accounting.

Under the equity method, the investment in associate is initially recognised at cost and adjusted thereafter for the post-acquisition change in the Group's share of the associate's net assets. Goodwill relating to an associate is included in the carrying amount of the investment and is neither amortised nor individually tested for impairment. The Group recognises in the consolidated statement of profit or loss and other comprehensive income its share of the total recognised profit or loss of the associate from the date that influence, or ownership effectively commenced until the date that it effectively ceases. Distributions received from the associate reduce the carrying amount of the investment. Adjustments to the carrying amount may also be necessary for changes in Group's share in the associate arising from changes in the associate's equity that have not been recognised in the associate's profit or loss statement. The Group's share of those changes is recognised in the consolidated statement of profit or loss and other comprehensive income.

Unrealised gains on transactions with associate are eliminated to the extent of the Group's share in the associate. Unrealised losses are also eliminated unless the transaction provides evidence of impairment in the asset transferred. An assessment for impairment of investments in associates is performed when there is an indication that the asset has been impaired, or that impairment losses recognised in prior years no longer exist. If such indication exists, the Group estimates the asset's recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognised. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the consolidated statement of profit or loss and other comprehensive income.

The associate's financial statements are prepared either to the Group's reporting date or to a date not earlier than three months of the Group's reporting date using consistent accounting policies. Where practicable, adjustments are made for the effects of significant transactions or other events that occur between the reporting date of the associates and the Group's reporting date.

2. BASIS OF PREPARATION AND MATERIAL ACCOUNTING POLICIES (continued)

2.6 SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

Investment in associates (continued)
Upon loss of significant influence over the associate, the Group measures and recognises any retained investment at fair value. Any difference between carrying amount of the investment in associate upon loss of significant influence and the fair value of the retained investment and proceeds from disposal is recognised in the consolidated statement of profit or loss and other comprehensive income.

Property and equipment
Property and equipment are stated at cost less accumulated depreciation and impairment losses. Depreciation is provided on all premises and equipment, other than freehold land, at rates calculated to write off the cost of each asset on a straight-line basis to their residual values over its estimated useful life. Freehold land is stated at cost less impairment losses.

The estimated useful lives of the assets for the calculation of depreciation are as follows:

Buildings	20 years
Others	1 to 5 years

When assets are sold or retired, their cost and accumulated depreciation are eliminated from the accounts and any gain or loss resulting from their disposal is recognised in the consolidated statement of profit or loss and other comprehensive income.

The carrying amounts of property and equipment are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, the assets are written down to their recoverable amounts and the impairment loss is recognised in the consolidated statement of profit or loss and other comprehensive income.

Expenditure incurred to replace a component of an item of property and equipment that is accounted for separately is capitalised and the carrying amount of the component that is replaced is written off. Other subsequent expenditure is capitalised only when it increases future economic benefits of the related item of property and equipment. All other expenditure is recognised in the consolidated statement of profit or loss and other comprehensive income as the expense is incurred.

Impairment of non-financial assets
The Group assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the Group estimates the asset's recoverable amount. An assets or cash-generating unit's ("CGU") recoverable amount is the higher of its fair value less costs to sell and its value in use. Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share prices for publicly traded companies or other available fair value indicators.

For non-financial assets excluding goodwill, an assessment is made at each reporting date as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased. If such indication exists, the Group estimates the asset's or CGU's recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognised. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceeds the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the consolidated statement of profit or loss and other comprehensive income.

Post-employment benefits
Employees are entitled to an end of service indemnity payable under the Kuwait Labor Law based on the employees' accumulated periods of service and latest entitlements of salaries and allowances. The expected costs of these benefits are accrued over the period of employment.

Pensions and other social benefits for Kuwaiti employees are covered by the Public Institution for Social Security Scheme, to which employees and employers contribute monthly on a fixed contribution basis. The Group's share of contributions to this scheme, which is a defined contribution scheme, are charged to the consolidated statement of profit or loss and other comprehensive income in the year to which they relate.

2. BASIS OF PREPARATION AND MATERIAL ACCOUNTING POLICIES (continued)

2.6 SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

Provisions
Provisions are recognised when, as a result of past events, it is probable that an outflow of economic resources will be required to settle a present, legal or constructive obligation and the amount can be reliably estimated.

Treasury shares
The Bank's holding in its own shares is stated at acquisition cost and is recognised in equity. The treasury shares are accounted for using the cost method. Under this method, the weighted average cost of the shares reacquired is charged to a contra account in the equity. When the treasury shares are sold, gains are credited to a separate account in equity, "treasury shares reserve", which is not distributable until all the treasury shares are disposed. Any realised losses are charged to the same account to the extent of the credit balance on that account. Any excess losses are charged to retained earnings then to the voluntary reserve and statutory reserve. Gains realised subsequently on the sale of treasury shares are first used to offset any previously recorded losses in the order of reserves, retained earnings and the treasury shares reserve account. These shares are not entitled to any cash dividend that the Bank may propose. The issue of bonus shares increases the number of shares proportionately and reduces the average cost per share without affecting the total cost of treasury shares.

Contingencies
Contingent assets are not recognised in the consolidated financial statements, but are disclosed when an inflow of economic benefit is probable.

Contingent liabilities are not recognised in the consolidated financial statements, but are disclosed unless the possibility of an outflow of resources embodying economic benefit is remote.

Segment information
A segment is a distinguishable component of the Group that engages in business activities from which it earns revenues and incurs costs. The operating segments are used by the management of the Group to allocate resources and assess performance. Operating segments exhibiting similar economic characteristics, product and services and class of customers are appropriately aggregated and reported as reportable segments.

Fiduciary assets
Third party assets managed by the Group and assets held in trust or in a fiduciary capacity are not treated as assets of the Group and accordingly are not included in these consolidated financial statements but are disclosed in the notes to the consolidated financial statements.

Revenue recognition

Interest and similar income and expense
Interest income and expense for all interest-bearing financial instruments are recognized within 'interest income' and 'interest expense' in the consolidated statement of profit or loss and other comprehensive income using the effective interest rate method.

The effective interest rate is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or, when appropriate, a shorter period to the net carrying amount of the financial asset or financial liability. Fees which are considered as an integral part of the effective yield of a financial asset are recognized using the effective interest rate method.

When a receivable is impaired, the Group reduces the carrying amount to its recoverable amount, being the estimated future cash flow discounted at original effective interest rate of the instrument and continues unwinding the discount as interest income.

Interest income on impaired loans and advances to customers is recognized either when cash is collected or on a cost–recovery basis as conditions warrant.

Fees and commission income
Fees and commission income is recognized when the Group satisfies the performance obligation by transferring the promised service to the customers. At inception of the contract, the Group determines whether it satisfies the performance obligation over a period of time or at a point in time.

2. BASIS OF PREPARATION AND MATERIAL ACCOUNTING POLICIES (continued)

2.6 SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

Revenue recognition (continued)

Fees and commission income (continued)
Fees income earned from services provided over a period of time is recognized over the period of service. Fees income arising from providing a transaction service are recognized at a point in time on completion of the underlying transaction.

Portfolio and other management advisory and service fee related to investment funds are recognized over the period in which the service is provided.

Dividend income
Dividend income is recognized when the right to receive the payment is established.

Government grants
Government grants are recognised where there is reasonable assurance that the grant will be received and all attached conditions will be complied with. When the grant relates to an expense item, it is recognised as income on a systematic basis over the periods that the related costs, for which it is intended to compensate, are expensed and is included in the same line item in the consolidated statement of profit or loss and other comprehensive income.

Foreign currency
Each entity in the Group determines its own functional currency and items included in the financial statements of each entity are measured using that functional currency.

Transaction and balances
Transactions in foreign currencies are initially recorded at the spot rate ruling at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are retranslated at the spot rate of exchange ruling at the reporting date. Any resultant gains or losses are recognised in the consolidated statement of profit or loss and other comprehensive income.

Non-monetary assets and liabilities in foreign currencies that are stated at fair value are translated to respective entity's functional currency at the foreign exchange rates ruling on the dates that the values were determined. In case of non-monetary assets whose change in fair values are recognised directly in OCI, foreign exchange differences are recognised directly in OCI and for non-monetary assets whose change in fair value are recognised directly in the consolidated statement of profit or loss and other comprehensive income, foreign exchange differences are recognised in the consolidated statement of profit or loss and other comprehensive income.

Taxation

Kuwait Foundation for the Advancement of Sciences (KFAS)
KFAS is calculated at 1% of the profit of the Bank after deducting its share of income from Kuwaiti shareholding subsidiaries and associates and transfer to statutory reserve.

Zakat
Contribution to Zakat is calculated at 1% of the consolidated profit of the Bank after deducting its share of profit from the associates and subsidiaries that are Kuwaiti shareholding companies in accordance with Law No. 46 of 2006 and Ministerial resolution No. 58 of 2007 and its Executive Regulations.

2.7 SIGNIFICANT ACCOUNTING JUDGMENTS, ESTIMATES AND ASSUMPTIONS
The preparation of the Group's consolidated financial statements requires management to make judgements, estimates and assumptions that affect the reported amount of revenues, expenses, assets and liabilities, and the accompanying disclosures, as well as the disclosure of contingent liabilities. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of assets or liabilities affected in future periods.

Judgments
In the process of applying the Group's accounting policies, management has made the following judgements, apart from those involving estimations, which have the most significant effect on the amounts recognised in the consolidated financial statements:

Judgments (continued)

Classification of financial assets
The Group determines the classification of financial assets based on the assessment of the business model within which the assets are held and assessment of whether the contractual terms of the financial asset are solely payments of principal and profit on the principal amount outstanding.

Estimation uncertainty and assumptions
The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below. The Group based its assumptions and estimates on parameters available when the consolidated financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances beyond the control of the Group. Such changes are reflected in the assumptions when they occur.

Impairment losses on loans and advances
Considerable judgement by management is required in the estimation of the amount and timing of future cash flows, collateral values, significant increase in credit risk, rating models, ECL models, macro-economic variables when determining the level of provisions required. Such estimates are necessarily based on assumptions about several factors involving varying degrees of judgment and uncertainty, and actual results may differ resulting in future changes to such provisions.

Impairment of financial instruments
The Group estimates ECL for all financial assets carried at amortised cost (except for balances with the CBK and government of Kuwait) or FVOCI except for equity instruments.

Significant judgements are required in applying the accounting requirements for measuring ECL, such as:
- Determining criteria for significant increase in credit risk;
- Choosing appropriate models and assumptions for measurement of ECL;
- Establishing the number and relative weightings of forward-looking scenarios for each type of product/market and the associated ECL; and
- Establishing group of similar financial assets for the purpose of measuring ECL.

The Group has the policy to regularly review its model in the context of actual loss experience and adjust when necessary.

Valuation of financial instruments with significant unobservable inputs
Valuation techniques for financial instruments with significant unobservable inputs includes estimates such as expected cash flows discounted at current rates applicable for items with similar terms and risk characteristics; recent arm's length market transactions; current fair value of another instrument that is substantially the same; valuation models etc.

Any changes in these estimates and assumptions as well as the use of different, but equally reasonable estimates and assumptions may have an impact on the carrying values of unquoted financial assets.

3. CASH AND CASH EQUIVALENTS

	2023 ***KD'000***	*2022* *KD'000*
Balances with the CBK	**3,322**	4,651
Cash in hand and current accounts	**2,852**	1,851
Deposits with banks and financial institutions maturing within 7 days*	**1,534**	14,108
	7,708	20,610

*Deposits with banks and financial institutions carry interest rate ranging from 0.000% to 5.200% (2022: 0.000% to 4.35%) per annum.

4. TREASURY BILLS AND BONDS

	2023 **KD'000**	*2022* KD'000
Treasury bills	**13,500**	17,750
CBK bonds	**33,594**	30,185
	47,094	47,935

In accordance with guidelines of the CBK, the Bank is required to maintain a minimum of 15% of the private customer deposits denominated in Kuwaiti Dinars as treasury bills and bonds. Treasury bills and bonds carry interest rate ranging from 3.125% to 5.500% (2022: 2.25% to 5.3%) per annum.

5. FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS

	2023 **KD'000**	*2022* KD'000
Quoted equities	**14,899**	15,279
Unquoted equities	**1,200**	1,183
Funds	**130,954**	120,929
	147,053	137,391

The disclosure of fair value measurement and the levels of fair value hierarchy relating to the financial assets at fair value through profit or loss is disclosed in Note 20.

The unrealised gain (loss) on financial assets at fair value through profit or loss for the year is as below:

	2023 **KD'000**	*2022* KD'000
Quoted equities	**(344)**	(280)
Unquoted equities	**17**	35
Funds	**800**	(5,875)
	473	(6,120)

6. LOANS AND ADVANCES TO CUSTOMERS

	2023 **KD'000**	*2022* KD'000
Industrial loans at preferential lending rates	**161,615**	145,601
Loans and advances at commercial lending rates	**169,360**	188,968
	330,975	334,569
Less: provision for credit losses	**(40,227)**	(45,478)
	290,748	289,091

6. LOANS AND ADVANCES TO CUSTOMERS (continued)

The provision for credit losses is as follows:

2023	***Industrial loans***			***Commercial loans***			***Total***
	Specific KD'000	***General KD'000***	***Total KD'000***	***Specific KD'000***	***General KD'000***	***Total KD'000***	***KD'000***
Balance at 1 January	**1,418**	**8,201**	**9,619**	**385**	**35,474**	**35,859**	**45,478**
Charged/ reversal for the year	**-**	**161**	**161**	**1,187**	**(200)**	**987**	**1,148**
Transfer	**-**	**-**	**-**	**5,313**	**(5,313)**	**-**	**-**
Write off	**-**	**-**	**-**	**(6,399)**	**-**	**(6,399)**	**(6,399)**
Balance at 31 December	**1,418**	**8,362**	**9,780**	**486**	**29,961**	**30,447**	**40,227**

2022	*Industrial loans*			*Commercial loans*			*Total*
	Specific KD'000	*General KD'000*	*Total KD'000*	*Specific KD'000*	*General KD'000*	*Total KD'000*	*KD'000*
Balance at 1 January	-	8,228	8,228	-	35,334	35,334	43,562
Charged/ reversal for the year	1,418	(27)	1,391	385	140	525	1,916
Balance at 31 December	1,418	8,201	9,619	385	35,474	35,859	45,478

The available provision balance relating to non-cash facilities of KD 1,260 thousand (2022: KD 1,273 thousand) is included in other liabilities (Note 8).

The expected credit losses on loans and advances to customers determined under IFRS 9 according to the guidelines of the Central Bank of Kuwait amounted to KD 6,637 thousand as at 31 December 2023 (2022: KD 15,390 thousand).

During the year, the Bank has made recoveries amounting to KD 1,824 thousand (2022: KD 15,733 thousand) pertaining to certain loans and advances that were fully provided for and written-off in prior years.

An analysis of the carrying amounts of loans and advances (cash facilities) based on the staging criteria under IFRS 9 in accordance with CBK regulations:

2023	***Stage 1 KD 000's***	***Stage 2 KD 000's***	***Stage 3 KD 000's***	***Total KD 000's***
Credit Facilities				
High	**90,403**	**-**	**-**	**90,403**
Standard	**119,660**	**111,054**	**-**	**230,714**
Past due or impaired	**-**	**-**	**9,858**	**9,858**
	210,063	**111,054**	**9,858**	**330,975**

2022	*Stage 1 KD 000's*	*Stage 2 KD 000's*	*Stage 3 KD 000's*	*Total KD 000's*
Credit Facilities				
High	62,228	-	-	62,228
Standard	143,747	109,425	-	253,172
Past due or impaired	-	-	19,169	19,169
	205,975	109,425	19,169	334,569

6. LOANS AND ADVANCES TO CUSTOMERS (continued)

An analysis of the carrying amounts of contingent liabilities and commitments, the amounts in the table represent the amounts committed or guaranteed (non-cash facilities), based on the staging criteria under IFRS 9 in accordance with CBK regulations.

2023	***Stage 1 KD 000's***	***Stage 2 KD 000's***	***Stage 3 KD 000's***	***Total KD 000's***
Credit Facilities				
High	**15,449**	-	-	**15,449**
Standard	**25,674**	**22,344**	-	**48,018**
Past due or impaired	-	-	**4,083**	**4,083**
Contingent liabilities (Note 17)	**41,123**	**22,344**	**4,083**	**67,550**

2022	*Stage 1 KD 000's*	*Stage 2 KD 000's*	*Stage 3 KD 000's*	*Total KD 000's*
Credit Facilities				
High	12,244	-	-	12,244
Standard	19,105	29,365	-	48,470
Past due or impaired	-	-	6,218	6,218
Contingent liabilities (Note 17)	31,349	29,365	6,218	66,932

An analysis of the changes in the ECL in relation to credit facilities (cash and non-cash facilities) computed under IFRS 9 in accordance with the CBK guidelines is as follows:

	Stage 1 KD 000's	***Stage 2 KD 000's***	***Stage 3 KD 000's***	***Total KD 000's***
ECL allowance as at 1 January 2023	**1,461**	**5,919**	**8,010**	**15,390**
Transfer between stages				
Transfer from Stage 1	**(128)**	**128**	-	-
Transfer from Stage 2	**3,068**	**(3,068)**	-	-
Transfer from Stage 3	-	**2,540**	**(2,540)**	-
Net decrease in ECL for the year	**(3,178)**	**(1,496)**	**(4,079)**	**(8,753)**
At 31 December 2023	**1,223**	**4,023**	**1,391**	**6,637**

	Stage 1 KD 000's	*Stage 2 KD 000's*	*Stage 3 KD 000's*	*Total KD 000's*
ECL allowance as at 1 January 2022	1,517	3,669	17,378	22,564
Transfer between stages				
Transfer from Stage 1	(185)	185	-	-
Transfer from Stage 2	1,119	(1,712)	593	-
Transfer from Stage 3	-	15,082	(15,082)	-
Net (decrease) increase in ECL for the year	(990)	(11,305)	5,121	(7,174)
At 31 December 2022	1,461	5,919	8,010	15,390

Sensitivity

For measuring the overall sensitivity of the forward-looking information and key economic variables on the Group's ECL on credit facilities, the Group conducts stress tests by allocating a higher weightage to the downside scenario which results in an increase in the Bank's ECL allowance for credit facilities in Stage 3. However, the ECL so determined after incorporating the aggregate impact of these sensitivity adjustments, continues to remain lower than the total provision for credit losses recorded as per CBK instructions, and accordingly will not have an impact on the Group's consolidated statement of profit or loss and other comprehensive income as well as on the carrying value of these assets.

7. INVESTMENTS IN ASSOCIATES

	Country of incorporation	*Principal activities*	*Ownership*		*Carrying value*	
			2023	*2022*	***2023 KD'000***	*2022 KD'000*
Al Rawdatain Water Bottling Co. K.S.C.C.	State of Kuwait	Production and bottling of mineral water	**30%**	30%	**3,845**	3,889
Qaroh P.E.T. Products Co. K.S.C.C.	State of Kuwait	Specialised industrial products	**30%**	30%	**1,606**	1,550
Technology Industrial Gases Production Company K.S.C.C.	State of Kuwait	Production of industrial gases	**20%**	20%	**1,719**	1,679
					7,170	7,118

As at 31 December 2023, the aggregate amount of assets, liabilities, income and expenses of associates, without adjustment for the ownership interest held by the Group, was KD 33,266 thousand, KD 6,979 thousand, KD 2,658 thousand and KD 2,080 thousand, respectively (2022: KD 33,273 thousand, KD 8,332 thousand, KD 3,239 thousand and KD 2,153 thousand, respectively).

The Group's share of results of the associates and dividend distributed by associates to the Group during the year ended 31 December 2023 was KD 108 thousand and KD 56 thousand respectively (2022: share of results of KD 239 thousand and KD 56 thousand, respectively).

The management has carried out an assessment of impairment indicators on the Group's investment in associates considering the significant adverse changes in economy, market factors, legal environment, industry or the political factors affecting the investees business including the consideration for the changes in investees' financial condition. The management has not identified any indicators of impairment relating to Group's investment in associates as at the reporting date.

8. OTHER LIABILITIES

	2023 KD'000	*2022 KD'000*
Provision on non-cash credit facilities (Note 6)	**1,260**	1,273
Accrued staff benefits	**14,217**	13,144
Accrued KFAS	**200**	298
Accrued Zakat	**205**	303
Others	**7,021**	7,177
	22,903	22,195

9. LOANS

Term loans

	Currency	*Facility limit*	*Effective interest rate (EIR)*	*Granting date*	*Settlement date*	***2023 KD'000***	*2022 KD'000*
Unsecured medium-term loan	EURO	30 million	Three-month EUROBOR plus a spread of 1.1%	22 June 2023	24 June 2024	**10,231**	9,769
Unsecured medium-term loan	EURO	50 million	Six-month EUROBOR plus a spread of 0.8%	26 June 2023	20 June 2025	**17,051**	-
Unsecured medium-term loan	USD	70 million	Three-month LIBOR plus a spread of 0.55%	5 July 2021	30 June 2023	-	21,441
Unsecured medium-term loan	USD	50 million	One-month SOFR plus a spread of 1.45%	25 October 2021	25 October 2024	**15,338**	15,315
Unsecured medium-term loan	USD	50 million	Three-month SOFR plus a spread of 1.55%	26 October 2022	23 October 2025	**15,338**	15,315
Unsecured medium-term loan	USD	75 million	Six-Month SOFR plus a spread of 1.1%	19 December 2022	19 December 2025	**23,006**	22,973
Unsecured medium-term loan	USD	70 million	Three-month SOFR plus a spread of 0.75%	30 March 2023	28 March 2025	**21,472**	-
						102,436	84,813

Loan from the State of Kuwait

This represents a revolving credit facility of KD 300 million granted by the State of Kuwait under the amended Law No. 43 of 2007 and Law No. 7 of 2001 issued on 1 July 2007 with the same terms of the previous facility. This facility is valid for a period of 20 years and matures in 2027.

The interest on loan from the State of Kuwait is as follows:

- Interest rate of 0.5% per annum on amounts equal to the outstanding balances and undrawn commitments of industrial loans granted by the Bank at preferential lending rates; and
- The unutilised portion of the loan (which is not granted for industrial exposures) is subject to interest rate of 3 months Kuwait inter-bank offering rate.

10. EQUITY

a) The authorised, issued and fully paid-up share capital of the Bank comprises of 2 million shares of KD 10 each, paid in cash (2022: 2 million shares of KD 10 each).

b) As required by the Companies Law No. 1 of 2016, as amended, and its Executive Regulations and the Bank's Articles of Association, as amended, 10% of the profit for the year before contribution to KFAS, Board of Directors' remuneration and Zakat has been transferred to the statutory reserve. Distribution from statutory reserve is limited to enable the payment of dividend equivalent to 5% of paid-up share capital to be made in years when retained earnings are not sufficient for the payment of such dividends.

c) In accordance with Article 48 of the Bank's Articles of Association, as amended, the Board of Directors have proposed to transfer an amount of KD 2,055 thousand to voluntary reserve for the year ended 31 December 2023 (2022: KD 3,033 thousand).

d) The Shareholders' Annual General Assembly held on 26 September 2023 approved the audited consolidated financial statements for the year ended 31 December 2022 and cash dividend of 30% amounting to KD 6,000 thousand (2021: cash dividend of 30% amounting to KD 6,000 thousand).

e) For the year ended 31 December 2023, the Board of Directors meeting held on 31 January 2024 have proposed cash dividends of 30% amounting to KD 6,000 thousand. The proposal is subject to the approval of the Shareholders at the Annual General Assembly Meeting.

11. NET INVESTMENT INCOME

	2023 ***KD'000***	*2022* *KD'000*
Dividend income	**528**	500
Realised gain on financial assets at fair value through profit or loss	**6,839**	15,401
Unrealised gain (loss) on financial assets at fair value through profit or loss	**473**	(6,120)
Share of results from associates	**108**	239
	7,948	10,020

12. STAFF COSTS

	2023 ***KD'000***	*2022* *KD'000*
Salaries and other short-term benefits	**5,150**	5,156
Post-employment benefits	**1,054**	1,015
Other benefits	**2,735**	3,731
	8,939	9,902

13. OTHER EXPENSES

	2023 ***KD'000***	*2022* *KD'000*
Administrative expenses	**1,186**	1,299
Operating expenses	**841**	919
Other expenses	**943**	1,068
	2,970	3,286

14. BOARD OF DIRECTORS' REMUNERATION

The Board of Directors proposed an amount of KD 331 thousand towards remuneration of the Board of Directors and respective committees for the year ended 31 December 2023 (2022: KD 367 thousand). The proposed remuneration of the Board of Directors is subject to approval of shareholders at the Annual General Assembly meeting.

The Shareholders' Annual General Assembly held on 26 September 2023 approved the board of directors' remuneration for the year ended 31 December 31 2022, with an amount of KD 367 thousand.

15. BASIC AND DILUTED EARNINGS PER SHARE

Basic and diluted earnings per share is computed by dividing the net profit for the year by the weighted average number of shares outstanding during the year. There are no potential dilutive shares therefore, the basic and diluted earnings per share are identical.

	2023	*2022*
Net profit for the year (KD'000)	**19,813**	29,365
Weighted average number of outstanding shares during the year shares ('000)	**2,000**	2,000
Basic and diluted earnings per share (KD)	**9.907**	14.683

16. RELATED PARTY DISCLOSURES

Related parties comprise major shareholders, Board of Directors, entities controlled by them or under their joint control, associates, key management personnel and their close family members. Balances and transactions with related parties arise from commercial transactions in the ordinary course of business on terms approved by the management.

As at 31 December 2023, the Bank has 11 members on the Board of Directors (2022: 11 members), and 22 executive officers (2022: 21 executives).

The balances and transactions with related parties as at reporting date are summarised below.

	2023 ***KD'000***	*2022* *KD'000*
Consolidated statement of financial position		
Balances with shareholders		
Cash and cash equivalents	**3,331**	4,651
Treasury bills and bonds	**47,094**	47,935
Other assets	**117**	140
Deposits from banks and other financial institutions	**4,000**	-
Deposit from customers	**25,397**	16,847
Other liabilities	**814**	385
Loan from the State of Kuwait	**300,000**	300,000
Balances with other related parties		
Other assets	**482**	466
Deposits from customers	**7,466**	4,528
Commitments and contingent liabilities	**1,432**	2,118
Balances with associates		
Loans and advances to customers	**4,344**	3,748
Other assets	**61**	59
Other liabilities	**-**	13
Commitments and contingent liabilities	**997**	752
Consolidated statement of profit or loss and other comprehensive income		
Transactions with shareholders		
Interest income	**2,020**	1,385
Interest expense	**3,563**	2,933
Fee and commission income	**2,484**	2,492
Transactions with other related parties		
Interest expense	**11**	7
Transactions with associate companies		
Interest income	**173**	152

Details of compensation to key management personnel comprise the following:

	2023 ***KD'000***	*2022* *KD'000*
Salaries and other short-term benefits	**470**	461
Variable benefits	**521**	475
Post-employment benefits	**26**	23

17. COMMITMENTS AND CONTINGENT LIABILITIES

In the normal course of business, the Group has exposure to various indirect credit commitments which, though not reflected in the consolidated statement of financial position, are subject to normal credit standards, financial controls and monitoring procedures.

These credit commitments do not necessarily represent future cash requirements, since many of these commitments will expire or terminate without being funded. Credit losses, if any, which may result from exposure to such commitments are not expected to be significant.

a) Commitments and contingent liabilities

	2023 KD'000	*2022 KD'000*
Acceptances	**1,258**	2,328
Letters of credit	**9,423**	5,085
Letters of guarantee	**56,869**	59,519
	67,550	66,932

The contractual or notional amounts in respect of instruments outlined above are used to calculate payments and are a common measure of business volume. However, they are not indicative of credit risk exposure. The credit risk inherent in such contracts, if the counterparty is unable to settle, is limited to the difference between the contracted value of the transaction and the cost of completing it with another party.

b) Other commitments

At 31 December 2023, the Group has commitments in respect of uncalled capital contribution relating to investments carries at fair value through profit or loss amounting to KD 67,013 thousand (2022: KD 63,956 thousand).

18. FIDUCIARY ASSETS

Assets managed for third parties or held in trust or in a fiduciary capacity are not treated as assets of the Group and accordingly are not included in these consolidated financial statements.

At the reporting date, the total amount of fiduciary assets was KD 301,878 thousand (2022: KD 309,292 thousand). The Group earned fees income from managing the fiduciary assets of KD 3,273 thousand during the year ended 31 December 2023 (2022: KD 3,163 thousand).

19. FINANCIAL RISK MANAGEMENT

The Group has exposure to the following risks from financial instruments, as part of its routine operations:

- Credit risk;
- Liquidity risk;
- Market risks; and
- Operational risk.

Risk management framework

The Bank's Board of Directors has overall responsibility for the establishment and oversight of the Group's risk management framework. The Board of Directors has established the Board Risk Committee, which is responsible for developing and monitoring Group's risk management policies through the Bank's Risk Management Department.

The Group's risk management policies are established to identify and analyse the risks faced by the Group, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. The risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Group's activities. The Group, through its training and management standards and procedures, aims to develop a disciplined and constructive control environment in which all employees understand their roles and obligations.

19. FINANCIAL RISK MANAGEMENT (continued)

The Board Risk Committee oversees how management monitors compliance with the Group's risk management policies and procedures and reviews the adequacy of the risk management framework in relation to the risks faced by the Group. The Board Risk Committee is assisted in its oversight role by the Risk Management Department. Internal Audit undertakes both regular and ad-hoc reviews of risk management controls and procedures, the results of which are reported to the Group's Board Audit Committee.

19.1 Credit risk

Credit risk is the risk that the party to a financial instrument will fail to discharge an obligation and cause the other party to incur a financial loss. The Group has a credit policy and exposure to credit risk is monitored on an ongoing basis by limiting transactions with specific concentration and assessing continuously the creditworthiness of the counterparties.

Assessment of expected credit losses

Credit limits are established for all customers after a careful assessment of their credit worthiness. Standing procedures require that all credit proposals be subjected to detailed screening under the risk management framework of the Bank including the submission to the appropriate credit committee. Whenever necessary, all loans and advances to customers are secured by acceptable forms of collateral to mitigate the related credit risks.

In accordance with the instructions of the Central Bank of Kuwait dated 18 December 1996, setting out the rules and regulations regarding the classification of credit facilities, the Group has formed an internal committee comprising competent professional staff and having as its purpose to study and evaluate of the existing credit facilities of each customer of the Group. This committee is required to identify any abnormal situations and difficulties associated with a customer's position which might cause the debt to be classified as irregular, and to determine an appropriate provisioning level. The committee, which meets regularly throughout the year, also studies the positions of those customers whose irregular balances exceed 25% of their total debt, in order to determine whether further provisions are required.

In addition, all credit facilities are continually monitored based on a periodical review of the credit performance and account rating.

The Group considers a variety of indicators that may indicate unlikeliness to pay as part of a qualitative assessment of whether a customer is in default. Such indicators include:

- Breaches of covenants,
- Borrower having past due liabilities to public creditors or employees, or
- Borrower is deceased.

The Group considers a financial asset as 'cured' (i.e. no longer be in default) and therefore, reclassified out of Stage 3 when it no longer meets any of the default criteria. With respect to the restructured facilities which are classified in Stage 3, these would be required to complete the moratorium period (if any) and meet the scheduled payments (all on current basis) for at least 1 year, or as determined by the Group for consideration for classifying the facility in Stage 2.

Significant increase in credit risk

The Group continuously monitors all assets subject to ECL. In order to determine whether an instrument or a portfolio of instruments is subject to 12-month ECL or lifetime ECL, the Group assesses as there has been a significant increase in credit risk since initial recognition. The quantitative criteria used to determine a significant increase in credit risk is a series of relative and absolute thresholds.

The Group considers a financial instrument with an external rating of "investment grade" as at the reporting date to have a low credit risk. In addition to the quantitative criteria, the Group applies qualitative criteria for the assessment of significant increase in credit risk based on monitoring of certain early warning signals.

Any credit impaired or stressed facility that has been restructured would also be considered as in default.

Measurement of ECL

ECL are probability-weighted estimates of credit losses and are measured at the present value of all cash shortfall discounted at the effective interest rate of the financial instrument. Cash shortfall represents the difference between cash flows due to the Group in accordance with the contract and the cash flows that the Group expects to receive. The key elements in the measurement of ECL include Probability of Default ("PD"), Loss Given Default ("LGD") and Exposure at Default ("EAD"). The Group estimates these elements using appropriate credit risk models taking into consideration the internal and external credit ratings of the assets, nature and value of collaterals, forward-looking macro-economic scenarios, etc.

19. FINANCIAL RISK MANAGEMENT (continued)

19.1 Credit risk (continued)

The Group calculates ECL on credit facilities classified in Stage 3 at 100% of the defaulted exposure, net of value of eligible collaterals after applying applicable haircuts.

The Group, in estimating ECL for credit facilities, has taken into consideration the following key parameters based on inputs from CBK:

- Floor for estimating PDs for specific portfolios;
- Eligible collateral with haircuts for determining LGD;
- Deemed maturity for exposures in Stage 2; and
- Credit conversion factor on utilised and unutilised portions for cash and non-cash facilities.

Incorporation of forward-looking information
The Group considers key economic variables that are expected to have an impact on the credit risk and the ECL in order to incorporate forward-looking information into the ECL model. Key economic variables include, but not limited to, gross domestic product, unemployment rates and oil prices. These primarily reflect reasonable and supportable forecasts of the future macro-economic conditions. The consideration of such factors increases the degree of judgment in determination of ECL.

Maximum exposure to credit risk
The maximum exposure to credit risk as at the reporting date is represented by the carrying amount of each financial asset in the consolidated statement of financial position as at reporting date. Information on credit risk relating to commitments and contingent liabilities is provided in note 17 and 18.

The industry concentration of credit risk pertaining to loans and advances to customers relating to manufacturing and industrial sector is 83.25% (2022: 82.7%).

Geographical concentration of credit risk is reflected in Note 19.1.1.

The table below shows the maximum exposure to credit risk for the components of the consolidated statement of financial position. The maximum exposure is shown below (Net exposure after provisions)

	2023 KD'000	*2022 KD'000*
Credit risk exposures relating to financial assets on consolidated statement of financial position:		
Cash and cash equivalents (excluding cash on hand)	**7,428**	20,429
Treasury bills and bonds	**47,094**	47,935
Deposits with banks and other financial institutions	**307,001**	265,003
Loans and advances to customers	**290,748**	289,091
Other assets	**11,555**	8,201
Total	**663,826**	630,659
Credit risk exposures relating to off balance sheet items:		
Acceptances	**1,258**	2,328
Letters of credit	**9,423**	5,085
Letters of guarantees	**56,869**	59,519
Total	**67,550**	66,932
Total credit risk exposure	**731,376**	697,591

19. FINANCIAL RISK MANAGEMENT (continued)

19.1 Credit risk (continued)

Credit risk can also arise due to a significant concentration of Group's assets to any single counterparty and this risk is managed by diversification of the portfolio. The 10 largest gross loans and advances to customers outstanding as a percentage of total loans and advances to customers is 51.34% as at 31 December 2023 (2022: 50.96%).

Collateral and other credit enhancements

The Bank has implemented various policies and practices to minimise credit risk. The Bank seeks collateral coverage, the assignment of contract proceeds and other forms of protection to secure lending and minimise credit risks wherever possible. The Bank's borrowing agreements also include legally enforceable netting arrangements for loans and deposits enabling the Bank to consolidate the customer's various accounts with the Bank and either transfer credit balances to cover any outstanding borrowings or freeze the credit balances until the customer settles their outstanding obligations to the Bank.

The Bank's credit facilities are secured by collateral, consisting primarily of mortgage of industrial projects, shares or listed securities on the stock exchange and commercial papers.

Credit quality of financial instruments

Internal credit quality rating

The Bank uses an internal rating system where borrowers are rated on a scale of 1 to 10. Ratings 1 to 4 are considered to be prime credit and therefore categorized as 'High Grade' and ratings 5A to 5C are other performing credits that are categorized as 'Standard Grade'. Ratings 6 to 10 are past due and non-performing credits.

The credit risk exposure by credit quality of financial assets by class, stage and status presented in Note 6.

Ageing analysis of loans and advances that are past due but not impaired is as follows:

2023	***Past due up to 30 days KD'000***	***Past due from 31 to 60 days KD'000***	***Past due from 61 to 90 days KD'000***	***Total KD'000***
Loans and advances to customers				
- Industrial loans	**1,869**	**65**	**93**	**2,027**
- Commercial loans	**3,471**	**238**	**440**	**4,149**
Total	**5,340**	**303**	**533**	**6,176**
Fair value of collateral				**39,731**

2022	*Past due up to 30 days KD'000*	*Past due from 31 to 60 days KD'000*	*Past due from 61 to 90 days KD'000*	*Total KD'000*
Loans and advances to customers				
- Industrial loans	15,518	1,385	346	17,249
- Commercial loans	999	10	16	1,025
Total	16,517	1,395	362	18,274
Fair value of collateral				78,759

19. FINANCIAL RISK MANAGEMENT (continued)

19.1 Credit risk (continued)

Past due and individually impaired loans are as follows:

2023	***Gross exposure KD'000***	***Impairment KD'000***	***Fair value of collateral KD'000***
Loans and advances to customers			
- Industrial loans	**1,418**	**1,418**	**2,235**
- Commercial loans	**486**	**486**	**1,093**
Total	**1,904**	**1,904**	**3,328**

2022	*Gross exposure KD'000*	*Impairment KD'000*	*Fair value of collateral KD'000*
Loans and advances to customers			
- Industrial loans	1,418	1,418	1,707
- Commercial loans	385	385	370
Total	1,803	1,803	2,077

19. FINANCIAL RISK MANAGEMENT (continued)

19.1 Credit risk (continued)

19.1.1 Geographical concentration of assets, liabilities and contingent liabilities

2023	*Kuwait KD'000*	*GCC KD'000*	*Europe KD'000*	*North America KD'000*	*Asia and Pacific KD'000*	*Latin America KD'000*	*Total KD'000*
Assets							
Cash and cash equivalents	4,430	304	591	2,379	4	-	7,708
Treasury bills and bonds	47,094	-	-	-	-	-	47,094
Deposits with banks and other financial institutions	240,467	65,000	1,534	-	-	-	307,001
Financial assets at fair value through profit or loss	52,298	-	25,249	48,674	19,591	1,241	147,053
Loans and advances to customers	290,748	-	-	-	-	-	290,748
Investments in associates	7,170	-	-	-	-	-	7,170
Other assets	11,555	-	-	-	-	-	11,555
Property and equipment	4,496	-	-	-	-	-	4,496
Total assets	658,258	65,304	27,374	51,053	19,595	1,241	822,825
Liabilities							
Deposits from banks and other financial institutions	26,481	1,840	-	-	-	-	28,321
Deposits from customers	50,442	-	-	-	-	-	50,442
Other liabilities	22,903	-	-	-	-	-	22,903
Term loans	-	75,154	27,282	-	-	-	102,436
Loan from the State of Kuwait	300,000	-	-	-	-	-	300,000
Total liabilities	399,826	76,994	27,282	-	-	-	504,102
Commitments and contingent liabilities	62,451	849	3,142	-	1,108	-	67,550

19. FINANCIAL RISK MANAGEMENT (continued)

19.1 Credit risk (continued)

19.1.1 Geographical concentration of assets, liabilities and contingent liabilities (continued)

2022	*Kuwait KD'000*	*GCC KD'000*	*Europe KD'000*	*North America KD'000*	*Asia and Pacific KD'000*	*Latin America KD'000*	*Total KD'000*
Assets							
Cash and cash equivalents	15,585	281	472	4,269	3	-	20,610
Treasury bills and bonds	47,935	-	-	-	-	-	47,935
Deposits with banks and other financial institutions	232,345	32,658	-	-	-	-	265,003
Financial assets at fair value through profit or loss	42,328	-	24,784	50,925	18,020	1,334	137,391
Loans and advances to customers	289,091	-	-	-	-	-	289,091
Investments in associates	7,118	-	-	-	-	-	7,118
Other assets	8,201	-	-	-	-	-	8,201
Property and equipment	4,608	-	-	-	-	-	4,608
Total assets	647,211	32,939	25,256	55,194	18,023	1,334	779,957
Liabilities							
Deposits from banks and other financial institutions	22,481	-	-	-	-	-	22,481
Deposits from customers	45,558	-	-	-	-	-	45,558
Other liabilities	22,195	-	-	-	-	-	22,195
Term loans	-	75,044	9,769				84,813
Loan from the State of Kuwait	300,000	-	-	-	-	-	300,000
Total liabilities	390,234	75,044	9,769	-	-	-	475,047
Commitments and contingent liabilities	63,991	828	1,215	5	893	-	66,932

19. FINANCIAL RISK MANAGEMENT (continued)

19.2 Liquidity risk

Liquidity risk is the risk that the Group will encounter difficulty in raising funds to meet commitments. Liquidity risk may also result from an inability to sell a financial asset quickly at close to its fair value.

The table below summarises the maturity profile of the Group's liabilities. The maturities of liabilities have been determined on the basis of the remaining period at the reporting date, to the contractual maturity date. The actual maturities may differ from the maturities shown below since the borrower may have the right to prepay obligations with or without prepayment penalties, and deposits by customers might have to be repaid on demand.

The undiscounted maturity profile of the financial liabilities is as follows:

2023	***Less than 1 month KD'000***	***1 to 3 months KD'000***	***3 to 12 months KD'000***	***1 to 5 years KD'000***	***Over 5 years KD'000***	***Total KD'000***
Deposits from banks and other financial institutions	**28,350**	**-**	**-**	**-**	**-**	**28,350**
Deposits from customers	**49,473**	**266**	**1,813**	**-**	**-**	**51,552**
Other liabilities	**-**	**-**	**22,903**	**-**	**-**	**22,903**
Term loans	**-**	**-**	**26,603**	**84,251**	**-**	**110,854**
Loan from the State of Kuwait	**-**	**-**	**-**	**306,003**	**-**	**306,003**
Total undiscounted financial liabilities	**77,823**	**266**	**51,319**	**390,254**	**-**	**519,662**

2022	*Less than 1 month KD'000*	*1 to 3 months KD'000*	*3 to 12 months KD'000*	*1 to 5 years KD'000*	*Over 5 years KD'000*	*Total KD'000*
Deposits from banks and other financial institutions	22,493	-	-	-	-	22,493
Deposits from customers	43,746	255	1,701	-	-	45,702
Other liabilities	-	-	22,195	-	-	22,195
Term loans	-	-	32,677	56,262	-	88,939
Loan from the State of Kuwait	-	-	-	-	309,444	309,444
Total undiscounted financial liabilities	66,239	255	56,573	56,262	309,444	488,773

The table below shows the contractual expiry by maturity of the Bank's commitments and contingent liabilities:

2023	***Less than 1 month KD '000***	***1 to 3 months KD '000***	***3 to 12 months KD '000***	***1 to 5 years KD '000***	***Over 5 years KD '000***	***Total KD '000***
Commitments and contingent liabilities	**6,785**	**10,469**	**36,764**	**12,179**	**1,353**	**67,550**

2022	*Less than 1 month KD '000*	*1 to 3 months KD '000*	*3 to 12 months KD '000*	*1 to 5 years KD '000*	*Over 5 years KD '000*	*Total KD '000*
Commitments and contingent liabilities	4,586	12,462	27,973	20,785	1,126	56,932

19. FINANCIAL RISK MANAGEMENT (continued)

19.2 Liquidity risk (continued)

The maturity profile of the assets and liabilities as at the reporting date based on contractual repayment arrangements is as follows:

2023	*Less than one year KD'000*	*From one year to five years KD'000*	*Over five years KD'000*	*No fixed maturity KD'000*	*Total KD'000*
Assets					
Cash and cash equivalents	**7,708**	**-**	**-**	**-**	**7,708**
Treasury bills and bonds	**42,094**	**5,000**	**-**	**-**	**47,094**
Deposits with banks and other financial institutions	**307,001**	**-**	**-**	**-**	**307,001**
Financial assets at fair value through profit or loss	**-**	**-**	**147,053**	**-**	**147,053**
Loans and advances to customers	**114,302**	**101,343**	**75,103**	**-**	**290,748**
Investments in associates	**-**	**-**	**-**	**7,170**	**7,170**
Other assets	**10,488**	**-**	**1,067**	**-**	**11,555**
Property and equipment	**-**	**-**	**-**	**4,496**	**4,496**
Total assets	**481,593**	**106,343**	**223,223**	**11,666**	**822,825**
Liabilities and equity					
Deposits from banks and financial institutions	**28,321**	**-**	**-**	**-**	**28,321**
Deposits from customers	**50,442**	**-**	**-**	**-**	**50,442**
Other liabilities	**22,903**	**-**	**-**	**-**	**22,903**
Term loans	**25,568**	**76,868**	**-**	**-**	**102,436**
Loan from the State of Kuwait	**-**	**300,000**	**-**	**-**	**300,000**
Equity	**-**	**-**	**-**	**318,723**	**318,723**
Total liabilities and equity	**127,234**	**376,868**	**-**	**318,723**	**822,825**
Net liquidity position	**354,359**	**(270,525)**	**223,223**	**(307,057)**	**-**

2022	*Less than one year KD'000*	*From one year to five years KD'000*	*Over five years KD'000*	*No fixed maturity KD'000*	*Total KD'000*
Assets					
Cash and cash equivalents	20,610	-	-	-	20,610
Treasury bills and bonds	34,435	13,500	-	-	47,935
Deposits with banks and other financial institutions	265,003	-	-	-	265,003
Financial assets at fair value through profit or loss	-	-	137,391	-	137,391
Loans and advances to customers	122,610	118,574	47,907	-	289,091
Investments in associates	-	-	-	7,118	7,118
Other assets	7,159	-	1,042	-	8,201
Property and equipment	-	-	-	4,608	4,608
Total assets	449,817	132,074	186,340	11,726	779,957
Liabilities and equity					
Deposits from banks and financial institutions	22,481	-	-	-	22,481
Deposits from customers	45,558	-	-	-	45,558
Other liabilities	22,195	-	-	-	22,195
Term loans	31,210	53,603		-	84,813
Loan from the State of Kuwait	-	-	300,000	-	300,000
Equity	-	-	-	304,910	304,910
Total liabilities and equity	121,444	53,603	300,000	304,910	779,957
Net liquidity position	328,373	78,471	(113,660)	(293,184)	-

19. FINANCIAL RISK MANAGEMENT (continued)

19.3 Market risk

Market risk is the risk that the Group's earnings or capital, or its ability to meet business objectives, will be adversely affected by changes in the level or volatility of market rates or prices such as interest rates, credit spreads, commodity prices, equity prices and foreign exchange rates. This risk is inherent in the financial instruments associated with the Group's operations and/or activities including loans granted at commercial rates, deposits, securities and trading account assets. The majority of market risk exposure resides in the Group's treasury and investment functions. The Group's market risk objectives of risk management are to:

- Understand and control market risk by robust measurement, setting and monitoring of limits,
- Accuracy in the deal / settlement process;
- Facilitate business growth within a controlled and transparent risk management framework; and
- Measure and report non-traded market risk.

19.3.1 Foreign currency risk

Foreign currency risk is the risk that the value of the financial instruments will fluctuate due to changes in foreign exchange rates.

The effect on profit, as a result of change in currency rate, with all other variables held constant is shown below:

2023

Currency	***Change in currency rate in %***	***Effect on profit KD '000***
USD	**+1 %**	**51**
Euro	**+1 %**	**(10)**

2022

Currency	*Change in currency rate in %*	*Effect on profit KD '000*
USD	+1 %	52
Euro	+1 %	(3)

The Group had the following significant net exposures denominated in foreign currencies as at 31 December:

	2023 Long/(short) KD '000	*2022 Long/(short) KD '000*
US Dollars	**5,077**	5,169
Euro	**(965)**	(326)

19.3.2 Interest rate risk

Interest rate risk arises from the possibility that changes in interest rates will affect the value of financial instruments. The Group is exposed to interest rate risk as a result of mismatches or gaps in the amounts of assets and liabilities in the consolidated statement of financial position that mature or re-price in a given period.

The table below details the Group's exposure to interest rate risk. Fixed rate instruments are allocated according to the residual term of maturity and floating rate instruments according to the residual term to the next re-pricing date.

19. FINANCIAL RISK MANAGEMENT (continued)

19.3.2 Interest rate risk (continued)

2023	*Less than 1 year KD '000*	*1 to 5 years KD '000*	*Over 5 years KD '000*	*Total KD '000*	*Effective interest rate / range*
Assets					
Cash and cash equivalents	**7,708**	**-**	**-**	**7,708**	**0.000% - 5.200%**
Treasury bills and bonds	**42,094**	**5,000**	**-**	**47,094**	**3.125% - 5.500%**
Deposits with banks and other financial institutions	**307,001**	**-**	**-**	**307,001**	**0.850% - 5.370%**
Loans and advances to customers	**114,302**	**101,343**	**75,103**	**290,748**	**3.500% - 8.250%**
Total assets	**471,105**	**106,343**	**75,103**	**652,551**	
Liabilities					
Deposits from banks and financial institutions	**28,321**	**-**	**-**	**28,321**	**2.250% - 5.900%**
Deposits from customers	**50,442**	**-**	**-**	**50,442**	**0.000% - 6.125%**
Term loans	**25,568**	**76,868**	**-**	**102,436**	**4.716% - 6.929%**
Loan from the State of Kuwait	**-**	**300,000**	**-**	**300,000**	**0.500% - 4.166%**
Total liabilities	**104,331**	**376,868**	**-**	**481,199**	
Net gap	**366,774**	**(270,525)**	**75,103**	**171,352**	
Cumulative interest rate sensitivity gap	**366,774**	**96,249**	**171,352**		

19. FINANCIAL RISK MANAGEMENT (continued)

19.3.2 Interest rate risk (continued)

2022	*Less than 1 year KD '000*	*1 to 5 years KD '000*	*Over 5 years KD '000*	*Total KD '000*	*Effective interest rate / range*
Assets					
Cash and cash equivalents	20,429	-	-	20,429	0.000% - 4.350%
Treasury bills and bonds	34,435	13,500	-	47,935	2.250% - 5.300%
Deposits with banks and other financial institutions	265,003	-	-	265,003	0.500% - 4.700%
Loans and advances to customers	122,610	118,574	47,907	289,091	3.000% - 7.500%
Total assets	442,477	132,074	47,907	622,458	
Liabilities					
Deposits from banks and financial institutions	22,481	-	-	22,481	2.000% - 5.100%
Deposits from customers	45,558	-	-	45,558	0.000% - 4.625%
Term loans	31,210	53,603	-	84,813	3.181% –5.839%
Loan from the State of Kuwait	-	-	300,000	300,000	0.500% - 3.059%
Total liabilities	99,249	53,603	300,000	452,852	
Net gap	343,228	78,471	(252,093)	169,606	
Cumulative interest rate sensitivity gap	343,228	421,699	169,606		

The effect on the consolidated statement of profit or loss and other comprehensive income as a result of an assumed change of +5% in the effective interest rate with all other variables held constant, is KD 856 thousand (2022: KD 848 thousand)

19. FINANCIAL RISK MANAGEMENT (continued)

19.3.3 Equity price risk

Equity price risk is the risk that the fair values of equities may fluctuate as a result of changes in the levels of equity indices and the value of individual stocks.

The effect on the consolidated statement of profit or loss and other comprehensive income as a result of a change in the fair value of equity instruments held at fair value through profit or loss due to an assumed 10% increase in equity indices, with all other variables held constant, is as follows:

	2023 ***KD '000***	*2022* *KD '000*
Increase in the stock market index (Kuwait stock exchange):		
Effect on investment portfolios on +10% change in index	**1,490+**	2,139+

The Group's other significant investments are held in well diversified portfolio of funds which invest in a variety of securities and underlying assets whose performance cannot necessarily be measured in relation to movement in any specific equity indexes.

19.4 OPERATIONAL RISK

Operational risk is the risk of loss arising from systems failure, human error, fraud or external events. When controls fail to perform, operational risks can cause damage to reputation, have legal or regulatory implications, or lead to financial loss. The Bank cannot expect to eliminate all operational risks, but through a control framework and by monitoring and responding to potential risks, the Bank is able to manage the risks. Controls include effective segregation of duties, access, authorisation and reconciliation procedures, staff training and assessment processes, including the role of internal audit.

20 FAIR VALUE MEASUREMENT

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. Financial instruments comprise financial assets and financial liabilities.

The following shows an analysis of financial assets at fair value through profit or loss by levels of fair value hierarchy:

2023	***Level 1*** ***KD'000***	***Level 3*** ***KD'000***	***Total*** ***KD'000***
Investments at fair value through profit or loss			
Quoted equities	**14,899**	**-**	**14,899**
Unquoted equities	**-**	**1,200**	**1,200**
Funds	**-**	**130,954**	**130,954**
Total	**14,899**	**132,154**	**147,053**

2022	*Level 1* *KD'000*	*Level 3* *KD'000*	*Total* *KD'000*
Investments at fair value through profit or loss			
Quoted equities	15,279	-	15,279
Unquoted equities	-	1,183	1,183
Funds	-	120,929	120,929
Total	15,279	122,112	137,391

20. FAIR VALUE MEASUREMENT (continued)

The fair value of the financial assets and financial liabilities set out above are subjective in nature and are significantly affected by the assumptions made and the discount rates used.

31 December 2023

	At 1 January 2022 KD '000	***Additions / (redemptions) KD '000***	***Change in fair value KD '000***	***At 31 December 2022 KD '000***
Investments at fair value through profit or loss				
Funds	**120,929**	**9,225**	**800**	**130,954**
Unquoted equities	**1,183**	**-**	**17**	**1,200**
	122,112	**9,225**	**817**	**132,154**

31 December 2022

	At 1 January 2021	*Additions / (redemptions)*	*Change in fair value*	*At 31 December 2021*
	KD '000	*KD '000*	*KD '000*	*KD '000*
Investments at fair value through profit or loss				
Funds	118,118	8,686	(5,875)	120,929
Unquoted equities	1,148	-	35	1,183
	119,266	8,686	(5,840)	122,112

For the assets classified under Level 3, the fair value is estimated using appropriate valuation techniques such as recent arm's length market transactions, reference to current fair value of similar assets and other valuation techniques. Significant unobservable inputs used by the management in these valuation techniques represent the discount for lack of marketability ranging from 5% to 15% (2022: 5% to 15%) which is derived based on tenor, nature underlying assets, geographic location pertaining to these investments.

The Group has also performed a sensitivity analysis by varying the key inputs used in the valuation techniques by 5% which did not result in a material impact on the consolidated financial statements.

Fair values of remaining assets and liabilities carried at amortised cost are not materially different from their fair values as at the reporting date, given most of these are of short-term maturities or are repriced immediately based on market movement in interest rates.

21 CAPITAL MANAGEMENT

The primary objectives of the Group's capital management policy are to ensure that Group complies with regulatory requirements and that the Group maintains a strong credit ratings and healthy capital ratios in order to support its business and maximize shareholder value. Capital adequacy ratio, financial leverage ratio and the use of various levels of regulatory capital are governed by guidelines of Basel Committee on Banking Supervision as adopted by Central Bank of Kuwait.

The Group's regulatory capital and capital adequacy ratio calculated under Basel III in accordance with Central Bank of Kuwait circular number 2/RB, RBA/ 336/2014 dated 24 June 2014, are as shown below;

21. CAPITAL MANAGEMENT (continued)

	2023	*2022*
	KD'000	*KD'000*
Risk weighted assets	**677,443**	609,522
Total minimum capital required	**88,068**	79,238
Common Equity Tier 1 (CET1) Capital	**312,723**	304,758
Tier 2 Capital	**8,021**	7,328
	320,744	312,086
CET 1 capital adequacy ratio	**46.16%**	50.00%
Total capital adequacy ratio	**47.35%**	51.20%

The Group's financial leverage ratio as at 31 December, is calculated in accordance with the Central Bank of Kuwait circular number 2/BS/342/2014 dated 21 October 2014 and is shown below:

	2023	*2022*
	KD'000	*KD'000*
Tier 1 Capital	**312,723**	304,758
Total exposure	**893,263**	836,358
Leverage ratio	**35.01%**	36.44%

22 DERIVATIVE FINANCIAL INSTRUMENTS

In the ordinary course of business, the Group enters into various types of transactions that involve derivative financial instruments such as cross currency swaps to mitigate foreign currency risk. A derivative financial instrument is a financial contract between two parties where payments are dependent upon movements in price of one or more underlying financial instruments, reference rate or index.

Cross currency swaps

Forward foreign exchange contracts are agreements to buy or sell currencies at a specified rate and at a future date.

The notional amount, disclosed gross, is the amount of a derivative's underlying asset and is the basis upon which changes in the value of derivatives are measured. The notional amounts indicate the volume of transactions outstanding at the year-end and are neither indicative of the market risk nor credit risk.

Types of derivative contracts

The table below shows the fair value of derivative financial instruments, together with their notional amounts analysed by the terms of maturity:

	2023		
	Positive fair value KD 000's	***Negative fair value KD 000's***	***Notional amount KD 000's***
Derivatives held for trading:			
Forward foreign exchange contracts	**3,240**	**(3,222)**	**3,240**
	3,240	**(3,222)**	**3,240**

22 DERIVATIVE FINANCIAL INSTRUMENTS (continued)

	2022		
	Positive fair value KD 000's	*Negative fair value KD 000's*	*Notional amount KD 000's*
Derivatives held for trading:			
Forward foreign exchange contracts	9,452	(9,444)	9,452
	9,452	(9,444)	9,452

The Group's derivative financial instruments are classified under level 2 hierarchy of the fair value measurement.

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Job title	Department	Name	Phone
Chairman		Mr. Musab S. Al-Nisf	22337603 22337602
Chief Executive Officer		Mr. Ali A. Khajah	22337611
Deputy of Chief Executive Officer	Commercial and investment banking	Mr. Jawad Hussein Al-Qallaf	22337888
Deputy of Chief Executive Officer	Development financing services	Mrs. Iman Nouri Al-Salama	22337408
Head	Processes and technology	Mr. Rami Abdel-Ghani Abdel-Al	22337600
Manager	Research Department	Mrs. Afaf Hamad Al-Adwani	22337300
Acting Manager	Department of Human Resources and Administrative Affairs	Mr. Sajid Atta Ahmed	22337942
Manager	Project Finance Department	Mr. Youssef Fawzi Bouresli	22337414
Manager	Project Finance Evaluation Department	Mrs. Bashayer Hussein Al Balushi	22337102
Manager	Commercial Credit Evaluation Department	Mr. Mohammed Abdullah Al-Sayegh	22337750
Manager	Department of Direct Investment and Promotion	Mr. Jamal Badr Al-Rumaih	22337800
Manager	Commercial Banking Department	Mr. Abdul Aziz Muhammad Qabazard	22337557
Manager	Anti-Money Laundering and Terrorism Financing Department	Mr. Abdul Aziz Jameel Al-Naqi	22337505
Board secretary	Board of Directors	Mr. Khaled Mohammed Al-Hamoud	22337577
Manager	Treasury Department	Mr. Nawaf Yousef Al-Munaifi	22337070
Manager	Banking Operations Department	Mrs. Shawqia Muhammad Tawfiqi	22337003
Manager	Information Technology Department	----------	22337636
Manager	Supportive credit department	Mrs. Haya Abdul Rahman Al-Ghunaim	22337504
Manager	Legal Department	Mr. Ashraf Mohamed Salam	22337203
Manager	Accounting Department	Mr. Jaber Jassim Murad	22337353
Manager	Risk Management Department	Mr. Bhaskar Majumdar	22337420
Manager	Internal Audit Department	Mr. Abdul Karim Mukhtar Ibrahim	22337345
Manager	Industry financing portfolio in accordance with the provisions of Islamic Sharia	Mrs. Bashayer Hussein Al Balushi	22337102
Manager	Agricultural finance portfolio	Mr. Osama Muhammad Al-Othman	22337700
Manager	Industrial portfolio for small projects	Mrs. Afaf Hamad Al-Adwani	22337300
Head	Strategic Planning and Follow-up Unit	Mr. Fouad Ali Al-Bahrani	22337109
Head	Disclosure unit	Mrs. Farah Abdel Wahab Al Haroun	22337590
Head	Compliance and Governance Unit	Mr. Issa Jawad Al-Amer	22337064
Head	Financial Planning and Control Unit	----------	22337078
Acting Head	Information Security Unit	Mr. Mohamed Rushdi Mohamed	22337765



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